



Des Moines
PUBLIC SCHOOLS

ANNUAL COMPREHENSIVE FINANCIAL REPORT

FOR THE YEAR
ENDED JUNE 30,

2025

**DES MOINES INDEPENDENT
COMMUNITY SCHOOL DISTRICT
DES MOINES, IOWA**



**Des Moines Independent Community
School District, Des Moines, Iowa**

**Annual Comprehensive Financial Report
Year Ended June 30, 2025**

Official Issuing Report:

Shashank Aurora

Chief Financial Officer

Office Issuing Report:

Business and Finance Department



Introductory Section



TABLE OF CONTENTS

INTRODUCTORY SECTION (UNAUDITED)

Table of contents	i
Letter of transmittal	iii
Board of Education and School District Officials	xii
GFOA certificate of achievement	xiii
ASBO certificate of excellence	xiv
Organizational chart	xv

FINANCIAL SECTION

Independent auditor's report	1
Management's discussion and analysis	4
Basic financial statements:	
Government-wide financial statements:	17
Statement of net position	17
Statement of activities	19
Fund financial statements:	
Governmental funds:	
Balance sheet	21
Reconciliation of total governmental fund balances to net position of governmental activities	22
Statement of revenues, expenditures and changes in fund balances	23
Reconciliation of the statement of revenues, expenditures and changes in fund balances of governmental funds to the statement of activities	24
Proprietary funds:	
Statement of net position	25
Statement of revenues, expenses and changes in net position	27
Statement of cash flows	28

Fiduciary and custodial funds:

Statement of fiduciary net position	29
Statement of changes in fiduciary net position	30
Notes to basic financial statements	31

Required supplementary information:

Schedule of changes in the District's total OPEB liability and related ratios	71
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Iowa Public Employees' Retirement System:

Schedule of the District's proportionate share of the net pension liability	73
Schedule of the District's contributions	75
Note to required supplementary information	76

Des Moines Teachers' Retirement System:

Schedule of changes in net pension liability (asset)	79
Schedule of net pension liability (asset) and related ratios	81
Schedule of money-weighted rate of return	83
Schedule of contributions from the District	84
Note to required supplementary information	85
Budgetary comparison schedule - all governmental funds and enterprise funds	87
Note to required supplementary information - budgetary comparison schedule	89

Other supplementary information:

Nonmajor governmental funds:	91
Combining balance sheet	93
Combining statement of revenues, expenditures and changes in fund balances	95
Nonmajor enterprise funds:	98
Combining statement of net position	99
Combining statement of cash flows	103
Internal service funds:	106
Combining statement of net position	107

TABLE OF CONTENTS

Combining statement of revenues, expenses and changes in fund net position	108	Direct and overlapping property tax rates	131
Combining statement of cash flows	109	Principal property taxpayers	135
		Property tax levies and collections	136
		Outstanding debt by type	138
		Legal debt margin information	139
		Direct and overlapping governmental activities debt	141
		Pledged-revenue coverage	142
		Ratios of general bonded debt outstanding	143
		Demographic and economic statistics	144
		Principal employers in greater Des Moines Region	145
		Full-time equivalent District employees by type	147
		Operating statistics	151
		School building information	153
		Capital asset information	169
STATISTICAL SECTION			
Statistical section contents	112		
Net position by component	113		
Expenses, program revenues and net (expense) revenue	115		
General revenues and total change in net position	119		
Fund balances, governmental funds	121		
Governmental funds revenues	123		
Governmental funds expenditures and debt service ratio	125		
Other financing sources and uses and net change in fund balances - governmental funds	127		
Taxable value and actual value of taxable property	129		



Chief Financial Officer

March 4, 2026

The Board of Education and Residents
Des Moines Independent Community School District

We are pleased to submit the Annual Comprehensive Financial Report for the Des Moines Independent Community School District (the District, Des Moines Public Schools, or DMPS) for fiscal year ending June 30, 2025.

The District operates in compliance with Generally Accepted Accounting Principles (GAAP) and prepares its financial statements in accordance with Governmental Accounting Standards Board (GASB) Statement No. 34. This report has been prepared to conform to guidelines recommended by the Association of School Business Officials International (ASBO International) and the Government Finance Officers Association of the United States and Canada (GFOA).

RSM US LLP, Certified Public Accountants, has issued an unmodified ("clean") opinion on the District's financial statements for the year ended June 30, 2025. The independent auditor's report is located at the front of the financial section of this report.

The responsibility for the accuracy and completeness of the presentation, including all disclosures, rests with District management. Management assumes full responsibility for the completeness and reliability of the information contained in this report, based upon a comprehensive framework of internal control that has been established for this purpose. The District believes that the data presented herein is accurate in all material respects, the data is presented fairly to set forth the financial position and results of operations of the District as measured by the financial activity of the various funds, and all necessary disclosures have been included, enabling the reader to gain the maximum understanding of the District's financial affairs.

Management's Discussion and Analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview, and analysis of the District's basic financial statements. The MD&A complements this letter of transmittal and should be read in conjunction with it.

As is the case every year, the District was required to undergo a single audit in conformity with the provisions of the Single Audit Act and Subpart F of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). Information related to this Single Audit, including a schedule of expenditures of federal awards, summary schedule of prior audit findings, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements applicable to each major program and internal control over compliance, a schedule of findings and questioned costs, and corrective action plans (if any) are included in the separately issued compliance report.

Profile of the Government

In May 2017, the Iowa Legislature created limited home rule for Iowa school districts. The change provides more flexibility to school districts in their exercise of powers, where the law or administrative rule does not already prescribe or prohibit the action. All Iowa school districts remain under the control of a local board of directors and have fiscal independence from other governmental entities. The District is a political subdivision of the State of Iowa, and, as such, operates public schools and supporting programs for children in preschool through grade twelve.

A seven-member Board of Education (the Board) governs the District. Members serve overlapping four-year terms and are elected on a non-partisan basis. The Board operates under the policy governance model and, thus, is a policymaking and planning body whose decisions are carried out by the Superintendent.

The District serves more than 213,000 people who live in Polk and Warren Counties. Covering nearly 86 square miles, the District has developed in the heart of the Des Moines city center, east into Pleasant Hill, west into Windsor Heights, and south into Warren County. The District benefits from having strong and diverse neighborhoods and a citizenry deeply involved in its public education.

Here are what others have to say about Des Moines being a great place to live and work:

- 2025 – #1 Best Place to Live in Iowa for Young Adults – SoFi
- 2025 – #3 Most Livable City in the U.S. – Reader's Digest, Visual Capitalist
- 2024 – #10 Best Place for Business and Careers – Forbes
- 2024 – #7 Safest City to Live in the U.S. – U.S. News & World Report
- 2024 – #2 Best Place for Young Professionals – Forbes
- 2024 – Top 15 Most Affordable Place to Purchase a Home – Zillow
- 2024 – #6 Fastest-Growing Hiring Market for New College Graduates – CNBC
- 2023 – #1 Best Cities to Live for Young Professional – Forbes
- 2023 – Top 20 Best Place to Live in the U.S. – U.S. News & World Report
- 2023 – #6 Best Place to Live for Families – U.S. News & World Report
- 2023 – Top 20 Most Neighborly City in the U.S. – Neighbor.com
- 2022 – #13 Best Places to Live in the US – U.S. News & World Report
- 2021 – Top 10 City to Live in After the Pandemic – Today.com
- 2020 – #7 Best Place to Live in the U.S. – U.S. News & World Report
- 2020 – #3 Best Affordable Place to Live in the U.S – U.S. News & World Report
- 2019 – #5 Best Place to Live in the U.S. – U.S. News & World Report
- 2019 – #3 Best Affordable Place to Live in the U.S. – U.S. News & World Report
- 2019 – #10 on Best State Capitals to Live In – WalletHub.com
- 2019 – #6 Best American Cities to Work in Tech in 2019 – Yahoo Finance
- 2018 – #1 Most Popular City for Millennial Homebuyers – Lending Tree
- 2018 – #8 Best Job Market for 2018 – ZipRecruiter

- 2018 – One of “5 Up-and-Coming Tech Hotspots” – Livability
- 2018 – #8 Best City to Find Small Business Jobs – ZipRecruiter
- 2018 – #7 Place Where Jobs Will Be In 2018 – Forbes
- 2017 – #1 Best Place for Millennials to Live in the Midwest – Growella
- 2017 – #1 Best Affordable Place to Live in the U.S. – U.S. News and World Report
- 2017 – #4 Best Place for Children – SmartAsset
- 2017 – #3 Best Place to Live with a Low Cost of Living – Business Insider
- 2017 – The best city for young professionals – TheSpruce.com
- 2016 – Best City for the Middle Class – BusinessInsider
- 2016 – Ranked in the Top 10 Hippest Mid-Sized Cities in America – Gogobot.com
- 2016 – #4 Best Mid-Sized Cities for Making a Living – MoneyGeek.com
- 2016 – #4 Best Cities for Young Families – ValuePenguin.com
- 2016 – #10 Best City to Live and Work – Robert Half

The District provides a full range of programs and services including instructional, preschool, student services, school building administration, maintenance of sites and facilities, transportation, food service, custodial, extra co-curricular and athletic activities, and childcare. The District provides a comprehensive educational program appropriate to students in preschool through grade twelve. These services include regular and enriched academic education; special education; vocational education; and numerous individualized programs such as instruction for at-risk students, gifted and talented students, and students in the English Learner (EL) program.

The District's certified enrollment for fiscal year 2025 was 30,836, making it by far the largest public school district in Iowa. Students are served in 38 elementary schools, 10 middle schools, five comprehensive high schools, a secondary career and technical institute, an advanced learning central academy, a virtual school, and other specialty schools and programs. The District also operates preschool programs for approximately 1,500 children in four District preschool centers, a dozen elementary schools throughout Des Moines, as well as more than a dozen community partners. The District also maintains a maintenance/warehouse facility, a print shop, and athletic complexes. The average age of the District's buildings is 72 years. However, using Statewide Penny revenues, the District has ensured these buildings are well-maintained allowing for many additional years of future use.

Des Moines Public Schools may be the biggest provider of public education in Iowa, but the District takes anything but a one-size-fits-all approach to educating students. In fact, families in Des Moines can find more educational options than anywhere in the state, including:

- *Advanced Learning.* Central Academy — attended by students from a number of central Iowa school districts — is Iowa's top Advanced Placement program, dedicated to providing a challenging curriculum. The Belin-Blank Center for Gifted Education and Talent Development placed Central Academy “in a class by itself” as a college preparatory school. In addition, the District significantly expanded AP course offerings in all five comprehensive high schools. All five comprehensive high schools are on the Belin-Blank Center's Iowa AP Top 25 Index.

- *Career & Technical Institute (CTI)*. Located at Central Campus, CTI presents students with learning opportunities in several high-skill areas, including graphic design, broadcasting & film, culinary arts, fashion, skilled trades, and automotive technology. In addition, DMPS offers one of only three high school aviation programs certified by the Federal Aviation Administration (FAA) and has the largest marine biology program of any non-coastal high school. Central Campus is the first Iowa school named by the Department of Labor (DOL) as a “high-quality pre-apprenticeship” program.
- *International Baccalaureate (IB)*. Home to the first IB program in Iowa, DMPS offers this world-class educational opportunity at four elementary schools (Hubbell, Stowe, Moore, and Walnut Street), two middle schools (Brody and Merrill).
- *Montessori*. Cowles Montessori School is the only public Montessori program in Iowa, serving students in kindergarten through eighth grade. Students learn in multiage classrooms and children’s natural curiosities are exploited to the fullest as they advance at their own pace. The district is expanding Montessori programming throughout the district. The program was implemented as a pilot in Findley in FY 2025.
- *Virtual School*. Virtual Campus is an online high school, designed and taught by DMPS educators, to provide greater equity of access and opportunity for success to all students. The District continues to expand course offerings each semester to fully maximize the virtual opportunities for students.
- *Higher Education Partnerships*. Des Moines Public Schools’ proximity to Drake University, Iowa State University, Des Moines University, Grandview University, Des Moines Area Community College, and other institutions of higher education have created numerous partnerships and collaborative efforts that support students, teachers, and administrators. This includes the District’s Master’s Degree Program available exclusively through Drake offered to teachers, at little or no cost, who are part of the Blue Teaching Contract. Additional advanced degree programs have been added to support the education and growth of school administrators and other leaders.

Des Moines educators and staff are recognized as being among the very best in their fields. These are just some of the awards and honors they have earned in recent years:

- 2025 ISPPRA Blue and Gold Award – Special Project Print Publication – Iowa School Public Relations Association
- 2025 ISPPRA Awards of Excellence (8 honors) – Iowa School Public Relations Association
- 2024 - 2007 Certificate of Excellence in Financial Reporting from the Association of School Business Officials for the District’s annual comprehensive financial report
- 2024 - 2007 Certificate of Achievement for Excellence in Financial Reporting from the Government Finance Officers Association for the District’s annual comprehensive financial report
- 2024 Michael Oates Teacher of Promise Award – Iowa World Language Association
- 2024 - 2014 Energy Star Partner of the Year (Sustained Excellence) – EPA
- 2024 Iowa Teacher of the Year – Iowa Department of Education
- 2023 One of America’s Best Midsized Employers – Forbes Magazine
- 2023 University of Iowa’s Career Impact Award
- 2023 Iowa School Public Relations Associations Blue and Gold Honors
- 2023 NIAAA Certified Master Athletic Administrator

- 2023 IHSSA Hall of Fame Inductee – Iowa High School Speech Association
- 2023 IHSA Character Counts Coach of the Year - Iowa High School Athletic Association
- 2023 Iowa High School Press Association Administrator of the Year – ISHPA
- 2023 Citizen of the Year – Iowa Juneteenth
- 2023 Public Innovations and Efficiencies Award – Iowa State Auditor’s Office
- 2023 ISPPRA Communication Awards (8 honors) – Iowa School Public Relations Association
- 2023 Career Impact Award– University of Iowa
- 2023 Cultural Newcomer of the Year – Business Publications Corporation

- 2022 JA School District of the Year – Junior Achievement of Central Iowa
- 2022 Hall of Fame Inductee – Iowa Association of Track Coaches
- 2022 Junior High Coach of the Year – Iowa Wrestling Coaches and Officials Association
- 2022 Middle School Educator of the Year Award – Iowa World Language Association
- 2022 Mary McLeod Bethune Educator of the Year Award – Iowa Juneteenth
- 2022 Friend of Children Award – Iowa School Social Workers’ Association
- 2022 Faculty Excellence Award – Board of Regents, State of Iowa
- 2022 Catherine G. Williams Lifetime Diversity Achievement Award – National Association of Social Workers

- 2022 Barb Schubert Award for Exceptional Literacy Interactions – Iowa Council of Teachers of English
- 2021 Iowa History Teacher of the Year
- 2021 Ag Ed Administrator of the Year
- 2021 School Lunch Hero
- 2021 ISPPRA Communication Awards – 25 honors
- 2021 ASCA Model Program Award – American School Counselor Association
- 2020, 2016, 2013, 2012, 2010, 2009, 2006, 1998, 1997, 1995, 1983 Presidential Award for Excellence in Mathematics and Science Teaching – National Science Foundation, on behalf of the White House Office of Science and Technology Policy

- 2020 Administrator of the Year - Iowa High School Press Association
- 2020 Orgametrics Award Winner - Orgametrics
- 2020 Top 5 ESPN Unified Champion School - ESPN
- 2019 - 2015 Meritorious Budget Award from the Association of School Business Officials
- 2019 Teacher of the Year – Des Moines chapter of the Izaak Walton League
- 2017 - 2013 Distinguished Budget Presentation Award from the Government Finance Officers Association

Economic Condition and Outlook

State Economy – The actual net General Fund receipts for the State of Iowa for fiscal year 2025 totaled \$8,939.2 million compared to \$9,755.8 million for fiscal year 2024. This is a \$816.6 million year-to-date decrease.

The Iowa Revenue Estimating Conference (REC) meets triennially, and revises estimates for General Fund Receipts. The initial estimate of General Fund receipts for Fiscal Year 2027 was announced at the October 16, 2025 meeting, and set the estimate for Net General Fund Revenues at \$8,393.9 million, a projected 3.2 percent increase from the FY 2026 estimate of net General Fund receipts.

The revised estimates (in millions) for FY 2026 are:

Date	FY 25 Net General Fund Receipts	FY 26 Net General Fund Receipts	Percent Change FY 26 vs FY 25
10/17/2024	9,238.9 (Estimate)	8,658.7 (Estimate)	(6.3%)
12/12/2024	9,153.65 (Est.)	8,725.7 (Est.)	(4.7%)
3/13/2025	9,134.6 (Est.)	8,507.9 (Est.)	(6.9%)
10/16/2025	8,939.2 (Actual)	8,134.1 (Est.)	(9.0%)

Local Economy – The Des Moines Independent Community School District is in the center of Iowa, primarily in the city of Des Moines (the City). The City is comprised of 80.87 square miles of land with a population of 213,096, approximately 23.0% of which is younger than 18 (July 2024 estimates). The median household income (2019-2023) in Des Moines was \$63,966, and approximately 14.9% of persons live below the poverty line.

While Iowa is an agricultural state, the City’s economic diversification typically insulates it from most swings in the farming-based economy. The agricultural sector in Iowa has experienced significant effects on exports and pricing due to recent trade policies and tariffs. The City is the industrial, technology, commercial, financial, trade, transportation, and governmental center of Iowa. The City’s insurance industry is the third largest in the world, after London and Hartford, with more than 200 insurance offices/headquarters located in Des Moines. Insurance activities are part of a strong local economy that is also based in agriculture, manufacturing, technology, education, health care, and other services. Wells Fargo, UnityPoint Health Systems, and Principal Financial Group, Inc. are the major private employers within the District.

The variety of components contributing to the City’s economy creates a stability that is apparent from unemployment figures. The City has historically enjoyed a relatively low unemployment rate for each of the last three years: 3.0 percent in 2024, 2.8 percent in 2023, and 2.6 percent in 2022.

State Funding – State Aid is the largest single source of revenue the district receives. The two factors that impact the amount of State Aid the District receives are: the rate of growth for Supplemental State Aid and student enrollment. The rate of growth for Supplemental State Aid for fiscal year 2025 was 2.50%, compared to 3.00% for fiscal year 2024. Supplemental State Aid for fiscal year 2026 was set at 2.00%.

After a decade of steadily increasing enrollment, certified enrollment peaked in the 2017-18 school year at 33,057 students. Enrollment began declining in the 2018-19 school year. The District experienced the largest enrollment decline during the COVID-19 pandemic. Since the peak enrollment, certified enrollment has decreased by more than 2,200 students. Certified Enrollment in fiscal year 2025 increased from the previous year by 35 students; however, the number of students served is projected to decrease in future years.

Long-Term Financial Planning and Relevant Financial Policies - The District’s solvency ratio is a measure of the District’s fund equity position and is defined as the unassigned fund balance (commonly referred to

as the cash reserves) divided by the District's total General Fund revenues, less the Area Education Agency (AEA) flow-through. Board guidelines state that the solvency ratio should not go below three percent, without prior knowledge of the Board. The Iowa Association of School Boards (IASB) considers a solvency ratio of zero to five percent to be adequate for short-term credit purposes, while a ratio of five to ten percent is within "Target" or "Good" and therefore "can handle the unexpected." In addition, during the 2012-2013 school year, the Board approved a 15% target for the District's solvency ratio. The District's solvency ratio decreased from 33.6% as of June 30, 2024 to 25.0% as of June 30, 2025.

In addition, the Board monitors the District's unspent spending ratio. This ratio is a measure of the District's unbudgeted authorized spending capacity (not cash reserves) and is defined as the District's unspent spending authority divided by the District's maximum budget authority. It should be noted that reaching the maximum budget authority level would require the Board to authorize and levy additional property taxes. The IASB recommends this ratio be in the target range of 5% - 15%, not to exceed 25%. The unspent spending authority balance ratio (including categoricals) for fiscal year 2025 is estimated to be 14.3%, compared to 17.7% for the prior year. Excluding categoricals, the unspent spending authority balance ratio for fiscal year 2025 is estimated to be 14.0%, compared to 17.5% for the prior year.

Major Initiatives - The District has completed the fifth phase of bonding ahead on the Statewide Penny. The District sold Revenue Bonds in fiscal year 2018 to minimize future inflationary increases by condensing repair and renovation costs from a 10-year plan into a five-year plan. In November 2021, the District refunded the Series 2012, 2013, and 2016 revenue bonds with the Series 2021 bonds. The refinancing of the bonds led to an approximate savings of \$6,650,000 over the life of the bonds with a true interest cost of 0.85%. The District carries the following revenue bonds currently: Series 2014, Series 2018, and Series 2021. All revenue bonds will be paid back using Statewide Penny revenue.

Voters approved the continuation of the District's Property, Plant, And Equipment Levy (PPEL) on November 5, 2019 for another 10 years. With this vote, the District will continue to receive PPEL funds through fiscal year 2031.

In the 2023-24 school year, the District launched the Reimagining Education | Reinvigorating Schools project to make plans for the District's facility and infrastructure future. This effort is to not only look at our school buildings and campus but to reimagine what education can and should be for our students moving into the future. The end goal of this process is to develop a 5-10 year facility plan that drives 21st Century educational excellence in DMPS. This work is being driven by the Facility Planning Committee, comprised of 84 individuals from the DMPS community who are interested and committed to the future of Iowa's largest school district and dedicated to helping DMPS plan for that eventuality. In the 2024-25 school year, the district also launched a plan to develop a district-wide strategic plan; roll out the Diploma+ initiative; and develop a Board goal around college, career, and service readiness. These initiatives will converge to provide direction for the District for the next decade.

Des Moines voters overwhelmingly approved the Des Moines Public Schools bond referendum in the Tuesday, November 4, 2025 election. The bond measure received more than 73.6% of the vote, well over the required 60% super majority.

The District continues to heavily invest in technology in the classroom, and investment in technology was ramped up in response to the COVID-19 pandemic. All DMPS students are given a laptop for their academic use and wifi hotspots are available for students and teachers who need connectivity from home. The District is incorporating a blended learning approach in the classroom as well as through its virtual school. This is an ongoing initiative to ensure each student is taught in a 21st century learning environment.

Other Financial Information

Internal Control. District management is responsible for establishing and maintaining an internal control system designed to ensure that its assets are protected from loss, theft, or misuse and that adequate accounting data are compiled to allow for the preparation of the basic financial statements in accordance with accounting principles generally accepted in the United States of America. Internal control is designed to provide reasonable, but not absolute, assurances that these objectives are met. The concept of reasonable assurance recognizes that the cost of a control should not exceed the benefits likely to be derived and the valuation of costs and benefits requires estimates and judgments by management.

Single Audit. As a recipient of federal, state, and county financial assistance, the District also is responsible for ensuring that adequate internal control is in place to ensure compliance with applicable laws and regulations related to those programs. This internal control is subject to periodic evaluation by management and external auditors.

As a part of the District's single audit described earlier, tests are made to determine the adequacy of the internal control over financial reporting and its compliance with applicable laws and regulations, including those related to major federal awards programs. The results of the District's single audit for the fiscal year ending June 30, 2025 has not yet been completed, as the guidance from OMB (Office of Management and Budget) has not been finalized. The single audit will be issued separately, as is done by the State of Iowa.

Budgetary Controls. In addition, the District maintains strong budgetary controls. The objective of these budgetary controls is to ensure compliance with legal provisions embodied in the annual appropriated budget approved by the Board of Education. Activities of the General fund, Special Revenue funds, Debt Service fund, Enterprise funds and Capital Projects funds are included in the annual appropriated budget by program. Project length financial plans are adopted for Capital Projects funds and budgeted accordingly on an annual basis. The level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is established at the function level for all combined funds, rather than at the individual fund level.

As demonstrated by the statements and schedules included in the financial section of this report, the District continues to meet its responsibility for sound fiscal management.

Basis of Presentation. The charts and accounts used by the District have been prepared in conformity with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Governmental Units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records materially conform to the Uniform Accounting System for Iowa Schools, Chapter 11 of the Code of Iowa and Area Educational Agencies issued by the Iowa Department of Education. The chart of accounts manual is updated annually, and the District is materially in compliance with these requirements.

Independent Audit. The accounting firm RSM US LLP was selected to perform the annual audit in accordance with Chapter 11 of the Code of Iowa. In addition to meeting the requirements set forth in state statutes, the audit was designed to meet the requirements of the federal Single Audit Act and Subpart F of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). The auditor's report on the basic financial statements, combining and individual fund statements, and other schedules, is included in the financial section of this report. The Annual Comprehensive Financial Report also includes a statistical section which is unaudited.

Awards and Acknowledgments

The District is pleased to say that ASBO International awarded a *Certificate of Excellence in Financial Reporting* to the District for fiscal year ended June 30, 2024. The District has received this recognition from ASBO since 2007. This award represents the highest recognition for school district operations offered by ASBO International. In addition, GFOA awarded a *Certificate of Achievement for Excellence in Financial Reporting* to the District for fiscal year ended June 30, 2024. The District has received this recognition from GFOA since 2007. To be awarded a Certificate of Achievement, a district must publish an easily readable and efficiently organized Annual Comprehensive Financial Report. This report must satisfy both generally accepted accounting principles and applicable legal requirements.

Each certificate is valid for a period of one year, and the certificates for fiscal year 2024 are included in this report. The District believes that the current Annual Comprehensive Financial Report continues to meet the requirements for the GFOA and ASBO International certificate programs and will be submitting it to GFOA and ASBO International to determine eligibility for another certificate.

The preparation of this report on a timely basis could not have been accomplished without the efficient and dedicated efforts of the District's Financial Services and Talent and Personnel departments staff and our independent auditors from RSM US LLP. The District would like to express its appreciation to all staff members who assisted and contributed to this report, as well as members of city and county governments. Additional information on the operation of Des Moines Public Schools can be obtained from the District website: www.dmschools.org. Finally, appreciation is expressed for the interest and support of the Board in conducting the financial operations of the District in a most responsible and progressive manner.

Respectfully submitted,



Matthew Smith, Interim Superintendent



Shashank Aurora, CFO
CPA, SBO

**Board of Education and School District Officials
Year Ended June 30, 2025**

Name	Title	Term Expires	District Represented
Board of Education (as of June 30, 2025)			
Jackie Norris	Chair	2025	At-Large
Dr. Skylar Mayberry-Mayes*	Vice Chair	2025	District Four
Maria Alonzo	Board Member	2025	At-Large
Anna Campos	Board Member	2027	District Three
Patrick Dix	Board Member	2027	At-Large
Jenna Knox	Board Member	2025	District Two
Kimberly Martorano	Board Member	2027	District One

*Dr. Mayberry-Mayes was appointed to the School Board in April 2024 to fill the vacancy left by the resignation of Teree Caldwell-Johnson and will serve until the next election in November 2025.

School District Officials (as of June 30, 2025)			
Ian Roberts**	Superintendent		
Shashank Aurora	Secretary and Treasurer	Appointed	

**On September 26, 2025, Matthew Smith, Associate Superintendent, was named Interim Superintendent. Mr. Smith previously served as DMPS Interim Superintendent during the 2022-23 school year.



Government Finance Officers Association

Certificate of
Achievement
for Excellence
in Financial
Reporting

Presented to

**Des Moines Independent Community School District
Iowa**

For its Annual Comprehensive
Financial Report
For the Fiscal Year Ended

June 30, 2024

Christopher P. Morrell

Executive Director/CEO



ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

**The Certificate of Excellence in Financial Reporting
is presented to**

**Des Moines Independent
Community School District**

**for its Annual Comprehensive Financial Report
for the Fiscal Year Ended June 30, 2024.**

The district report meets the criteria established for
ASBO International's Certificate of Excellence in Financial Reporting.



A handwritten signature in black ink, reading 'Ryan S. Stechschulte'.

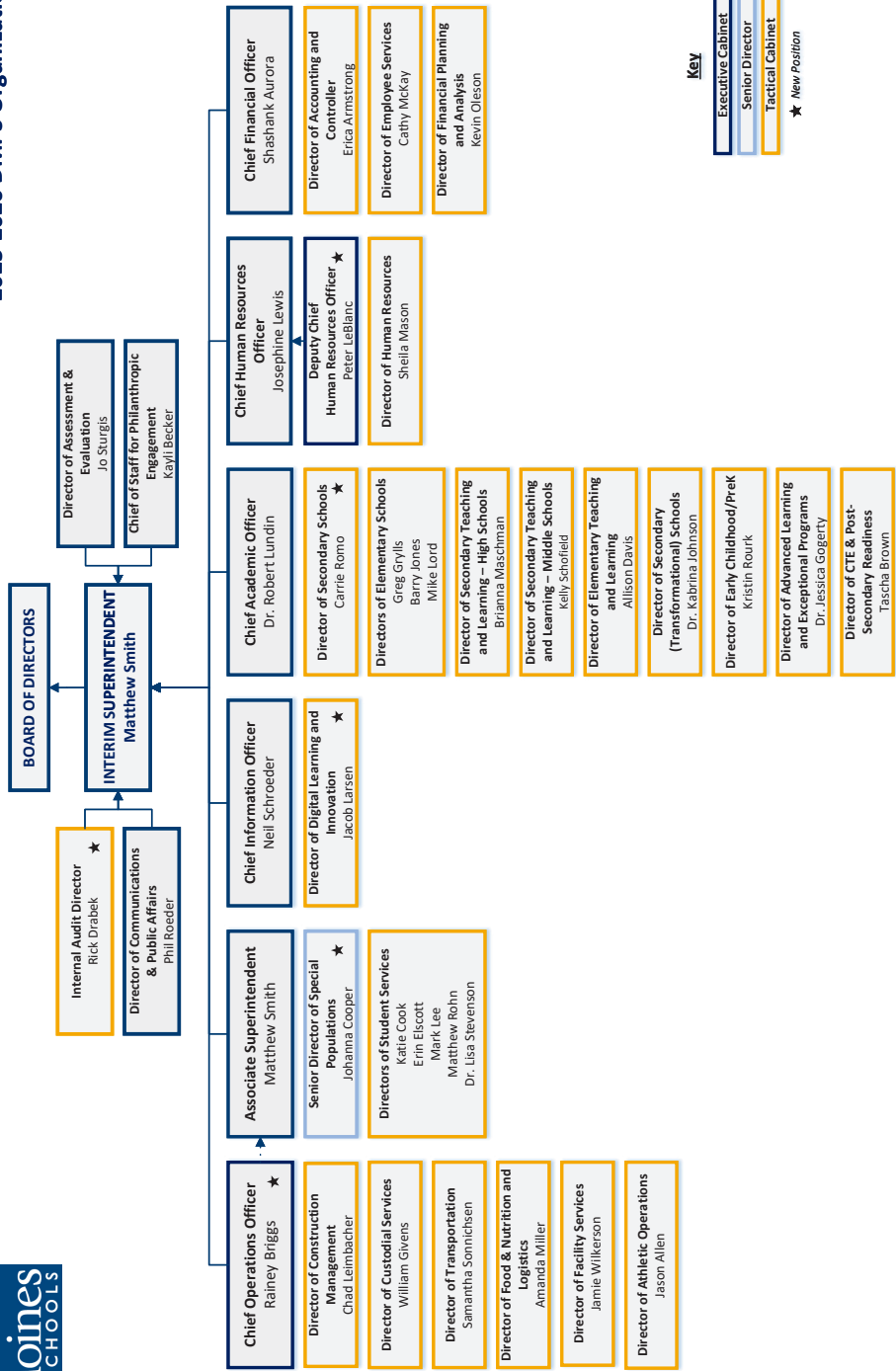
Ryan S. Stechschulte
President

A handwritten signature in black ink, reading 'James M. Rowan'.

James M. Rowan, CAE, SFO
CEO/Executive Director



2025-2026 DMPS Organizational Chart



Key

- Executive Cabinet
- Senior Director
- Tactical Cabinet
- ★ New Position

Updated 8/13/25

COME HERE.
BECOME HERE.
THE BEST YOU



Financial Section





Independent Auditor's Report

RSM US LLP

Board of Education
Des Moines Independent Community School District

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the Des Moines Independent Community School District (the District), as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Des Moines Independent Community School District, as of June 30, 2025, and the respective changes in financial position, and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Emphasis of Matter

As discussed in Note 14 to the basic financial statements, the District adopted Governmental Accounting Standards Board (GASB) Statement No. 101, *Compensated Absences*, as of July 1, 2024. The implementation of this standard resulted in the restatement of July 1, 2024 net position for governmental activities, business-type activities, and the aggregate remaining fund information.

As discussed in Note 14 to the basic financial statements, the District restated the July 1, 2024 beginning net position of the governmental activities, business-type activities, and the aggregate remaining fund information to correct an error related to the allocation of the total OPEB liability and other OPEB-related amounts.

Our opinions are not modified with respect to these matters.

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Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for 12 months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis, budgetary comparison information, schedule of changes in the District's total other postemployment benefit liability and related ratios, the Iowa Public Employees' Retirement System schedule of the District's proportionate share of the net pension liability, schedule of the District's contributions, notes to required supplementary information, Des Moines Teachers' Retirement System schedule of changes in net pension liability (asset), schedule of net pension liability (asset) and related ratios, schedule of money-weighted rate of return, and schedule of contributions from the District be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with GAAS, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The accompanying supplementary information, consisting of the combining nonmajor fund financial statements are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with GAAS. In our opinion, the combining nonmajor fund financial statements are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual comprehensive financial report. The other information comprises the introductory and statistical sections but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated March 4, 2026 on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering District's internal control over financial reporting and compliance.

RSM US LLP

Des Moines, Iowa
March 4, 2026

Management's discussion and analysis

This Management's Discussion and Analysis is provided by the management of the Des Moines Independent Community School District (the District or DMPS) to offer readers an overview and analysis of the financial activities of the District for the fiscal year that ended June 30, 2025. We encourage readers to consider the discussion and analysis presented here in conjunction with the financial statements, which follow.

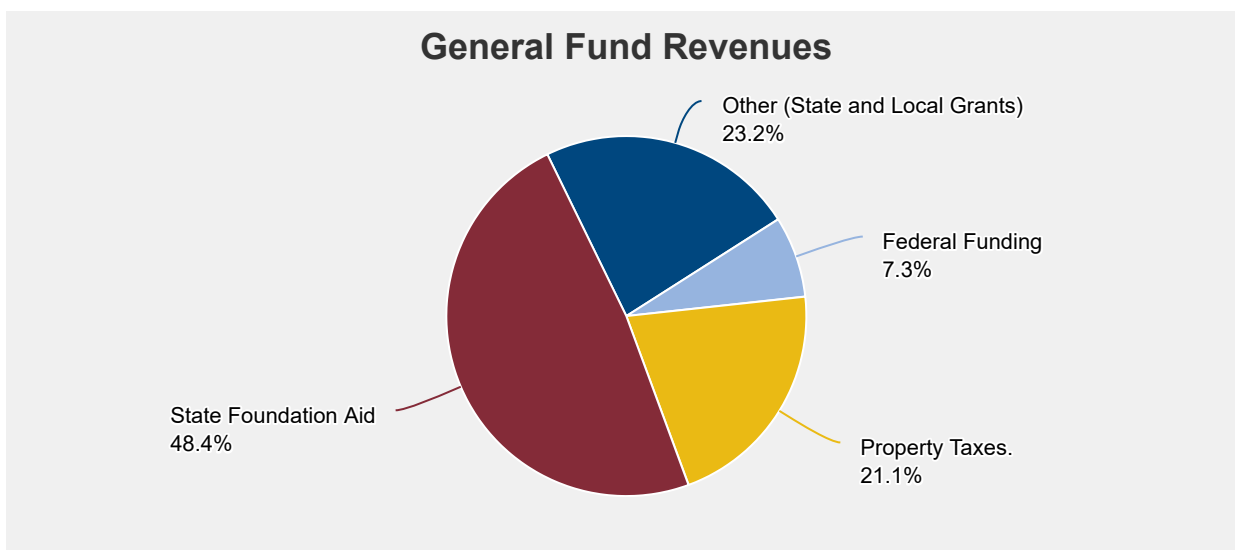
Financial Highlights

- **Budget:** The State of Iowa (the State) legislatively approved a state supplemental aid factor of 3.00% for fiscal year 2024. For fiscal year 2025, the state supplemental aid rate was 2.50%.

In April 2024, the District's Board of Education (the Board) approved an expenditure budget for fiscal year 2025 for all funds of \$617.4 million (without transfers) or \$641.9 million (including transfers). In April 2025, the Board approved a budget amendment that increased expenditures by \$25.0 million primarily due to increases to tuition out students, increases in non-instructional software and internet, and increases to SAVE project costs.

- **Revenue:** Government-wide revenues (including business-type activities) were \$590.3 million for the year ended June 30, 2025, which primarily consisted of state aid and other state sources, property taxes and sales tax for capital projects. General revenues accounted for 72.4% of the Government-wide revenue. Program revenues in the form of charges for services, operating grants and contributions, and capital grants and contributions accounted for 27.6% of total government-wide fiscal year 2025 revenues. Government-wide revenues were higher in fiscal year 2025 compared to fiscal year 2024, and the increase was primarily in business-type activity revenues. General Fund revenues decreased, as described below.

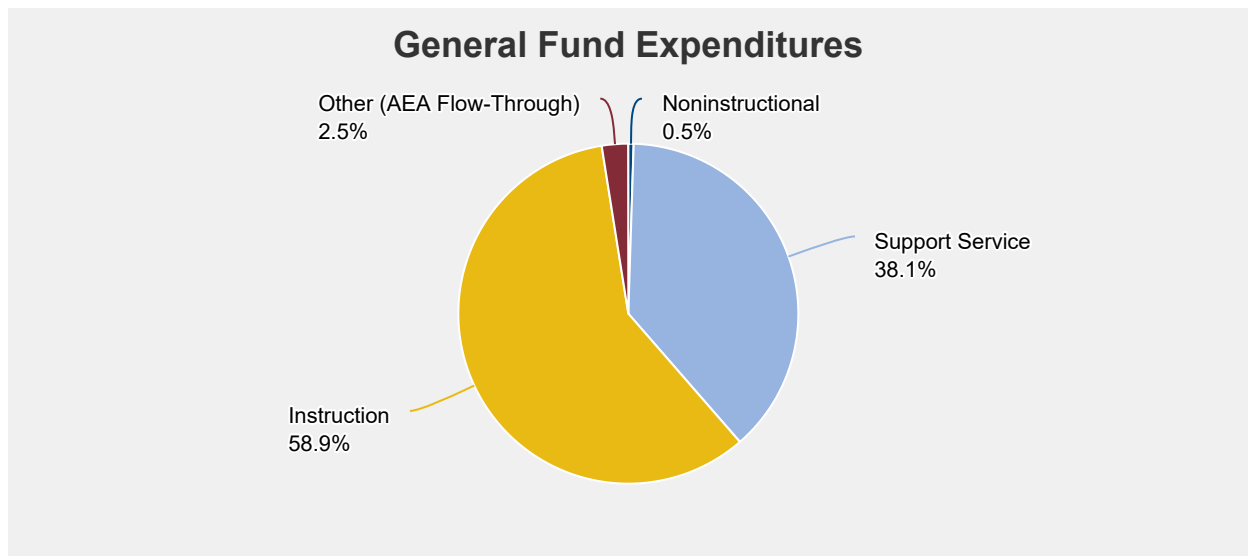
The General Fund had \$470.2 million in revenues for fiscal year 2025, which primarily consisted of state foundation aid and property taxes. General Fund revenues decreased 1.7% (approximately \$8.0 million) in fiscal year 2025 primarily due to a decrease in federal sources and other local sources revenues. Federal funds decreased \$21.1 million of which \$15.0 million was from ESSER funds, and \$6.2 million was from Emergency Connectivity funds. Other local source revenue increased \$3.5 million primarily from an increase in investment earnings of \$3.6 million. Property tax revenues increased by \$0.6 million due to an increase in property valuations offset by a decrease in the property tax rate from 15.34 to 14.68.



- Expenses:** Government-wide expenses (including business-type activities) for the year ended June 30, 2025 were \$570.8 million, of which \$163.2 million of these expenses were offset by program specific charges for services or grants and contributions. General revenues of \$427.1 million provided for the remaining costs of these programs.

During fiscal year 2025, the District identified an error in the classification of OPEB expenses between governmental activities and the enterprise fund. The financial statements for fiscal year 2024 have been restated to correct this error. As a result, the beginning net position for governmental activities increased by \$2,561,859, and the beginning net position for business-type activities decreased by \$2,561,859. Additional details are provided in Note 14 – Accounting Changes and Error Corrections.

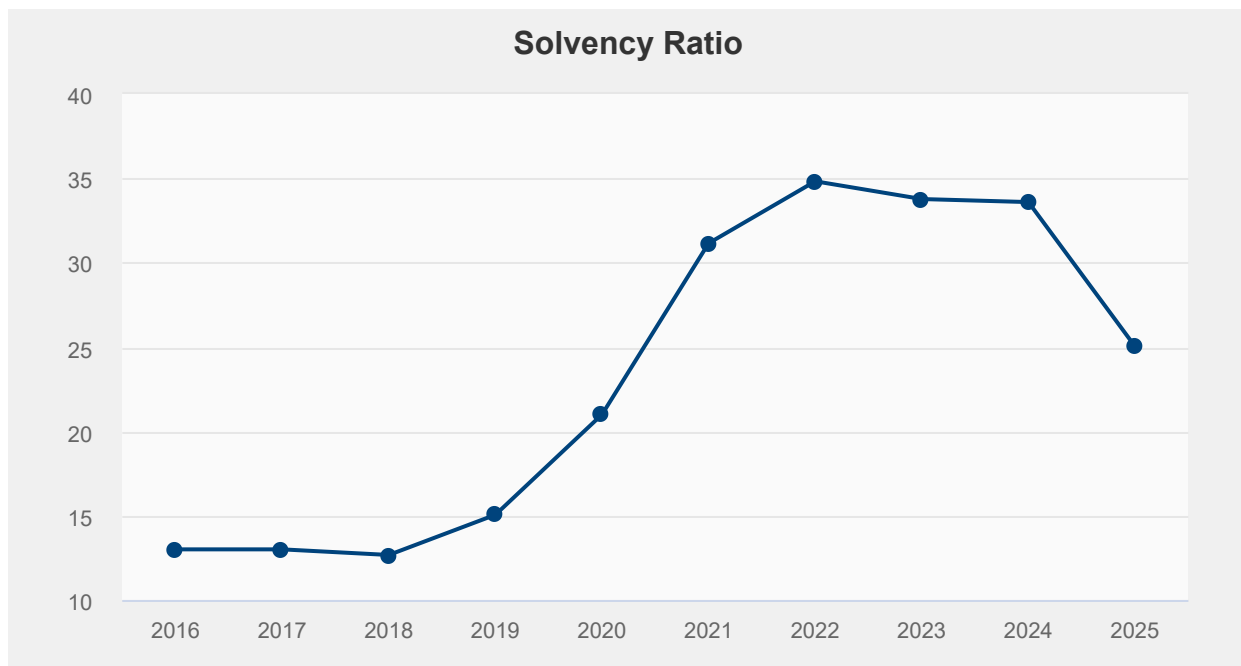
The General Fund had \$517.2 million in fiscal year 2025 expenditures, which primarily consisted of instruction expenditures. General Fund expenditures increased 5.3%. Increases in expenditures are the result of wage increases, tuition out costs, and other operational costs.



- General Fund Balance and Solvency Ratio:** The District's overall General Fund balance decreased from \$175.4 million as of June 30, 2024 to \$131.9 million as of June 30, 2025, a decrease of \$43.5 million. The District, like all school districts in the state, is required to maintain a balanced budget. To balance the District budget, one of many strategies the District employed was to ensure revenue and expenditures remained balanced.

The General Fund unassigned portion of fund balance decreased from \$154.2 million as of June 30, 2024 to \$113.9 million as of June 30, 2025, a decrease of \$40.3 million.

The District's solvency ratio decreased from 33.6% as of June 30, 2024 to 25.0% as of June 30, 2025.



The Board established a solvency ratio minimum of 15% during fiscal year 2013. The Iowa Association of School Boards (IASB) considers a solvency ratio of 0% - 5% to be adequate for short-term credit purposes, while a ratio of 5% - 15% is within “target” or “good” and, therefore, “can handle the unexpected.” The Government Finance Officers Association (GFOA) recommends at least two months of expenditures of cash on hand. The District will continue to focus efforts on maintaining the solvency ratio to meet the 15% objective.

- Debt:** The District’s total long-term debt related to bonds decreased by \$18.1 million during the fiscal year due to continued principal payments on existing bonds, along with the corresponding reduction in interest expense. The total outstanding bond debt at the end of the fiscal year is approximately \$80.8 million, consisting solely of revenue bonds. Additional debt relates to subscription based IT arrangements (SBITA) and lease liabilities. The District entered into two new SBITA agreements at the end of fiscal year 2025 incurring additional debt of \$1.1 million, all of which remains due at June 30, 2025. The District did not enter into any new lease arrangements during the fiscal year. After principal and interest payments made during fiscal year 2025, the remaining lease obligation is \$0.5 million at June 30, 2025.

On November 4, 2025, voters authorized the issuance of General Obligation Bonds totaling \$265,000,000 for the District’s Reimagine Education capital improvements and infrastructure projects. As of the date of this report, none of these bonds have been issued. This authorization does not affect the financial position as of June 30, 2025, and no liability is recorded in these financial statements.

Overview of the Financial Statements

This Management's Discussion and Analysis is intended to serve as an introduction to the District's basic financial statements. The District's basic financial statements is comprised of: 1) government-wide financial statements, 2) fund financial statements, 3) notes to basic financial statements, and 4) required supplementary information.

Government-wide financial statements: The Government-wide financial statements are designed to provide readers with a broad overview of the District's finances, in a manner similar to a private-sector business. These statements provide both short-term and long-term information about the District's overall financial status. That is, all the current year's revenues and expenses are accounted for in the statement of activities, regardless of when the cash is received or paid.

Over time, increases or decreases in the District's net position are an indicator of whether the financial position is improving or deteriorating, respectively. However, to assess the District's overall financial health, non-financial factors should also be considered, such as changes in the District's property tax base and the condition of District's school buildings.

In the Government-wide financial statements, the District's activities are divided into two categories:

- **Governmental activities:** These are activities primarily supported by property taxes and intergovernmental revenues such as state aid or federal funding, and expenditures are classified by function such as instruction, student services, instructional support services, general administration, building administration, business and central administration, plant operation and maintenance, student transportation, non-instructional, and interest and issuance costs on long-term debt.
- **Business-type activities:** These are supported by fees charged by the District to help cover the costs of services such as school nutrition, childcare, home construction, automotive, and farm-to-market ag store.

Fund financial statements: A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. These statements focus on individual parts (funds) of the District, reporting the District's operations in more detail than the Government-wide statements. Some funds are required by state law or bond covenants and some are established to control and manage money for particular purposes.

All of the funds of the District can be divided into three categories: governmental funds, proprietary funds, and fiduciary funds.

- **Governmental funds:** Governmental funds are used to account for essentially the same functions reported as governmental activities in the Government-wide financial statements. These statements explain how basic services, such as regular program and special education, were financed in the short-term as well as what remains for future spending.

Both the governmental funds balance sheet and the governmental funds statement of revenues, expenditures and changes in fund balances provide a reconciliation to facilitate the comparison between governmental funds and governmental activities.

Information is presented separately in the governmental funds balance sheet and in the governmental funds statement of revenues, expenditures, and changes in fund balances for the General Fund and the Management Fund which are considered major funds. Data from the other governmental funds are combined into a single, aggregated presentation. This aggregated information includes the Special Revenue funds of Student Activity, and DMPS Expendable Trust; the Debt Service Fund;

and the Capital Projects funds of Physical Plant and Equipment Levy (PPEL), Public Education and Recreation Levy (PERL), and Statewide Sales and Services Tax fund (SAVE).

- **Proprietary funds:** Proprietary funds offer short-term and long-term financial information about the activities the District operates like businesses, i.e., fees are charged to cover the cost of services rendered.

These funds include activities defined as enterprise funds and internal service funds. The District's enterprise funds are all considered nonmajor and include School Nutrition, Child Care, Home Construction, Automotive, and Farm-to-Market Ag Store.

The District has three internal service funds: Self-Insurance, Risk Management, and Print Shop. Because all these services predominately benefit the District's governmental activities, rather than the business-type activities, they have been included in the governmental activities in the Government-wide financial statements.

- **Fiduciary funds:** Fiduciary funds provide information about the financial relationships in which the District acts solely as a trustee or custodian for the benefit of others. Fiduciary funds are not reflected in the Government-wide financial statements, because the resources of those funds are not available to support the District's own programs. These funds include Des Moines Teachers' Retirement System (DMTRS) Pension Trust, Private Purpose Trust, and a Custodial Fund.

Notes to basic financial statements: The financial statements also include notes that provide additional information that is essential to a full understanding of the data provided in the Government-wide and fund financial statements.

Major features of the Government-wide and fund financial statements:

Government-Wide Statements		Fund Financial Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	Activities that are not proprietary or fiduciary, such as instruction, administration, and building maintenance	Activities the District operates similar to private businesses such as school nutrition	Activities the District administers resources on behalf of someone else, such as scholarships
Required financial statements	Statement of Net Position	Balance Sheet	Statement of Net Position	Statement of Fiduciary Net Position
	Statement of Activities	Statement of Revenues, Expenditures and Changes in Fund Balances	Statement of Revenues, Expenses and Changes in Net Position Statement of Cash Flows	Statement of Changes in Fiduciary Net Position
Accounting basis	Accrual accounting	Modified accrual accounting	Accrual accounting	Accrual accounting
Measurement focus	Economic resources focus	Current financial resources focus	Economic resources focus	Economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital and short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or longterm liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of inflow/outflow information	All revenues and expenses during year, regardless of when cash is received or paid	Revenues for which cash is received during or within specified periods after year-end of the year; expenditures when goods or services are received and liability is due and payable	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

Supplementary information: In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the District's budgetary comparison, schedule of changes in the District's other postemployment benefit (OPEB) liability and related ratios, and a schedule of the District's proportionate share of the net pension liability and schedule of contributions.

Government-Wide Financial Analysis

Net position: The following table presents a summary of the District's net position for the year ended June 30, 2025 with comparison totals as of June 30, 2024.

	Governmental Activities 2025	Governmental Activities 2024, restated *	Business-Type Activities 2025	Business-Type Activities 2024, restated *	Total 2025	Total 2024, restated *	Difference
Current assets and other assets \$	505,244,555	\$ 534,820,321	\$ 2,639,587	\$ 5,285,482	\$ 507,884,142	\$ 540,105,803	\$ (32,221,661)
Capital assets, net	627,278,512	611,926,663	1,424,466	1,489,915	628,702,978	613,416,578	15,286,400
Total assets	1,132,523,067	1,146,746,984	4,064,053	6,775,397	1,136,587,120	1,153,522,381	(16,935,261)
Deferred outflows of resources	39,580,596	55,396,870	2,975,482	4,406,462	42,556,078	59,803,332	(17,247,254)
Other liabilities	87,537,636	88,173,157	3,521,958	1,122,520	91,059,594	89,295,677	1,763,917
Long-term liabilities	300,937,125	321,896,587	4,600,358	7,428,892	305,537,483	329,325,479	(23,787,996)
Total liabilities	388,474,761	410,069,744	8,122,316	8,551,412	396,597,077	418,621,156	(22,024,079)
Deferred inflows of resources	193,379,772	183,941,572	3,403,608	4,260,669	196,783,380	188,202,241	8,581,139
Net position:							
Net investment in capital assets	559,019,759	523,562,681	1,424,466	1,489,915	560,444,225	525,052,596	35,391,629
Restricted	100,863,365	105,671,080	-	-	100,863,365	105,671,080	(4,807,715)
Unrestricted (deficit)	(69,633,994)	(21,101,223)	(5,910,855)	(3,120,137)	(75,544,849)	(24,221,360)	(51,323,489)
Total net position \$	590,249,130	\$ 608,132,538	\$ (4,486,389)	\$ (1,630,222)	\$ 585,762,741	\$ 606,502,316	\$ (20,739,575)

* Prior year amounts have been restated to correct an error in accounting related to OPEB liability allocation between governmental activities and business-type activities. The restatement does not reflect the implementation of GASB Statement No. 101, *Compensated Absences*, which was adopted in the current year. See Note 14 for impact of these changes.

The Districts total assets decreased by \$16.9 million during the year ended June 30, 2025, primarily due to an increase of \$15.3 million in capital assets related to continued capitalization of school renovation and major repair projects, offset by a \$32.2 million decrease in current and other assets. The capital asset projects are part of the District's overall renovation plans. It should be noted that the District uses these capital assets to provide educational services; consequently, these assets are not available for future spending. The \$32.2 million decrease in current and other assets was primarily due to an increase in property tax and other receivables, offset by reduction in amounts due from other governments and interest receivables.

Deferred outflows of resources decreased by \$17.2 million during the year ended June 30, 2025, primarily from amounts recorded for IPERS and DMTRS defined benefit pension plans as detailed in Note 9.

During the year ended June 30, 2025, the District's total liabilities decreased by \$22.0 million compared to the year ended June 30, 2024. The change is primarily due to a decrease in net pension liability of \$44.0 million, a decrease in principal due on long-term liabilities related to revenue bonds of \$18.1 million and an increase in compensated absences of \$42.4 million. The increase noted includes the result of the implementation of GASB Statement No. 101, *Compensated Absences*. The restatement of the June 30, 2024 liability due to the implementation was \$40.2 million of the previously mentioned increase.

Deferred inflows of resources increased by \$8.6 million during the year ended June 30, 2025, primarily from amounts related to OPEB and succeeding year property taxes, offset by a decrease in IPERS and DMTRS defined benefit pension plans as detailed in Note 9.

The District's total net position increased by \$19.5 million, excluding the impact of the restatement, during the year ended June 30, 2025. At the end of fiscal year 2025, the District reported a positive balance in total net position. The same held true for the prior fiscal year. After the restatement related to GASB Statement No. 101, *Compensated Absences*, the overall change to total net position was a decrease of \$20.8 million. See Note 14 for the impact of the restatement on net position and liabilities.

Changes in net position: The following schedule shows the changes in net position for the year ended June 30, 2025 with comparison totals for the year ended June 30, 2024. The difference between revenues and expenses represents the change in net position.

	Governmental Activities 2025	Governmental Activities 2024, restated *	Business-Type Activities 2025	Business-Type Activities 2024, restated *	Total 2025	Total 2024, restated *	Difference
Revenues:							
Program revenues:							
Charges for services	\$ 24,566,158	\$ 27,373,762	\$ 4,281,459	\$ 4,130,186	\$ 28,847,617	\$ 31,503,948	\$ (2,656,331)
Operating grants and contributions	106,911,475	116,456,152	25,024,044	23,814,953	131,935,519	140,271,105	(8,335,586)
Capital grant and contributions	2,357,355	3,308,647	58,674	-	2,416,029	3,308,647	(892,618)
General revenues:							
Property taxes	138,456,006	137,392,787	-	-	138,456,006	137,392,787	1,063,219
Sales tax for capital projects	40,741,153	40,540,358	-	-	40,741,153	40,540,358	200,795
Investment earnings	16,133,059	12,509,723	-	-	16,133,059	12,509,723	3,623,336
State aid and other state sources	227,460,476	218,526,362	-	-	227,460,476	218,526,362	8,934,114
Other local sources, including gain on sale of capital assets	4,083,660	5,080,092	245,762	204,752	4,329,422	5,284,844	(955,422)
Total revenues	560,709,342	561,187,883	29,609,939	28,149,891	590,319,281	589,337,774	981,507
Expenses:							
Instruction	307,917,048	305,718,868	-	-	307,917,048	305,718,868	2,198,180
Support services	213,965,402	202,862,639	-	-	213,965,402	202,862,639	11,102,763
Noninstructional	3,458,545	4,722,526	-	-	3,458,545	4,722,526	(1,263,981)
Other expenses	14,492,275	17,418,983	31,003,231	27,831,387	45,495,506	45,250,370	245,136
Total expenses	539,833,270	530,723,016	31,003,231	27,831,387	570,836,501	558,554,403	12,282,098
Change in net position before transfers	20,876,072	30,464,867	(1,393,292)	318,504	19,482,780	30,783,371	(11,300,591)
Transfers	-	1,378,365	-	(1,378,365)	-	-	-
Change in net position	20,876,072	31,843,232	(1,393,292)	(1,059,861)	19,482,780	30,783,371	(11,300,591)
Total net position (deficit), beginning of year, as restated	569,373,058	576,289,306	(3,093,097)	(570,361)	566,279,961	575,718,945	(9,438,984)
Net position, (deficit) ending	\$ 590,249,130	\$ 608,132,538	\$ (4,486,389)	\$ (1,630,222)	\$ 585,762,741	\$ 606,502,316	\$ (20,739,575)

* Prior year amounts have been restated to correct an error in accounting related to OPEB liability allocation between governmental activities and business-type activities. The restatement does not reflect the implementation of GASB Statement No. 101, *Compensated Absences*, which was adopted in the current year. See Note 14 for impact of these changes.

- The main revenue sources of general revenues for fiscal year 2025 were state aid and other state sources, property taxes and sales tax for capital projects, which account for 68.9% of total revenue.
- The District's expenses primarily relate to instruction and support services, which account for 91.4% of total expenses for fiscal year 2025.
- Overall, the District had an increase in net position of \$19.5 million in fiscal year 2025. The change in net position was an increase of \$30.8 million in fiscal year 2024.
- Governmental activities increased the net position by \$20.9 million, which is 107.2% of the total increase in net position for fiscal year 2025. The increase was primarily the result of increased state foundation aid, investment earnings, and an increase in property tax funding.
- During fiscal year 2025, the District identified an error in the classification of OPEB expenses between governmental activities and the enterprise fund. The financial statements for fiscal year 2024 have been restated to correct this error. As a result, the beginning net position for governmental activities increased by \$2,561,859, and the beginning net position for business-type activities decreased by \$2,561,859. Additional details are provided in Note 14 – Accounting Changes and Error Corrections.
- The net effect of implementing GASB Statement No. 101, *Compensated Absences*, and correcting the omission of allocating OPEB to the enterprise funds resulted in a decrease in beginning net position for governmental activities and business-type activities of \$36,197,621 and \$4,024,734, respectively.

Governmental Activities

- State aid and other state sources, property taxes, sales tax for capital projects are the primary sources of general revenue for the District at 40.6%, 24.7%, 7.3%, respectively, of total governmental activities revenues for fiscal year 2025 compared to 38.9%, 24.5%, 7.2%, respectively, for fiscal year 2024. Overall, governmental activities revenue decreased by 0.1% .
- Instruction cost constitutes the largest portion of governmental activity expenditures at \$307.9 million, representing 57.0% of governmental activities expenses. The District offers a wide array of programs including general and special education, vocational, and college preparatory classes.
- The noninstructional and other expenses of the District accounted for 3.3% of total governmental activity expenses.

Net Cost: The following table presents the total and net cost of the District's major governmental activities including instruction, other support services, noninstructional programs, and other expenses for fiscal year 2025, with comparative totals for fiscal year 2024:

	2025		2024	
	Total Expenses	Net (Expense) Revenue	Total Expenses	Net (Expense) Revenue
Instruction	\$ 307,917,048	\$ (197,913,633)	\$ 305,718,868	\$ (198,243,672)
Other support services	213,965,402	(205,299,980)	202,862,639	(182,083,309)
Noninstructional programs	3,458,545	(1,084,194)	4,722,526	(1,196,661)
Other expenses	14,492,275	(1,700,475)	17,418,983	(2,060,813)
Total expenses	\$ 539,833,270	\$ (405,998,282)	\$ 530,723,016	\$ (383,584,455)

Net cost of governmental activities was financed by general revenues, which are primarily made up of property taxes and state aid. Federal and state governments and charges for services subsidized certain programs with federal funds, grants and contributions, and other local revenues of \$133.8 million, representing 24.8% of total governmental activities expenses.

Business-Type Activities - Change in Net Position:

- The School Nutrition and Child Care funds constitute most of the District's business-type activities.
- The School Nutrition Fund's primary sources of revenue are (1) federal revenue and (2) student fees, and the primary expenses are staff and food expenses. Compared to FY 2024, there was an increase in food sales and an increase in federal revenue. Students in all DMPS schools were eligible for free meals in fiscal year 2025 and 2024. The School Nutrition Fund had a decrease in net position of \$1.0 million for fiscal year 2025.
- The primary source of revenue for the Child Care Fund is childcare fees, and the primary expense is staff. Compared to FY 2024, there was a decrease in childcare fees offset by an increase in revenue from federal sources related to an ARPA stipend grant. Expenditures increased approximately \$1.0 million in fiscal year 2025 related to a change in pension expense recorded and additional wage and benefits related to attendance bonuses. The Child Care Fund had a decrease in net position of \$358.7 thousand for fiscal year 2025.

Financial Analysis of the District's Funds

Governmental Funds Highlights

General Fund:

- The General Fund is the principal operating fund of the District.
- The fund balance for the General Fund decreased \$43.5 million in fiscal year 2025 compared to fiscal year 2024.
- General Fund revenues decreased 1.7% in fiscal year 2025 compared to fiscal year 2024 and was primarily due to 37.9% decrease in federal sources, 3.3% increase in other local sources, 4.1% increase in state foundation aid, 0.6% increase in property taxes. The decrease in federal funding is tied to a decrease in ESSER funding and Emergency Connectivity funding. The increase in other local resources is tied to an increase in investment earnings. The increase in property taxes is tied to an increase in the property valuations.
- The General Fund had \$517.2 million in fiscal year 2025 expenditures, which primarily consisted of instruction expenditures. General Fund expenditures increased 5.3%, primarily due to expenditures related to wage and benefits increases and tuition out student costs.

Management Fund:

- Management Fund accounts for transactions related to unemployment, early retirement, judgments and settlements and the cost of liability insurance as it relates to property and casualty.
- The Management Fund has a total fund balance of \$54.2 million as of June 30, 2025 and \$49.9 million as of June 30, 2024.

- The net change in fund balance for the Management Fund for fiscal year 2025 was an increase of \$4.2 million compared to an increase of \$10.2 million in fiscal year 2024. A special termination retirement benefit was offered in fiscal year 2025, increasing expenditures by \$3.8 million.

Business-Type Activities - Proprietary Fund Highlights

There are no major enterprise funds.

Budgetary Highlights

In accordance with state law, the Board annually adopts a budget following the public notice and hearing requirements. Although the budget document presents functional area expenditures or expenses by fund, the legal level of control is at the aggregated functional level, not at the fund or fund type level. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared in accordance with accounting principles generally accepted in the United States of America. As is the District's practice, the District modified its adopted budget once during fiscal year 2025.

- For fiscal year 2025, the District received 99.8% of budgeted General Fund revenues.
- The District budgeted total expenditures for fiscal year 2025 to be \$617.4 million, of which the General Fund budget was \$505.5 million. The amended fiscal year 2025 budget increased expenditures by \$25.0 million for additional costs related to tuition out student costs, non-instructional software costs, and capital project costs.
- The General Fund actual expenditure of \$517.2 million exceeded the amended General Fund expenditure budget of \$507.5 million due to wage increases, tuition out costs, and other operational costs.
- The actual expenditures were less than the final budget by \$4.4 million. The District exceeded the budget in support services and noninstructional program functions.
- The District's General Fund, its principal operating fund, continues to remain financially solvent.

Capital Assets and Debt Administration

Capital Assets: As of June 30, 2025, the District had invested \$628.7 million in capital assets, including school buildings, athletic facilities, buses and other vehicles, computers, and other equipment. Total capital assets represents a net increase of \$15.3 million. The increase is primarily due to construction-in-progress related to the continued capitalization of school renovation and major repair projects.

The following schedule presents capital asset balances, net of accumulated depreciation, for the fiscal year ended June 30, 2025, compared with balances as of June 30, 2024:

	Governmental Activities 2025	Governmental Activities 2024	Business-Type Activities 2025	Business-Type Activities 2024	Total 2025	Total 2024	Difference
Land	\$ 5,017,437	\$ 4,963,615	\$ 9,499	\$ 9,499	\$ 5,026,936	\$ 4,973,114	\$ 53,822
Construction-in-progress	10,114,879	30,443,044	-	-	10,114,879	30,443,044	(20,328,165)
Land improvements	19,165,167	7,350,985	-	-	19,165,167	7,350,985	11,814,182
Buildings and improvements	574,383,268	553,480,032	-	-	574,383,268	553,480,032	20,903,236
Vehicles, furniture and equipment	16,388,342	12,702,207	1,414,967	1,480,416	17,803,309	14,182,623	3,620,686
SBITA assets	1,731,162	942,503	-	-	1,731,162	942,503	788,659
Lease assets, equipment	478,257	2,044,277	-	-	478,257	2,044,277	(1,566,020)
Total	\$ 627,278,512	\$ 611,926,663	\$ 1,424,466	\$ 1,489,915	\$ 628,702,978	\$ 613,416,578	\$ 15,286,400

Additional information on the District’s capital assets can be found in Note 5 to the Basic Financial Statements.

Debt Administration: The District debt liability consists of SAVE revenue bonds and lease liabilities.

The District currently holds the following SAVE revenue bonds:

- Series 2014 SAVE Revenue Bonds: \$61.9 million
- Series 2018 SAVE Revenue Bonds: \$56.2 million
- Series 2021 SAVE Revenue Bonds: \$66.3 million

As of June 30, 2025, the District has \$80.8 million in bonds outstanding, of which \$18.9 million is due within one year.

As of June 30, 2025, the District has \$1.1 million in SBITA liability, of which \$0.3 million is due within one year. As of June 30, 2025, the District has \$0.5 million in lease liability, of which \$0.1 million is due within one year.

The following table presents a summary of the District’s outstanding long-term debt for the year ended June 30, 2025, with comparative information as of June 30, 2024:

	2025	2024	Difference
Lease liability	\$ 483,616	\$ 884,798	\$ (401,182)
SBITA liability	1,097,768	174,430	923,338
Sales tax revenue bonds	80,825,000	98,880,000	(18,055,000)
Total	\$ 82,406,384	\$ 99,939,228	\$ (17,532,844)

State statutes currently limit the amount of debt a district may issue to five percent of its total assessed valuation. The District’s debt limitation for fiscal year 2025 was \$955.0 million, which is substantially more than the District’s outstanding debt.

Additional information about the District’s debt can be found in Note 6 to the basic financial statements.

Factors Bearing on the District’s Future

At the time these financial statements were prepared and audited, the District was aware of the following existing circumstances that could affect its financial health in the future:

- The District continues to experience declining enrollment. After a decade of steadily increasing enrollment, certified enrollment peaked in the 2017-18 school year at 33,057 students. Enrollment began declining in the 2018-19 school year. The District experienced the largest enrollment decline during the COVID-19 pandemic. Since the peak enrollment, certified enrollment has decreased by more than 2,200 students. Certified enrollment in fiscal year 2025 increased by 34 compared to the previous school year; however, enrollment is projected to continue to decrease in future years.

- In addition to the enrollment impact due to the global pandemic, the state has enacted new laws that have negatively impacted enrollment in public schools. During the 2021 legislative session, the Iowa Legislature enacted a bill to eliminate voluntary diversity plans for Iowa school districts. The District has been operating without a diversity plan since spring of 2021 when the governor signed that new legislation into effect for the 2021-22 school year. At that time, the deadline was eliminated for families residing in a district that had a diversity plan, and impacted families were able to apply to leave the District at any time.
- During the 2022 legislative session, legislation was also passed to remove the deadline for ALL applicants so now anyone in Iowa can apply for open enrollment at any time. This means that open enrollment decisions are made by the receiving districts, and they can only deny the request if they do not have the space/staff to accommodate the student. There are no other means of denial for open enrollment per new state code. Those two factors have led to the dramatic increase in the number of new open enrollment out applicants the last three years.
- During the 2023 legislative session, the state enacted school vouchers for public school students to attend private schools with tuition expenses (up to the state cost per pupil) funded by Iowa taxpayers. The implementation of the vouchers for private school attendance will be rolled out on the following basis:

Year	Pupils eligible to receive a tax payer-funded voucher to attend private school	Vouchers issued to DMPS residents
FY 2024	• All kindergarten pupils.	
	• Pupils who were enrolled in a public school the previous year.	2,224
	• Pupils who were enrolled in a nonpublic school the previous year with an annual household income at or below 300.0% of the federal poverty level (FPL) (\$83,250 for a family of four).	
FY 2025	• All kindergarten pupils.	
	• Pupils who were enrolled in a public school the previous year.	3,115
	• Pupils who were enrolled in a nonpublic school the previous year with an annual household income at or below 400.0% of the FPL (\$111,000 for a family of four).	
FY 2026	• All K-12 pupils in Iowa who attend a nonpublic school	

An analysis conducted by the Iowa Legislative Services Agency (a nonpartisan, central legislative staff agency) projected 14,068 would enroll in fiscal year 2024, the first year of the program. In actuality, according to the Iowa Department of Education, 16,757 students received a voucher in the first year of the program, costing approximately \$127.9 million to Iowa taxpayers. In fiscal year 2025 the estimated number of vouchers was 20,000. The actual number of vouchers was 27,866 for a total cost of \$218.0 million to Iowa taxpayers. The significant increase was due to the increase in the household income limit for eligibility. For fiscal year 2026, there is no income limit.

- For public schools the annual certified enrollment is multiplied by the district cost per student to determine the amount of state foundation aid the District received for the fiscal year (from a combination of state aid and property taxes). The rate of growth for Supplemental State Aid for fiscal year 2025 was 2.50% compared to 3.00% for fiscal year 2024. Supplemental State Aid rate for fiscal year 2026 is 2.00%. The annual growth rate for Supplemental State Aid for the past decade has averaged 2.11%.

The LSA *Fiscal Report 2025* detailed the revised FY 2025 estimate for a \$2.1 billion surplus, with a FY 2026 estimated surplus of \$1.6 billion. The State has plenty of funds to adequately fund public education, but they are funding nonpublic schools at the same per pupil student rate as public school students which will require a greater draw on State funds. This obligation will significantly affect the funds that are available for public schools in addition to the decreased enrollment that this will cause.

Contacting the District's Financial Management

This financial report is designed to provide our citizens, taxpayers, investors, and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the resources it receives. If you have questions about this report or need additional information, please contact:

Shashank Aurora, CPA
Chief Financial Officer
Des Moines Independent Community School District
Office of Business and Finance
515-242-7635
2100 Fleur Drive
Des Moines, Iowa 50321

Statement of Net Position

June 30, 2025

	Governmental Activities	Business-Type Activities	Total
Assets			
Current assets:			
Cash and investments	\$ 303,622,611	\$ 161,460	\$ 303,784,071
Property taxes receivable—current year	1,219,958	-	1,219,958
Property taxes receivable—succeeding year	140,092,312	-	140,092,312
Interest receivable	474,500	-	474,500
Other receivables, net	1,728,473	2,173,816	3,902,289
Due from other governments	28,596,786	575,143	29,171,929
Internal balances	1,187,939	(1,187,939)	-
Inventories	1,473,920	917,107	2,391,027
Prepaid expenses	1,939,486	-	1,939,486
Total current assets	480,335,985	2,639,587	482,975,572
Noncurrent assets:			
Restricted cash and investments	4,567,527	-	4,567,527
Cash held with agent	20,341,043	-	20,341,043
Capital assets:			
Capital assets—nondepreciable	15,132,316	9,499	15,141,815
Capital assets—depreciable, net	612,146,196	1,414,967	613,561,163
Total capital assets	627,278,512	1,424,466	628,702,978
Total noncurrent assets	652,187,082	1,424,466	653,611,548
Total assets	1,132,523,067	4,064,053	1,136,587,120
Deferred Outflows of Resources			
Pension related amounts	33,799,242	2,796,062	36,595,304
OPEB related amounts	5,781,354	179,420	5,960,774
Total deferred outflows of resources	39,580,596	2,975,482	42,556,078

See notes to basic financial statements.

Statement of Net Position

June 30, 2025

	Governmental Activities	Business-Type Activities	Total
Liabilities			
Current liabilities:			
Accounts payable	\$ 12,959,041	\$ 56,255	\$ 13,015,296
Claims payable	6,541,579	-	6,541,579
Accrued payroll and related benefits	41,328,741	16,992	41,345,733
Accrued interest payable	269,469	-	269,469
Other current liabilities	987,135	512	987,647
Due to other governments	25,291,136	-	25,291,136
Unearned revenue	160,535	169,662	330,197
Termination benefits	3,807,901	-	3,807,901
Compensated absences	44,219,667	2,005,604	46,225,271
Lease liability	139,179	-	139,179
SBITA liability	315,477	-	315,477
Revenue bonds	18,865,000	-	18,865,000
Total current liabilities	154,884,860	2,249,025	157,133,885
Noncurrent liabilities:			
Retrospective insurance rating plan	2,390,450	-	2,390,450
Compensated absences	1,687,267	66,001	1,753,268
Lease liability, net of current position	344,437	-	344,437
SBITA liability, net of current position	782,291	-	782,291
Termination benefits	317,060	-	317,060
Other postemployment benefits (OPEB)	38,890,483	1,206,932	40,097,415
Revenue bonds, net of bond premiums and current position	65,753,322	-	65,753,322
Net pension liability	123,424,591	4,600,358	128,024,949
Total noncurrent liabilities	233,589,901	5,873,291	239,463,192
Total liabilities	388,474,761	8,122,316	396,597,077
Deferred Inflows of Resources			
Property taxes—succeeding year	140,092,312	-	140,092,312
Pension related amounts	6,017,626	1,947,383	7,965,009
OPEB related amounts	46,923,322	1,456,225	48,379,547
Deferred gain on refunding	346,512	-	346,512
Total deferred inflows of resources	193,379,772	3,403,608	196,783,380
Net Position (Deficit)			
Net investment in capital assets	559,019,759	1,424,466	560,444,225
Restricted for:			
District Supported Trust	3,203,336	-	3,203,336
Capital projects	14,713,503	-	14,713,503
Categorical funding	2,114,601	-	2,114,601
Shared programs	358,159	-	358,159
Grants	973,642	-	973,642
Management levy	54,194,539	-	54,194,539
Physical plant and equipment levy	22,855,889	-	22,855,889
Public education and recreation levy	1,874,221	-	1,874,221
Student activities	575,475	-	575,475
Unrestricted (deficit)	(69,633,994)	(5,910,855)	(75,544,849)
Total net position (deficit)	\$ 590,249,130	\$ (4,486,389)	\$ 585,762,741

See notes to basic financial statements.

Statement of Activities

Year Ended June 30, 2025

Functions/Programs	Expenses	Program Revenues		
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions
Primary Government				
Governmental activities:				
Instruction	\$ 307,917,048	\$ 10,732,706	\$ 99,270,709	\$ -
Student services	39,747,585	-	58,417	-
Instructional support services	33,162,138	-	7,138,861	-
General administration	9,228,663	-	-	-
Building administration	34,323,085	-	-	-
Business and central administration	26,140,616	-	-	-
Plant operation and maintenance	55,133,727	-	-	-
Student transportation	16,229,588	1,041,652	426,492	-
Noninstructional	3,458,545	-	16,996	2,357,355
AEA support	12,791,800	12,791,800	-	-
Interest and issuance costs on long-term debt	1,700,475	-	-	-
Total governmental activities	539,833,270	24,566,158	106,911,475	2,357,355
Business-type activities:				
School nutrition	26,290,344	791,014	24,169,658	58,674
Child care	4,699,030	3,485,970	854,386	-
Automotive	13,529	4,463	-	-
Farm to market ag store	328	12	-	-
Total business-type activities	31,003,231	4,281,459	25,024,044	58,674
Total primary government	\$ 570,836,501	\$ 28,847,617	\$ 131,935,519	\$ 2,416,029
General revenues:				
Property taxes:				
Levied for general purposes				
Levied for management				
Levied for property, plant and equipment				
Levied for playground				
Sales tax, for capital projects				
State foundation aid, for general purposes				
Investment earnings				
Other local sources				
Gain on disposal of capital assets				
Insurance recoveries				
Total general revenues				
Changes in net position				
Total net position, beginning of year, as previously stated				
Adjustment for error correction				
Change in accounting principle				
Total net position (deficit), beginning of year, as restated				
Net position (deficit), end of year				

See notes to basic financial statements.

Net (Expense) Revenue and Changes in Net Position					
Governmental Activities		Business-Type Activities		Totals	
\$	(197,913,633)	\$	-	\$	(197,913,633)
	(39,689,168)		-		(39,689,168)
	(26,023,277)		-		(26,023,277)
	(9,228,663)		-		(9,228,663)
	(34,323,085)		-		(34,323,085)
	(26,140,616)		-		(26,140,616)
	(55,133,727)		-		(55,133,727)
	(14,761,444)		-		(14,761,444)
	(1,084,194)		-		(1,084,194)
	-		-		-
	(1,700,475)		-		(1,700,475)
	(405,998,282)		-		(405,998,282)
	-		(1,270,998)		(1,270,998)
	-		(358,674)		(358,674)
	-		(9,066)		(9,066)
	-		(316)		(316)
	-		(1,639,054)		(1,639,054)
\$	(405,998,282)	\$	(1,639,054)	\$	(407,637,336)
	99,344,847		-		99,344,847
	20,363,372		-		20,363,372
	17,515,651		-		17,515,651
	1,232,136		-		1,232,136
	40,741,153		-		40,741,153
	227,460,476		-		227,460,476
	16,133,059		-		16,133,059
	660,869		-		660,869
	28,995		-		28,995
	3,393,796		245,762		3,639,558
	426,874,354		245,762		427,120,116
	20,876,072		(1,393,292)		19,482,780
	605,570,679		931,637		606,502,316
	2,561,859		(2,561,859)		-
	(38,759,480)		(1,462,875)		(40,222,355)
	569,373,058		(3,093,097)		566,279,961
\$	590,249,130	\$	(4,486,389)	\$	585,762,741

See notes to basic financial statements.

Balance Sheet Governmental Funds

June 30, 2025

	General	Management	Nonmajor Governmental Funds	Total Governmental Funds
Assets				
Cash and investments	\$ 162,978,516	\$ 57,068,666	\$ 42,013,977	\$ 262,061,159
Restricted cash and investments	-	-	4,567,527	4,567,527
Cash held with agent	-	-	20,341,043	20,341,043
Property taxes receivable—current year	881,128	181,286	157,544	1,219,958
Property taxes receivable—succeeding year	100,038,169	20,966,972	19,087,171	140,092,312
Interest receivable	474,500	-	-	474,500
Other receivables, net	1,685,693	16,424	25,516	1,727,633
Due from other governments	24,324,377	-	4,272,409	28,596,786
Inventories	1,460,438	-	-	1,460,438
Due from other funds	12,408,879	1,320,603	-	13,729,482
Prepaid items	145,114	-	1,776,102	1,921,216
Total assets	\$ 304,396,814	\$ 79,553,951	\$ 92,241,289	\$ 476,192,054
Liabilities, Deferred Inflows of Resources and Fund Balances				
Liabilities:				
Accounts payable	\$ 3,821,664	\$ -	\$ 9,125,084	\$ 12,946,748
Claims payable	-	577,207	-	577,207
Accrued payroll and related benefits	40,966,462	-	801	40,967,263
Termination benefits	-	3,807,901	-	3,807,901
Other current liabilities	774,857	-	212,253	987,110
Due to other governments	24,788,720	7,332	2,200	24,798,252
Compensated absences	517,175	-	-	517,175
Total liabilities	70,868,878	4,392,440	9,340,338	84,601,656
Deferred inflows of resources:				
Succeeding year—property taxes	100,038,169	20,966,972	19,087,171	140,092,312
Unavailable revenue—intergovernmental	1,610,641	-	-	1,610,641
Total deferred inflows of resources	101,648,810	20,966,972	19,087,171	141,702,953
Fund balances:				
Nonspendable	1,605,552	-	1,776,102	3,381,654
Restricted	3,446,402	54,194,539	62,037,678	119,678,619
Committed	11,500,000	-	-	11,500,000
Assigned	1,444,973	-	-	1,444,973
Unassigned	113,882,199	-	-	113,882,199
Total fund balances	131,879,126	54,194,539	63,813,780	249,887,445
Total liabilities, deferred inflows of resources and fund balances	\$ 304,396,814	\$ 79,553,951	\$ 92,241,289	\$ 476,192,054

See notes to basic financial statements.

Reconciliation of Total Governmental Fund Balances to Net Position of Governmental Activities

June 30, 2025

Total governmental fund balances		\$	249,887,445
Amount reported for governmental activities in the statement of net position are different because:			
Capital assets, net of accumulated depreciation, used in governmental activities are not financial resources and, therefore, are not reported in the funds:			
Land	\$	5,017,437	
Construction-in-progress		10,114,879	
Land improvements		28,908,389	
Buildings and improvements		832,076,877	
Intangible right-to-use assets, net		379,124	
Vehicles, furniture and equipment		46,010,843	
SBITA assets		3,442,326	
Accumulated depreciation and amortization		(299,259,064)	626,690,811
Other long-term assets are not available to pay for current-period expenditures and, therefore, reported as deferred inflows of resources—unavailable revenue, in the governmental funds.			1,610,641
Internal service funds are used by management to charge the costs of certain activities, such as self-insurance benefits for employees and print shop services to individual funds. The assets and liabilities of the internal service funds are included in governmental activities in the statement of net position.			24,214,487
Pension and OPEB related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:			
Deferred outflows of resources—IPERS		33,799,242	
Deferred outflows of resources—OPEB		5,781,354	
Deferred inflows of resources—IPERS		(3,597,056)	
Deferred inflows of resources—DMTRS		(2,420,570)	
Deferred inflows of resources—OPEB		(46,923,322)	(13,360,352)
Certain assets and liabilities, including bonds and notes payable, are not due and payable in the current period and, therefore, are not reported as assets or liabilities in the funds. These assets and liabilities at year-end consist of:			
Net pension liability—DMTRS		(21,233,330)	
Net pension liability—IPERS		(102,191,261)	
Compensated absences		(45,333,009)	
Sales tax revenue bonds		(80,825,000)	
Bond premiums		(3,793,322)	
Accrued interest payable		(269,469)	
Deferred charge on refunding		(346,512)	
Lease liability		(24,000)	
SBITA liability		(1,097,768)	
Claims payable for workers' compensation		(2,082,238)	
Retrospective insurance rating plan		(2,390,450)	
Termination benefits		(317,060)	
Other postemployment benefits		(38,890,483)	(298,793,902)
Net position of governmental activities		\$	590,249,130

See notes to basic financial statements.

Statement of Revenues, Expenditures and Changes in Fund Balances

Governmental Funds

Year Ended June 30, 2025

	General	Management	Nonmajor Governmental Funds	Total Governmental Funds
Revenues:				
Property taxes	\$ 99,344,847	\$ 20,363,372	\$ 18,747,787	\$ 138,456,006
Other local sources	30,543,442	-	2,589,866	33,133,308
Sales tax, for capital projects	-	-	40,741,153	40,741,153
Investment earnings	15,065,322	-	1,067,737	16,133,059
Intermediate sources	162,184	-	-	162,184
State foundation aid	227,460,476	-	-	227,460,476
Other state sources	63,102,648	-	-	63,102,648
Federal sources	34,460,750	-	-	34,460,750
Student activities	67,677	-	2,074,101	2,141,778
Total revenues	470,207,346	20,363,372	65,220,644	555,791,362
Expenditures:				
Current:				
Instruction	304,480,734	4,346,473	3,436,123	312,263,330
Student services	41,740,465	128,983	174,730	42,044,178
Instructional support services	33,792,350	3,276	874,070	34,669,696
General administration	7,968,699	1,999,446	-	9,968,145
Building administration	35,153,617	776,637	322,837	36,253,091
Business and central administration	18,292,370	-	6,614,940	24,907,310
Plant operation and maintenance	46,397,936	8,063,618	713,415	55,174,969
Student transportation	13,946,067	531,153	1,408,114	15,885,334
Noninstructional	2,599,491	263,097	477,414	3,340,002
AEA support	12,791,800	-	-	12,791,800
Capital outlay	-	-	37,283,409	37,283,409
Debt service:				
Bond issuance costs	-	-	1,800	1,800
Principal retirement	-	-	18,310,215	18,310,215
Interest	-	-	4,068,535	4,068,535
Total expenditures	517,163,529	16,112,683	73,685,602	606,961,814
Excess (deficiency) of revenues over expenditures	(46,956,183)	4,250,689	(8,464,958)	(51,170,452)
Other financing sources (uses):				
Proceeds from sale of capital assets	28,020	-	975	28,995
Issuance of long-term SBITA and lease agreements	-	-	1,084,510	1,084,510
Insurance recoveries	3,393,796	-	-	3,393,796
Transfers in	3,488	-	22,378,750	22,382,238
Transfers out	-	(3,488)	(22,378,750)	(22,382,238)
Total other financing sources (uses)	3,425,304	(3,488)	1,085,485	4,507,301
Net change in fund balances	(43,530,879)	4,247,201	(7,379,473)	(46,663,151)
Fund balances, beginning of year	175,410,005	49,947,338	71,193,253	296,550,596
Fund balances, end of year	\$ 131,879,126	\$ 54,194,539	\$ 63,813,780	\$ 249,887,445

See notes to basic financial statements.

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances of Governmental Funds to the Statement of Activities Year Ended June 30, 2025

Net change in fund balances—total governmental funds	\$	(46,663,151)
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Governmental funds report capital outlays as expenditures. However, in the statement of activities, the cost of those assets is allocated over their estimated useful lives as depreciation expense. This is the amount by which capital outlay exceeded depreciation in the current period and other transactions involving capital assets:

Capital outlay	\$	34,944,818	
Depreciation and amortization expense		(19,425,846)	
Proceeds from sale of capital assets		(28,995)	
Gain on disposal of capital assets		28,995	15,518,972

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, which represents the change in deferred inflows of resources—unavailable revenue.		1,495,194
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The issuance of long-term debt provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes the current financial resources of the governmental funds. Neither transaction, however, has any effect on net position. Also, governmental funds report the effect of bond premiums, whereas this amount is reported as a liability and amortized in the statement of activities:

Principle payments on leases		94,043	
Repayment of bond principal		18,055,000	
Principle payments on SBITA liability		161,172	
Issuance of long-term SBITA liability		(1,084,510)	
Amortization of bond premiums		2,098,667	
Deferred amount on refunding amortization		203,429	19,527,801

Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in governmental funds:

Change in compensated absences		(1,753,511)	
Change in retrospective insurance rating plan		(317,494)	
Change in accrued interest expense		67,762	
Change in claims payable for workers' compensation		51,722	
Change in net pension liability and related amounts		23,885,673	
Change in total OPEB liability and related amounts		(219,427)	
Change in termination benefits		(317,060)	21,397,665

Internal service funds are used by management to charge the costs of certain activities, such as self insurance benefits for employees and print shop services, to individual funds. The change in net position in the internal service funds is reported with governmental activities in the statement of activities.

		9,599,591
Change in net position of governmental activities	\$	20,876,072

Statement of Net Position

Proprietary Funds

June 30, 2025

		Nonmajor Enterprise Funds	Governmental Activities Internal Service Funds
Assets			
Current assets:			
Cash and cash equivalents	\$	161,460	\$ 41,561,452
Other receivables, net		2,173,816	840
Due from other governments		575,143	-
Due from other funds		132,664	4,193
Inventories		917,107	13,482
Prepaid expenses		-	18,270
Total current assets		3,960,190	41,598,237
Noncurrent assets:			
Capital assets:			
Nondepreciable		9,499	-
Depreciable, net		1,414,967	138,609
Intangible right-to-use assets, net		-	449,093
Total noncurrent assets		1,424,466	587,702
Total assets		5,384,656	42,185,939
Deferred Outflow of Resources			
Pension related amounts		2,796,062	-
OPEB related amounts		179,420	-
Total deferred outflow of resources		2,975,482	-

See notes to basic financial statements.

Statement of Net Position

Proprietary Funds

June 30, 2025

	Nonmajor Enterprise Funds	Governmental Activities Internal Service Funds
Liabilities		
Current liabilities:		
Accounts payable	56,255	12,293
Claims payable	-	3,882,134
Accrued payroll and related benefits	16,992	361,479
Due to other governments	-	492,884
Lease liability	-	115,179
Unearned revenue	169,662	160,535
Compensated absences	2,005,604	56,750
Due to other funds	1,320,603	12,545,736
Other current liabilities	512	25
Total current liabilities	3,569,628	17,627,015
Noncurrent liabilities:		
Lease liability, net of current position	-	344,437
Compensated absences	66,001	-
Net pension liability	4,600,358	-
Other postemployment benefits (OPEB)	1,206,932	-
Total noncurrent liabilities	5,873,291	344,437
Total liabilities	9,442,919	17,971,452
Deferred Inflow of Resources		
Pension related amounts	1,947,383	-
OPEB related amounts	1,456,225	-
Total deferred inflow of resources	3,403,608	-
Net Position (Deficit)		
Net investment in capital assets	1,424,466	128,086
Unrestricted	(5,910,855)	24,086,401
Total net position (deficit)	\$ (4,486,389)	\$ 24,214,487

See notes to basic financial statements.

Statement of Revenues, Expenses and Changes in Net Position Proprietary Funds

Year Ended June 30, 2025

	Nonmajor Enterprise Funds	Governmental Activities Internal Service Funds
Operating revenues:		
Student activities	\$ 4,475	\$ -
Charges for services:		
Employee benefits	-	90,955,996
Sale of food	791,014	-
Child care	3,485,970	-
Miscellaneous	-	2,367,652
Total operating revenues	4,281,459	93,323,648
Operating expenses:		
Support services	923,450	-
Depreciation and amortization	306,619	315,653
Community services	29,773,162	-
Claims and related costs	-	82,080,626
Miscellaneous	-	1,423,459
Total operating expenses	31,003,231	83,819,738
Operating income (loss)	(26,721,772)	9,503,910
Nonoperating revenues and expenses:		
Other local sources	26,383	-
State sources	157,825	-
Federal sources	24,839,836	-
Insurance recoveries	245,762	-
Interest expense, lease assets	-	(25,579)
Total nonoperating revenues and expenses	25,269,806	(25,579)
Income (loss) before contributed capital	(1,451,966)	9,478,331
Contributed capital	58,674	121,260
Total contributed capital	58,674	121,260
Change in net position	(1,393,292)	9,599,591
Total net position, beginning of year, as previously stated	931,637	14,645,522
Adjustment for error correction	(2,561,859)	-
Change in accounting principle	(1,462,875)	(30,626)
Total net position (deficit), beginning of year, as restated	(3,093,097)	14,614,896
Total net position (deficit), end of year	\$ (4,486,389)	\$ 24,214,487

See notes to basic financial statements.

Statement of Cash Flows

Proprietary Funds

Year Ended June 30, 2025

	Nonmajor Enterprise Funds		Governmental Activities	
			Internal Service Funds	
Cash flows from operating activities:				
Cash received from user charges	\$	3,337,130	\$	93,431,007
Cash payments to employees for services		(15,841,931)		(633,181)
Cash payments to suppliers for goods and services		(13,732,972)		(83,638,461)
Net cash provided by (used in) operating activities		(26,237,773)		9,159,365
Cash flows from noncapital financing activities:				
Payments from other funds		1,320,603		748,032
Payments to other funds		(2,953)		(4,193)
Grants and donations received		23,051,553		-
Net cash provided by (used in) noncapital financing activities		24,369,203		743,839
Cash flows from capital and related financing activities				
Lease agreements - principal		-		(307,139)
Lease agreements - Interest		-		(25,579)
Insurance recoveries		245,762		-
Acquisition of capital assets		(182,496)		(27,270)
Net cash provided by (used in) capital and related financing activities		63,266		(359,988)
Net increase (decrease) in cash and cash equivalents		(1,805,304)		9,543,216
Cash and cash equivalents, beginning of year		1,966,764		32,018,236
Cash and cash equivalents, end of year	\$	161,460	\$	41,561,452
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:				
Operating income (loss)	\$	(26,721,772)	\$	9,503,910
Adjustments to reconcile operating loss to net cash used in operating activities:				
Depreciation and amortization		306,619		315,653
Commodities used		1,575,424		-
Changes in assets and liabilities:				
Receivables		(92,328)		11,890
Inventories		(24,008)		1,528
Prepaid items		36,343		(12,716)
Accounts payable and due to other governments		(42,397)		(24,358)
Claims payable		-		(741,725)
Unearned revenue		(852,002)		107,359
Accrued liabilities and compensated absences		199,297		(2,176)
Other postemployment benefits (OPEB)		(152,318)		-
Net pension liability		(1,044,551)		-
Deferred outflows of resources		1,430,981		-
Deferred inflows of resources		(857,061)		-
Net cash provided by (used in) operating activities	\$	(26,237,773)	\$	9,159,365
Noncash items, noncapital financing activities:				
Commodities received from the U.S. Department of Agriculture	\$	1,575,424	\$	-
Noncash items, capital and related financing activities:				
Contributed capital	\$	58,674	\$	121,260

See notes to basic financial statements.

Statement of Fiduciary Net Position

June 30, 2025

	Pension Trust	Private Purpose Trust	Custodial Fund
Assets			
Cash and cash equivalents	\$ -	\$ 683,509	\$ 133,159
Investments:			
Money market mutual funds and certificates of deposit	6,637,619	-	-
U.S. government and agency securities	3,350,047	-	-
Corporate equities	46,430,320	-	-
Mortgage-backed securities	18,475,292	-	-
Corporate obligations	65,419,522	-	-
Preferred stock	1,506,841	-	-
Municipal bonds	25,146,938	-	-
Other fixed income	6,704,791	-	-
Other receivables	-	-	364
Interest receivable	1,529,224	-	-
Total assets	175,200,594	683,509	133,523
Liabilities			
Accounts payable	-	1,000	8,707
Net Position Restricted			
Employees' pension benefits	175,200,594	-	-
Scholarships	-	682,509	-
Faculty and staff	-	-	124,816
Total net position restricted	\$ 175,200,594	\$ 682,509	\$ 124,816

See notes to basic financial statements.

Statement of Changes in Fiduciary Net Position

Year Ended June 30, 2025

	Pension Trust	Private Purpose Trust	Custodial Fund
Additions:			
Contributions:			
Employer	\$ 789,007	\$ -	\$ -
Employee	639,491	-	-
Private sources	-	102,020	-
Total contributions	1,428,498	102,020	-
Investment earnings:			
Net increase in fair value of investments	9,025,692	-	-
Interest	5,784,901	7,654	-
Dividends	1,284,710	-	-
Total investment earnings	16,095,303	7,654	-
Less investment expense	156,887	-	-
Net investment earnings	15,938,416	7,654	-
Collections for other organizations	-	-	110,553
Total additions	17,366,914	109,674	110,553
Deductions:			
Benefit payments	18,771,712	-	-
Scholarship awarded	-	133,770	-
Administrative costs and other costs	89,625	-	-
Distributions to other organizations	-	-	91,538
Total deductions	18,861,337	133,770	91,538
Change in net position	(1,494,423)	(24,096)	19,015
Net position, beginning of year	176,695,017	706,605	105,801
Net position, end of year	\$ 175,200,594	\$ 682,509	\$ 124,816

See notes to basic financial statements.

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies

The financial statements of the Des Moines Independent Community School District (the District) have been prepared in conformity with accounting principles generally accepted in the United States of America (U.S. GAAP) as applied to governmental organizations. The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial reporting principles.

Nature of operations: The Board of Education (the Board) is organized under Iowa Code. Management of the District is independent of other state or local governments. The County Treasurer collects taxes for the District, but exercises no control over its expenditures.

The membership of the Board consists of seven members elected by the public. Under existing statutes, the Board's duties and powers include, but are not limited to, the acquisition, maintenance, and disposition of school property; the development and adoption of a school program; and the establishment, organization, and operation of schools.

The Board also has broad financial responsibilities, including the approval of the annual budget, and the establishment of a system of accounting and budgetary controls. The District's major operations include education, pupil transportation, construction and maintenance of District facilities, and food service.

Reporting entity: The District is a primary government that has a separately elected governing body, is legally separate and is fiscally independent of other state or local governments. The financial statements of the District include all District operations required to be included in accordance with GASB pronouncements concerning the reporting entity. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The GASB has set forth criteria to be considered in determining financial accountability. These criteria are: a) appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District; and b) fiscal dependency. In addition, GASB Standards, set forth additional criteria to determine whether certain organizations for which the District is not financially accountable should be reported as component units based on the nature and significance of their relationship with the District. These criteria include 1) the economic resources being received or held by the separate organization being entirely or almost entirely for the direct benefit of the District, its component units, or its constituents, 2) the District being entitled to, or having the ability to otherwise access, a majority of the economic resources received or held by the District and 3) the economic resources received or held by an individual organization that the District is entitled to, or has the ability to otherwise access, are significant to the District.

The District evaluated potential component units and determined that the *Des Moines Teachers' Retirement System* (DMTRS) is a fiduciary component unit and is reflected in the fiduciary funds statement of fiduciary net position and fiduciary funds statement of changes in fiduciary net position. This plan is a single-employer pension plan. The Plan is administered by Bankers Trust Capital Management with Principal as custodian of the Plan. The District's Board of Education is the Plan's board and constitutes the trustees. The Plan is considered part of the District's financial reporting entity and is included in the District's basic financial statements as a fiduciary fund.

No other entities met the criteria for inclusion as a component unit of the District.

Note I. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)**Significant accounting policies:**

Government-wide financial statements: The statement of net position and the statement of activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. However, interfund services provided and used are not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for services.

The statement of net position presents the District's nonfiduciary assets and deferred outflows of resources and liabilities and deferred inflows of resources, with the difference reported as net position.

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest that are restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not required to be included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the Government-wide financial statements. Major individual funds are reported as separate columns in the fund financial statements. Nonmajor funds are aggregated and presented in a single column.

Fund accounting: The accounts of the District are organized on the basis of funds, each of which is considered to be a separate accounting entity. The operations of each fund are accounted for by providing a separate set of self-balancing accounts which comprise its assets, liabilities, deferred inflows/outflows, fund balance/net position, revenues and expenditures or expenses, as appropriate. The District has the following funds:

Governmental fund types: Governmental fund types are those funds through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets plus deferred outflows of resources and liabilities plus deferred inflows of resources is reported as fund balance. The following is the District's major governmental funds:

General Fund: The General Fund is used to account for and report all financial resources not accounted for and reported in another fund. The General Fund accounts for the instructional and most of the support service programs of the District's operations. Revenue of the fund consists primarily of local property taxes and state governmental aid.

Management Fund: This special revenue fund is authorized by Iowa Code Section 298.4 and accounts for transactions related to unemployment, early retirement, judgments and settlements and the cost of liability insurance as it relates to property and casualty.

The other governmental funds of the District are considered nonmajor and are as follows:

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Debt Service Fund: Accounts for and reports financial resources that are restricted, committed or assigned to an expenditure for principal and interest on long-term debt.

Special revenue funds: Account for and report the proceeds of specific revenue sources that are restricted or committed to expenditures for specified purposes other than debt service or capital projects.

Student Activity Fund: This fund accounts for transactions that occur due to student-related activities from groups and organizations such as athletic and activity events, fundraising and other extracurricular or cocurricular activities.

District Supported Trust Fund: This fund accounts for transactions that are received in trust in which both the principal and interest earned can be used to support the District.

Capital projects funds: Accounts for and reports financial resources that are restricted, committed, or assigned to expenditure for capital outlays, including the acquisition or construction of capital facilities and other capital assets.

Statewide Sales and Services Tax (SAVE) Fund: This fund accounts for all revenues and expenditures generated through the collection of local option sales tax and expenditures for capital outlays, including the acquisition or construction of capital facilities and other capital assets not covered by the physical plant and equipment levy (PPEL) and public education and recreation levy (PERL) funds. The cash restricted in this fund is for the purpose of future capital outlay expenditures.

Physical Plant and Equipment (PPEL) Levy Fund: This fund is authorized by Iowa Code Section 298.2 and accounts for transactions related to the improvement of facilities and grounds, construction of schoolhouses, certain equipment expenditures and other expenditures authorized in Iowa Code Section 298.3.

Public Education and Recreation Levy (PERL) Fund: This fund is authorized by Iowa Code Section 300.2 and accounts for transactions related to schoolhouse playgrounds and recreational activities within the District. This fund also accounts for community education activity.

Proprietary fund types: Proprietary fund types are used to account for the District's ongoing activities which are operated similar to those often found in the private sector. The measurement focus is upon income determination, financial position and cash flows.

Enterprise funds: Enterprise funds are used to account for those operations that are financed and operated in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability.

The following enterprise funds of the District are considered nonmajor:

School Nutrition Fund: This fund accounts for transactions related to the school lunch, breakfast and summer food programs authorized by Iowa Code Section 283A.

Child Care Fund: This fund accounts for transactions for before and after school child care and summer child care programs authorized by Iowa Code Sections 298A.12 and 279.49.

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Home Construction Fund: This fund accounts for transactions for the home building activity performed by students as part of their instructional or extracurricular program. This fund also accounts for the sale of those homes.

Automotive Fund: This fund accounts for transactions for the service and repair of automobiles performed by students as part of their instructional or extracurricular program.

Farm to Market Ag Store Fund: This fund accounts for transactions from the student operated ag store as part of their instruction or extracurricular program.

Internal service funds: The internal service funds are used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis.

The District has the following internal service funds:

Self-Insurance Fund: This fund accounts for transactions for self-insured health insurances including medical, dental, prescription and vision received by District employees in which the District is responsible for paying all claims and administrative costs attributable to the insurances listed above.

Risk Management Fund: This fund accounts for transactions for certain health insurances including life and disability received by District employees in which the District is responsible for paying all premiums as specified attributable to the insurances listed above.

Print Shop Fund: This fund accounts for transactions for print shop and copying services. It also accounts for transactions for materials for arts and crafts and services such as laminating and other related activities.

Fiduciary fund types: Fiduciary funds account for assets held by the District in a trustee or agency capacity for the benefit of others and cannot be used to support District activities.

The District has the following fiduciary fund types:

Pension Trust Fund: The Pension Trust Fund (DMTRS) accounts for the District's retirement plan for teachers. The fund provides pension benefits to eligible District teachers and administrators.

Private Purpose Trust Fund: This fund accounts for transactions that are received in trust in which both the principal and interest earned can be used to support the individuals or other organizations. The District's Private Purpose Trust Fund is primarily comprised of scholarship funds to benefit students.

Custodial Fund: This fund accounts for assets held in a custodial capacity by the District for individuals, private organizations or other governments. PTAs and PTOs are generally accounted for in this fund.

The Government-wide financial statements and the proprietary, the fiduciary funds, and the custodial funds financial statements are reported using the "economic resources measurement focus" and are reported using the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the District considers revenues to be available if they are collected within 60 days after year-end.

Property tax when levied, intergovernmental revenues when eligibility requirements have been met (shared revenues, grants, and reimbursements from other governments), and interest associated with the current fiscal period are all considered to be measurable and are recorded as revenue, if available. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt (including leases and SBITAs), claims and judgments, early retirement payments, other postemployment benefits, pension related amounts and compensated absences are recognized as expenditures only when the liability has matured and payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital financing and leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general resources. Thus, when program expenses are incurred, there are both restricted and unrestricted resources available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general resources.

Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's proprietary funds are charges for services. Operating expenses for proprietary funds include the cost of sales and services, administrative expenses and claims, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Property tax receivable: Property tax receivable is recognized on the levy or lien date, which is the date the tax asking is certified by the District's Board of Education.

Property tax receivable is recognized in these funds on the levy or lien date, which is the date the tax asking is certified by the Board of Education. Current year property tax receivable represents unpaid taxes for the current and prior years.

The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied and budgeted for.

Due from other governments and other receivables: Due from other governments and other receivables represents amounts due from the State, other school districts, and other various grants, reimbursements and shared revenues. All receivables are shown net of an allowance for uncollectibles, if applicable. The District's nonmajor enterprise funds and business-type activities have reported an allowance of \$1,079,843 as of June 30, 2025 related to other receivables.

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Inventories: Inventories are carried at the moving average cost for purchased items and contributed value (acquisition value at the date received) for government commodities and other donated items. Inventories are recorded as expenses when consumed in the Government-wide financial statements and proprietary funds' financial statements. In the governmental fund financial statements, inventories are accounted for using the consumption method whereby inventory acquisitions are recorded in inventory accounts when purchased and are charged to operations when consumed or sold. The fund balance in the governmental funds relating to inventories is reported as nonspendable.

Prepaid items: Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both the Government-wide and fund financial statements on the consumption method. The fund balance in the governmental funds relating to prepaid items is reported as nonspendable.

Investment earnings: Investment earnings are composed of interest, dividends and net changes in the fair value of applicable investments.

Investments: Most of the District's investments are stated at fair value, except money market funds at cost, which approximate fair value. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Fair value is a market-based measurement, not an entity-specific measurement. For some assets and liabilities, observable market transactions or market information might be available; for others, it might not be available. However, the objective of a fair value measurement in both cases is the same—that is, to determine the price at which an orderly transaction to sell the asset or to transfer the liability would take place between market participants at the measurement date under current market conditions. Fair value is an exit price at the measurement date from the perspective of a market participant that controls the asset or is obligated for the liability. See Note 3 for additional information regarding fair value measures.

Capital assets: Capital assets include land, land improvements, building and improvements, vehicles, furniture and equipment, and construction-in-progress and are reported in the Government-wide financial statements and the proprietary funds' financial statements.

Capital assets are defined by the District as assets with an initial, individual cost of \$5,000 or more (\$500 or more for the School Nutrition Fund) and an estimated useful life of more than one year. Such assets are recorded at historical cost if purchased or constructed. Donated capital assets are recorded at the acquisition value at the date of donation. Acquisition value is the price that would be paid to acquire an asset with equivalent service potential on the date of the donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized.

Bulk purchased assets are capitalized even if individually they are less than \$5,000 when the purchase price is considered significant, defined as exceeding \$1,000,000.

Land and construction in progress are not depreciated. Assets are depreciated using the straight-line method over the following estimated useful lives:

Land improvements	20 years
Buildings and improvements	20 - 50 years
Vehicles, furniture and equipment	5 - 15 years

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The District's collection of library books and other similar assets are not capitalized. These collections are unencumbered, held for public exhibition and education, protected, cared for and preserved and subject to District policy that requires proceeds from the sale of these items, if any, to be used to acquire other collection items.

Leases: The District is the lessee for a noncancellable lease of equipment. The District has recognized a lease liability and an intangible right-to-use lease asset (lease asset) in the government-wide financial statements. The District recognizes leases when the initial measurement of the lease liability, based on terms of the lease, is \$100,000 or more.

At the commencement of the lease, the District initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial direct costs. Subsequently, the lease asset is amortized on a straight-line basis over its useful life.

Key estimates and judgments related to leases include how the District determines the discount rate it uses to discount the expected lease payments to present value, lease term and lease payments.

The District uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and a purchase option price that the District is reasonably certain to exercise.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with capital assets and lease liabilities are reported with current and noncurrent liabilities on the statement of net position.

Subscription based Information Technology Arrangements (SBITA): The District recognizes a subscription liability and a subscription asset in the government-wide financial statements and any proprietary funds (if applicable). The District recognizes the liabilities and asset when the initial measurement of subscription liability, based on the terms of the agreement, is \$100,000 or more.

At the commencement of a subscription, the District initially measures the liability at the present value of payments expected to be made during the subscription term. Subsequently, the subscription liability is reduced by the principal portion of subscription payments made. The subscription asset is initially measured as the initial amount of the subscription liability, adjusted for subscription payments made at or before the subscription commencement date, plus certain initial direct costs to place the asset in service (data migration, installation, implementation costs). Subsequently, the subscription asset is amortized on a straight-line basis over the life of the subscription.

Key estimates and judgements related to IT subscription arrangements include how the District determines the discount rate it uses to discount the expected payments to present value, term and payments. The District uses the interest rate charged by the IT subscription vendor as the discount rate. When the interest

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

rate charged by the vendor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate.

The IT subscription term includes the noncancellable periods of the subscription. Payments included in the measurement of the liability are composed of fixed payments.

The District monitors changes in circumstances that would require remeasurement of its IT subscription and will remeasure the right-to-use IT subscription asset and liability if certain changes occur that are expected to significantly affect the amount of the subscription liability.

Right-to-use IT subscription assets are reported with other capital assets and IT subscription liabilities are reported separately as SBITA liability on the statement of net position.

Deferred outflows of resources: In addition to assets, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net assets that applies to a future period(s) and will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources in proprietary funds and government-wide statement of net position consist of items not yet charged to pension expense or other post employment benefit expense (OPEB) and contributions from the District after the measurement date but before the end of the District's reporting period. The OPEB related amounts consist of the impact of changes in assumptions and other inputs.

Deferred inflows of resources: In addition to liabilities, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represent an acquisition of net assets that applies to a future period(s) and will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collected in the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. The governmental funds report unavailable revenues from intergovernmental revenue. These amounts are deferred and recognized as an inflow of resources in the period that the amounts become available. In the District's government-wide statements and governmental fund statements, succeeding year property tax revenues are reported as a deferred inflow of resources and will become an inflow in the year for which they are levied.

The District's government-wide and proprietary fund statements also includes pension and OPEB related amounts as a deferred inflow of resources and a deferred charge on refunding that will be recognized in interest expense over the shorter of the maturity of the related refunded or refunding bond issuance. The pension related amounts consist of the unamortized portion of the net difference between projected and actual earnings on pension plan investments, the unamortized portion of the net difference between expected and actual plan experience and changes in proportion. The OPEB related amounts consist of the impact of changes in assumptions and other inputs.

Cash flows: For purpose of the statement of cash flows, the District considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents.

Salaries and benefits payable: Payroll and related expenditures for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities in the fund and government-wide financial statements.

Unearned revenue: Proprietary funds defer revenue recognition in connection with resources that have been received, but not earned. Unearned revenue in governmental funds arises when assets are rec-

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

ognized before revenue recognition criteria have been satisfied. Unearned revenue consists primarily of school nutrition meal revenue, child care revenue and self-insurance COBRA premiums for the programs and services in the next school year.

Compensated absences: The District recognizes a liability for compensated absences in accordance with GASB Statement No. 101, *Compensated Absences*, effective for the fiscal year ended June 30, 2025. This liability is recorded for unused employee vacation leave, sick leave, personal leave, and compensatory time earned but not yet paid at fiscal year-end, provided it is more likely than not that the benefit will be paid or settled. The District has adopted a first-in, first-out flow assumption. Salary-related payments that are directly and incrementally associated with the compensated absence benefits are also included in the liability measurement.

Vacation, sick leave, and personal leave are granted to full-time employees under the terms of their employment agreements, the Iowa Code, or their Comprehensive Agreements. The compensated absences liability balances are accrued in the government-wide and proprietary fund financial statements when incurred. In governmental funds, a liability is reported only for amounts that have matured, such as those resulting from employee leave, resignation, or retirement.

Sick leave and personal leave balances are not paid upon termination; however, the liability is accrued based on the District's average annual usage rate determined from a five-year historical trend.

Hourly employees may earn compensatory time for hours worked beyond the regular workweek, which is available as additional paid time off.

Previously, the government accounted for compensated absences under the provisions of GASB Statement No. 16. The government has applied GASB Statement No. 101 retroactively by restating the financial statements for all periods presented. The effect of this restatement is reported as a change in accounting principal to the beginning net position. See Note 14 for the impact of the restatement.

Long-term obligations: In the Government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities on the statement of net position. Bond premiums are reported as a liability and amortized over the life of the bonds using the effective interest method. Bond issuance costs are reported as an outflow in the year in which the expenses were incurred.

In the fund financial statements, governmental fund types recognize bond premiums through current year operations. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources. Principal payments and bond issuance costs are reported as debt service expenditures.

Pensions: For purposes of measuring the net pension asset (liability), deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and Des Moines Teachers' Retirement System (DMTRS) and additions to/deductions from these fiduciary net positions has been determined on the same basis as they are reported by IPERS and DMTRS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Fund balance: In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable: Amounts which cannot be spent either because they are in a nonspendable form or because they are legally or contractually required to be maintained intact.

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes pursuant to constraints formally imposed by the Board through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned: Amounts constrained by the District's intent to use them for a specific purpose. It is the District's policy that the authority to assign fund balance has been delegated by the District's Board of Education to the Chief Financial Officer and Controller, through the adoption of the budget.

Unassigned: All amounts not included in other spendable classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. Residual deficit amounts of the other governmental funds would also be reported as unassigned.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's procedure is to pay the expenditure from restricted fund balance and then from less-restrictive classifications—committed, assigned and then unassigned fund balances.

Net position: Net position represents the difference between assets plus deferred outflows of resources and liabilities plus deferred inflows of resources in the Government-wide financial statements. Net investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balance of any long-term debt used to build or acquire the capital assets. Net investment in capital assets excludes unspent debt proceeds. Unspent debt proceeds (which includes proceeds reserved for debt retirement) for the Capital Projects Fund was \$18,499,491. Net position is reported as restricted in the Government-wide financial statements when there are limitations imposed on their use through external restrictions imposed by creditors, grantors, or laws or regulations of other governments.

Net position restricted through enabling legislation as of June 30, 2025 consists of \$54,194,539 for management levy, \$22,855,889 for PPEL, and \$1,874,221 for PERL.

Donor restricted net position includes \$3,203,336 for net position in the District Supported Trust Fund which is to be used mainly for the Smouse School.

Net position restricted for other purposes consists of \$4,021,877 restricted for categorical funding, various grants and sponsored programs and student activity balances.

The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position are available.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Activity between funds that are representative of lending/borrowing arrangements at the end of the fiscal year are referred to as “due to/from other funds” or “advances to/from other funds” in the fund financial statements.

Estimates: The preparation of the financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Note 2. Legal Compliance

As allowed by GASB Statement No. 41, *Budgetary Comparison Schedules — Perspective Differences*, the District presents budgetary comparison schedules as required supplementary information based on the program structure of four functional areas as required by state statute for its legally adopted budget. The District exceeded the budgeted expenditures in the support services and noninstructional programs functions by \$3.8 million and \$0.5 million, respectively.

Note 3. Deposits and Investments

As of June 30, 2025, the District’s cash, cash equivalents and investments (including fiduciary fund assets) were as follows:

Cash and cash equivalents	\$	76,351,889
Restricted cash		1,841,552
Investments, including pension trust funds and restricted investments of 2,725,975		404,646,195
	\$	482,839,637

In addition, the District has cash held with agent of \$20,341,043, which will be used for future debt service payments as of June 30, 2025 established through initial bond proceeds.

Investments:

Authorized investments: The District is authorized by statute to invest public funds not currently needed for operating expenses in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured Iowa depository institutions approved by the Board; prime eligible bankers’ acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; and certain joint investment trusts. However, the District’s investment policy additionally limits investments in commercial paper to obligations at the time of purchase rated within the two highest ratings issued by nationally recognized statistical rating organizations with a maturity less than 270 days, with no more than 5% at the time of purchase placed in the second highest classification. The District’s investment policy additionally limits investments in prime bankers’ acceptances that mature within 270 days and that are eligible for purchase by a federal reserve bank. Investment income interest is spent according to the fund parameters as outlined by the District.

The above description of authorized investments does not apply to investments donated to the District. In addition, the DMTRS Pension Trust Funds investments are governed by the underlying plan documents and not the District’s investment policy. The DMTRS investment policy authorizes investment in cash, fixed income securities rated AAA to BBB, investment grade preferred stock, large-, mid-, and small-cap domes-

Note 3. Deposits and Investments (Continued)

tic equity securities, international stocks, and domestic real estate. The investment policy also establishes allocation and exposure limitations for each class of investments authorized.

Interest rate risk: Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. As a means of limiting its exposure to fair value losses arising from rising interest rates, the District’s investment policy requires operating funds to be invested in investments that mature within 397 days or less. When investing other than operating funds, the investments must mature according to the needs of the funds. Operating funds of the District are funds which are reasonably expected to be used during a current budget year or within 15 months of receipt.

Deposits: The District’s deposits consist of balances held with financial institutions, including nonnegotiable certificates of deposit.

Custodial credit risk: Custodial credit risk for deposits is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover its deposits or will not be able to recover collateral securities that are in the possession of an outside party.

It is the District’s policy to require that time deposits in excess of FDIC insurable limits be secured by collateral or private insurance to protect public deposits in a single financial institution if it were to default. Chapter 12c of the Code of Iowa requires all District funds be deposited into an approved depository and be either insured or collateralized. As of June 30, 2025, the District’s deposits with financial institutions were entirely covered by federal depository insurance or insured by the state through pooled collateral, state sinking funds and by the state’s ability to assess for lost funds.

Information about the sensitivity of the fair values of the District’s investments to market interest rate fluctuations is provided by the following table that shows the distribution of the District’s investments by maturity as of June 30, 2025.

Des Moines Independent Community School District (without DMTRS)

	Carrying Value	Investment Maturities (in Years)			
		Less than 1	1 - 5	6 - 10	More than 10
Corporate equities	\$ 2,725,975	N/A	N/A	N/A	N/A
Money market mutual funds	128,410,850	N/A	N/A	N/A	N/A
U.S. Government securities	99,838,000	99,838,000	-	-	-
	\$ 230,974,825	\$ 99,838,000	\$ -	\$ -	-

Note 3. Deposits and Investments (Continued)**Des Moines Teachers' Retirement System (DMTRS)**

	Carrying Value	Investment Maturities (in Years)			
		Less than 1	1 - 5	6 - 10	More than 10
Money market mutual funds	\$ 6,637,619	N/A	N/A	N/A	N/A
U.S. Government and agency securities	3,350,047	\$ -	\$ 2,033,254	\$ -	\$ 1,316,793
Corporate equities	46,430,320	N/A	N/A	N/A	N/A
Mortgage-backed securities	18,475,292	320	491,024	766,129	17,217,819
Corporate obligations	65,419,522	2,635,936	23,592,418	11,338,517	27,852,651
Preferred stock	1,506,841	N/A	N/A	N/A	N/A
Municipal bonds	25,146,938	1,220,488	5,454,520	5,010,021	13,461,909
Other fixed income	6,704,791	988,950	3,754,749	351,975	1,609,117
	\$ 173,671,370	\$ 4,845,694	\$ 35,325,965	\$ 17,466,642	\$ 61,458,289

Credit risk: Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. The District's investment policy does not formally address credit risk. The credit ratings for the District's investments are included in the table below. Investments issued or explicitly guaranteed by the U.S. government are not subject to credit risk in accordance with GASB Statement No. 40, *Deposits and Investment Risk Disclosures*.

Fair value measurements: The District uses the fair value hierarchy established by generally accepted accounting principles based on the valuation inputs used to measure the fair value of the asset. The fair value hierarchy categorizes the inputs to valuation techniques used to measure fair value into three levels. Level 1 inputs are quoted prices (unadjusted) for identical assets or liabilities in active markets that a government can access at the measurement date. Level 2 inputs are observable inputs other than quoted prices included within Level 1. The observable inputs, either directly or indirectly, include prices for similar assets or liabilities, quoted prices in markets that are not active or other inputs that are observable or can be corroborated by observable market data from third-party pricing agencies for substantially the full term of the assets or liabilities. Level 3 inputs are unobservable inputs for an asset or liability. The fair value hierarchy gives the highest priority to Level 1 inputs and the lowest priority to Level 3 inputs.

The District uses the following valuation methods for recurring fair value measurement:

- Quotes market prices
- Matrix pricing techniques
- Market approach that considers benchmark quote prices

Note 3. Deposits and Investments (Continued)

The following table provides the distribution of the District's investment by fair value hierarchy level and the credit rating as of June 30, 2025:

Des Moines Independent Community School District (without DMTRS)

	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total Fair Value	S&P Rating
Corporate equities	\$ 2,725,975	\$ -	\$ -	\$ 2,725,975	Not Rated
Money market mutual funds	128,410,850	-	-	128,410,850	Not Rated
U.S. government and agency securities	-	99,838,000	-	99,838,000	AA+
	\$ 131,136,825	\$ 99,838,000	\$ -	\$ 230,974,825	

Des Moines Teachers' Retirement System (DMTRS)

	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total Fair Value	S&P Rating
Money market mutual funds	\$ -	\$ 6,637,619	\$ -	\$ 6,637,619	Not Rated
U.S. Government and agency securities	-	3,350,047	-	3,350,047	AA+
Corporate equities	46,430,320	-	-	46,430,320	Not Rated
Mortgage-backed securities	-	18,442,999	-	18,442,999	Not Rated
Mortgage-backed securities	-	32,293	-	32,293	AAA
Corporate obligations	-	665,245	-	665,245	Not Rated
Corporate obligations	-	41,516,785	-	41,516,785	A - AAA
Corporate obligations	-	23,237,492	-	23,237,492	BB - BBB
Preferred stock	-	1,506,841	-	1,506,841	A - AAA
Municipal bonds	-	25,146,938	-	25,146,938	A - AAA
Other fixed income	-	744,627	-	744,627	Not Rated
Other fixed income	-	5,960,164	-	5,960,164	A - AA
	\$ 46,430,320	\$ 127,241,050	\$ -	\$ 173,671,370	

Corporate equities: Corporate equities are reported at fair value based on quoted market prices obtained from exchanges.

Money Market Mutual Funds: Mutual funds are reported at fair value based on quoted market prices obtained from exchanges and also reported at fair value based on evaluation using market sources and integrating relative credit information, observed market movements, and sector news into the evaluated pricing applications and models.

Corporate obligations, U.S. government agency securities and other fixed income: These investments are reported at fair value based on evaluation using market sources and integrating relative credit information, observed market movements, and sector news into the evaluated pricing applications and models.

U.S. Government securities: U.S. Government securities are reported at fair value based on a bullet (non-call) spread scale for each issuer for maturities going out to forty years. These spreads represent credit risk and are obtained from the new issue market, secondary trading, and dealer quotes. An Option Adjusted

Note 3. Deposits and Investments (Continued)

Spread (OAS) model is incorporated to adjust spreads of issues that have early redemption features. Final spreads are added to a U.S. Treasury curve. A special cash discounting yield/price routine calculates prices from final yields to accommodate odd coupon payment dates typical of medium-term notes.

Certificates of deposit: Certificates of deposit are reported at fair value based on a multi-dimensional relational model and/or OAS.

Mortgage-backed securities: Mortgage-backed securities are reported at fair value via model using various inputs such as but not limited to daily cash flow, snapshots of the To Be Announced market, and the US Treasury market, floating rate Indices such as the Secure Overnight Financing Rate (SOFR), Constant maturity, and Prime as a benchmark yield, spread over index, periodic and life caps, next coupon adjustment date, and convertibility of the bond.

Municipal bonds: Municipal bonds are reported at fair value based on trades, bid price or spread, two-sided markets, quotes, benchmark curves including but not limited to treasury benchmarks and SOFR and swap curves, market data feeds such as Municipal Securities Rulemaking Board, financial statements, discount rate, capital rates, and trustee reports.

Preferred stock: Preferred stock is reported at fair value by calculating the appropriate spread over a comparable U.S. Treasury security for each issue. These spreads represent the amount of additional yield required to account for the risks inherent with preferred stocks, including credit, refunding and liquidity. Evaluators obtain benchmark quotes on liquid issues, follow both the listed and new issue market and focus on changing market conditions.

The District has no assets reported at fair value on a nonrecurring basis and no other investments meeting the fair value disclosure requirements of GASB Statement No. 72, Fair Value Measurement and Application.

Concentration of credit risk: The District's investment policy seeks diversification to reduce overall portfolio risk while attaining market rates of return to enable the District to meet all anticipated cash requirements. The District's policy further restricts investments in prime bankers' acceptances and commercial paper to no more than 10% of the investment portfolio for each type of investment, excluding DMTRS investments, and no more than 5% of the investment portfolio can be invested in the securities of a single issuer.

More than 5% of the District's investments, excluding DMTRS investments, are in the Federal Home Loan Bank (FHLB). At June 30, 2025, the District held approximately 43.2% of its total investments in securities issued by FHLB.

Custodial credit risk: The custodial credit risk for investments is the risk that, in the event of the failure of the counterparty (e.g. broker-dealer) to a transaction, a government will not be able to recover the value of its investment or collateral securities that are in the possession of another party.

As of June 30, 2025, none of the District's investments were insured, but they were all registered in the District's name and held by the District's custodian/agent.

Note 4. Interfund Receivables/Payables and Transfers

Due to and from other funds as of June 30, 2025 are as follows:

	Due To Other Funds	Due From Other Funds
General fund	\$ -	\$ 12,408,879
Management fund	-	1,320,603
Nonmajor enterprise funds:		
School nutrition	525,034	117,287
Child care	795,569	15,377
Internal service funds:		
Self-insurance	12,545,736	-
Print shop	-	4,193
	\$ 13,866,339	\$ 13,866,339

Interfund balances result from the time lag between the dates that 1) interfund goods or services are provided or reimbursable expenditures occur, 2) transactions are recorded and 3) payments between funds are made.

The \$12,545,736 due to other funds in the internal service funds: self-insurance is attributable to routine transfers between the self-insurance fund and the general fund for benefits related to wages that were accrued in the current fiscal year due to contract terms.

The \$1,320,603 due to other funds in the nonmajor enterprise funds: school nutrition and child care is attributable to time lag in cash collections due to increased receivable balances at year end.

The due to and due from other funds balances are expected to be collected in the subsequent year.

The following is a schedule of transfers as included in the basic financial statements of the District as of the year ended June 30, 2025:

	Transfers In	Transfers Out
Major funds:		
General fund	\$ 3,488	\$ -
Management fund	-	3,488
Nonmajor governmental funds	22,378,750	22,378,750
	\$ 22,382,238	\$ 22,382,238

Transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them or (2) use unrestricted revenues collected in a certain fund to finance various programs accounted for in other funds in accordance with budgetary authorization or Board approval.

Note 5. Capital Assets

A summary of capital asset activity for the year ended June 30, 2025 is as follows:

Governmental Activities	Beginning Balance	Additions and Transfers In	Deletions and Transfers Out	Ending Balance
Capital assets, not being depreciated:				
Land	\$ 4,963,615	\$ 53,822	\$ -	\$ 5,017,437
Construction-in-progress	30,443,044	26,468,350	46,796,515	10,114,879
Total capital assets, not being depreciated	35,406,659	26,522,172	46,796,515	15,132,316
Capital assets, being depreciated/amortized:				
Land improvements	16,566,193	12,342,196	-	28,908,389
Buildings and improvements	796,568,944	35,507,933	-	832,076,877
Vehicles, furniture and equipment	40,055,054	6,220,829	58,116	46,217,767
Intangible right-to-use assets, equipment	11,948,911	-	9,933,576	2,015,335
SBITA assets	2,145,593	1,296,733	-	3,442,326
Total capital assets, being depreciated/amortized	867,284,695	55,367,691	9,991,692	912,660,694
Less accumulated depreciation/amortization for:				
Land improvements	(9,215,208)	(528,014)	-	(9,743,222)
Buildings and improvements	(243,088,912)	(14,604,697)	-	(257,693,609)
Vehicles, furniture and equipment	(27,352,847)	(2,534,694)	(58,116)	(29,829,425)
Intangible right-to-use assets, equipment	(9,904,634)	(1,566,020)	(9,933,576)	(1,537,078)
SBITA assets	(1,203,090)	(508,074)	-	(1,711,164)
Total accumulated depreciation/amortization	(290,764,691)	(19,741,499)	(9,991,692)	(300,514,498)
Total capital assets, being depreciated/amortization, net	576,520,004	35,626,192	-	612,146,196
Governmental activities capital assets, net	\$ 611,926,663	\$ 62,148,364	\$ 46,796,515	\$ 627,278,512

Business-Type Activities	Beginning Balance	Additions and Transfers In	Deletions and Transfers Out	Ending Balance
Capital assets, not being depreciated:				
Land	\$ 9,499	\$ -	\$ -	\$ 9,499
Capital assets, being depreciated:				
Vehicles, furniture and equipment	7,302,674	241,170	-	7,543,844
Less accumulated depreciation	(5,822,258)	(306,619)	-	(6,128,877)
Total capital assets, being depreciated, net	1,480,416	(65,449)	-	1,414,967
Business-type activities capital assets, net	\$ 1,489,915	\$ (65,449)	\$ -	\$ 1,424,466

Note 5. Capital Assets (Continued)

Depreciation and amortization expense for the year ended June 30, 2025 was charged to the District's functions as follows:

Governmental activities:		
Instruction	\$	15,875,834
Noninstructional		245,796
Business and central administration		2,182,734
Plant operation and maintenance		476,979
Student transportation		960,156
Total	\$	19,741,499
Business-type activities:		
School nutrition	\$	304,101
Child care		1,410
Automotive		1,108
Total	\$	306,619

Note 6. Long-Term Liabilities and Bonds Payable

The following is a summary of changes in bonds payable and other long-term liabilities for the year ended June 30, 2025:

	Beginning Balance, as Restated	Additions	Reductions	Ending Balance	Due Within One Year
Governmental activities:					
Sales tax revenue bonds	\$ 98,880,000	\$ -	\$ 18,055,000	\$ 80,825,000	\$ 18,865,000
Bond premiums	5,891,989	-	2,098,667	3,793,322	-
Retrospective insurance rating plan	2,072,956	317,494	-	2,390,450	-
Termination benefits	158,140	4,121,323	154,502	4,124,961	3,807,901
Compensated absences *	43,917,559	1,989,375	-	45,906,934	44,219,667
Other postemployment benefits **	42,346,527	-	3,456,044	38,890,483	-
Lease liability	884,798	-	401,182	483,616	139,179
SBITA liability	174,430	1,084,510	161,172	1,097,768	315,477
Net pension liability	166,329,668	-	42,905,077	123,424,591	-
Long-term liabilities	\$ 360,656,067	\$ 7,512,702	\$ 67,231,644	\$ 300,937,125	\$ 67,347,224
Business-type activities:					
Compensated absences *	\$ 1,887,608	\$ 183,997	\$ -	\$ 2,071,605	\$ 2,005,604
Other postemployment benefits **	1,359,250	-	152,318	1,206,932	-
Net pension liability	5,644,909	-	1,044,551	4,600,358	-
Long-term liabilities	\$ 8,891,767	\$ 183,997	\$ 1,196,869	\$ 7,878,895	\$ 2,005,604

The retrospective insurance rating plan and termination benefits liabilities are liquidated by the Management Fund, a major governmental fund. Net pension liabilities and other postemployment benefits will generally be liquidated by the General Fund, School Nutrition and Child Care Funds.

* Increase or decrease for compensated absences has been presented on the net basis. Compensated absences as of July 1, 2024 have been restated due to the implementation of GASB Statement No. 101, Compensated Absences. See Note 14 for the impact of the restatement.

** Other postemployment benefits as of July 1, 2024 have been restated due to correction of an accounting error. See Note 14 for the impact of the restatement.

The District has pledged future statewide penny school infrastructure, services and use tax revenues to repay the following bonds:

Bond Issued, Month and Year	Issued Amount	Interest Rate	S&P Rating
2014 SAVE Revenue Bonds, May 2014	\$ 61,940,000	3.0%-5.0%	A+
2018 SAVE Revenue Bonds, April 2018	56,235,000	3.0%-5.0%	A+
2021 SAVE Revenue Bonds, November 2021	66,335,000	2.0%-5.0%	A+

The bonds were issued for the purpose of financing costs of school infrastructure improvement projects. The bonds are payable solely from the proceeds of the statewide penny school infrastructure, services and use tax revenue received by the District and are payable through 2029. The bonds are not a general

Note 6. Long-Term Liabilities and Bonds Payable (Continued)

obligation of the District; however, the debt is subject to the constitutional debt limitation of the District. Annual principal and interest payments on the bonds were expected to require less than 50% of the statewide penny school infrastructure, services and use tax revenues. For the current year, principal and interest paid was \$22,101,775 and total statewide penny school infrastructure revenue recognized was \$40,741,153.

Annual debt service requirements to maturity as of June 30, 2025 for the outstanding sales tax revenue bonds are summarized as follows:

	Governmental Activities		
	Principal	Interest	Total
Year ending June 30:			
2026	\$ 18,865,000	\$ 3,233,625	\$ 22,098,625
2027	19,730,000	2,372,100	22,102,100
2028	20,585,000	1,512,850	22,097,850
2029	21,645,000	645,800	22,290,800
	\$ 80,825,000	\$ 7,764,375	\$ 88,589,375

As of June 30, 2025, the District did not exceed its legal debt margin, computed as follows:

Total assessed valuation	\$ 19,100,035,546
Debt limit of 5% of total assessed valuation	\$ 955,001,777
Amount of debt applicable to debt limit, total bonded debt	80,825,000
Lease obligations	483,616
SBITA obligations	1,097,768
Total indebtedness	82,406,384
Excess of debt limit over bonded debt issued, legal debt margin	\$ 872,595,393

Lease agreements: The District has various equipment leases. These agreements have varying terms, including inception dates from March 2020 through March 2029, monthly payments of approximately \$8,000 to \$25,000, and are 60 months in duration. During the year ended June 30, 2025, principal and interest paid was approximately \$401,000 and \$28,000, respectively.

Principal and interest requirements for the leases are as follows:

	Principal	Interest
2026	\$ 139,179	\$ 18,256
2027	120,410	12,891
2028	125,879	7,422
2029	98,148	1,829
	\$ 483,616	\$ 40,398

SBITA agreements: The District had two outstanding long-term SBITA agreements remaining as of the year ending June 30, 2025. The outstanding balance of the SBITA liability as of June 30, 2025 is \$1.1 mil-

Note 6. Long-Term Liabilities and Bonds Payable (Continued)

lion. The principal and interest paid on the liability during the year ending June 30, 2025 was approximately \$161,000 and \$19,000, respectively.

Principal and interest requirements for the leases are as follows:

	Principal	Interest
2026	\$ 315,477	\$ 16,306
2027	383,732	33,778
2028	191,690	18,453
2029	206,869	9,578
	\$ 1,097,768	\$ 78,115

Special termination benefits: During the year ended June 30, 2023 the District offered a special termination benefit to eligible teachers and administrators. The incentive criteria was based upon enrollment in IPERS or DMTRS. During the year ended June 30, 2025 the District offered two separate early retirement incentives. One was a special termination benefit to eligible teachers and administrators enrolled in DMTRS. The second special termination benefit was offered to eligible directors, executive directors and chief administrators.

For the 2023 offering, for DMTRS participants to be eligible to participate in this Plan, an employee must (1) have attained age 55 and (2) have at least 10 or more years of continuous service with the District. The special termination benefit allows an eligible employee to receive \$50,000 plus \$2,500 for each year of consecutive service with the district, paid to a tax-sheltered annuity over 1 to 2 fiscal years. For the 2025 offering, the benefit was consistent however the DMTRS participant must have at least 20 or more years of continuous service with the District. The benefit amount is prorated based upon the eligible employee’s full-time equivalency as of the fiscal year-end date in which the employee elected to participate in the Plan. Eligible employees will also have the option to purchase and participate in the District’s group health insurance plan until age 65.

For the 2023 offering, for IPERS participants to be eligible to participate in this Plan, an employee must (1) have attained age 60 and (2) have at least 10 or more years of continuous service with the District. The special termination benefit allows an eligible employee to receive \$50,000 paid to a tax-sheltered annuity over 1 to 2 years. The amount is prorated based upon the eligible employee’s full-time equivalency as of the fiscal year-end date in which the employee elected to participate in the Plan. Eligible employees will also have the option to purchase and participate in the District’s group health insurance plan until age 65.

For the 2025 offering to directors, executive directors and chief administrators, for participants to be eligible to participate in this Plan, an employee must (1) have attained age 55, (2) have at least 20 or more years of continuous service with the District, and (3) be an active certified employee who is issued an employment contract under Iowa Code Chapter 279. The special termination benefit allows an eligible employee to receive an amount equal to one year of their 2024-2025 annual base salary, paid to a tax-sheltered annuity over 1 to 2 fiscal years.

Note 6. Long-Term Liabilities and Bonds Payable (Continued)

The special termination benefits are generally liquidated by the Management Fund. As of June 30, 2025, the District has \$3,807,901 accrued in the Management Fund relating to employees over age 65 as they are considered due and expected to be liquidated with expendable available financial resources. The current year amount paid by the District was \$154,502 which consisted of 2 participants in the plan from the 2023 offering.

Note 7. Commitments and Contingencies

Amounts received or receivable from grantor agencies are subject to audit and adjustment by grantor agencies, principally the federal government. The amount, if any, of expenditures that may be disallowed by the grantor cannot be determined at this time, although the District expects such amounts, if any, to be immaterial.

As of June 30, 2025, the District was involved in construction projects with an estimated cost to complete the construction projects of approximately \$13,494,000.

Note 8. Risk Management

The District has chosen to establish a risk financing fund for risks associated with the self-insurance plan for medical, prescription, dental and vision benefits. The risk financing fund is accounted for as an internal service fund where assets are set aside for claim settlements. The total charge allocated to each of the funds is based on each employees selected plan premiums. Premiums are calculating using trends in actual claims experience. Losses on medical claims are limited through the purchase of stop-loss insurance to \$150,000 per accident or disease, and 120% of actuarially projected claims for the District in total.

Liabilities include an estimated amount for claims that have been incurred but not reported (IBNR) which represent estimates of the eventual loss on claims arising prior to year-end. Changes in the balances of claims liabilities during the past two fiscal years are as follows:

	Years Ended June 30	
	2025	2024
Unpaid claims, beginning of year	\$ 4,623,859	\$ 7,424,857
Current year claims and changes in estimates	81,048,904	76,264,512
Claim payments	(81,790,629)	(79,065,510)
Unpaid claims, end of year	\$ 3,882,134	\$ 4,623,859

As of June 30, 2025, the unpaid claims payable of \$3,882,134 is net of \$805,526 of reimbursement receivable that the District expects to receive as it has exceeded its individual stop-loss amount. A total of \$805,526 reinsurance revenue to be received is netted against claims expense.

The District self-insures its workers' compensation exposures. As of June 30, 2025, the amount of liabilities recorded for estimated claims payable for workers' compensation was \$2,659,445 of which \$577,207 was recorded in the Management in accounts payable, a major governmental fund, as that portion of the liability has matured, and an additional \$2,082,238 was recorded in the government-wide statements. Liabilities are reported in the financial statements in claims payable. Losses on workers' compensation claims are limited through the purchase of stop-loss insurance to \$1,000,000 per occurrence.

Note 8. Risk Management (Continued)

Changes in the balances of claims liabilities during the past two fiscal years are as follows:

	Years Ended June 30	
	2025	2024
Unpaid claims, beginning of year	\$ 2,355,486	\$ 3,131,720
Current year claims and changes in estimates	2,640,214	2,859,368
Claim payments	(2,336,255)	(3,635,602)
Unpaid claims, end of year	\$ 2,659,445	\$ 2,355,486

The District's general liability and automobile liability policies are written under a retrospective rating plan where final premium costs are within a specified minimum and maximum premium. For the policy year ended June 30, 2025, various liability claims remain unsettled; therefore, the District has accrued a liability for the maximum potential additional premium that could be payable under the retrospective rating plan of \$2,390,450. The liability is recorded in the Government-wide financial statements.

The District continues to carry commercial insurance for other risks of loss. The District has a \$1,000,000 deductible on property insurance. Settled claims from these risks have not exceeded the planned coverage during any of the past three years.

Note 9. Retirement Systems**Iowa Public Employees' Retirement System:**

Plan description: Employees of the District are provided with pensions through a cost sharing multiple employer defined benefit pension plan administered by IPERS. IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. IPERS issues a standalone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension benefits: A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier (based on years of service).
- The member's highest five-year average salary. For members with service before June 30, 2012, the highest three-year average salary as of that date will be used if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month that the member receives benefits before the member's earliest normal retirement age.

Note 9. Retirement Systems (Continued)

For service earned starting July 1, 2012, the reduction is 0.50% for each month that the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and death benefits: A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions: Effective July 1, 2012, as a result of a 2010 law change, the contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. Statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2025, pursuant to the required rate, Regular members contributed 6.29% of pay and the District contributed 9.44% for a total rate of 15.73%.

The District's contributions to IPERS for the year ended June 30, 2025 were \$26,762,199.

Net pension liabilities, pension expense, and deferred outflows of resources and deferred inflows of resources related to pensions: At June 30, 2025, the District reported a liability of \$106,791,619 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2024, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2024, the District's collective proportion was 2.891884%, which was a decrease of 0.012033 from its proportion measured as of June 30, 2023.

Note 9. Retirement Systems (Continued)

For the year ended June 30, 2025, the District recognized a pension expense of \$9,009,132 and reported deferred outflows of resources and deferred inflows of resources related to the IPERS pension from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 8,497,499	\$ 66,340
Changes of assumptions	-	1,493
Net difference between projected and actual earnings on pension plan investments	1,335,606	-
Changes in proportion and differences between District contributions and proportionate share of contributions	-	5,476,606
Total deferred amounts to be recognized in pension expense in future periods	9,833,105	5,544,439
District contributions subsequent to the measurement date	26,762,199	-
Total deferred amounts related to pensions	\$ 36,595,304	\$ 5,544,439

The \$26,762,199 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2026. The deferred inflows relates to the difference between expected and actual investment earnings and is being amortized over a closed 5-year period as of the beginning of each measurement period. Other deferred outflows of resources and deferred inflows of resources will be recognized in pension expense using the average expected remaining service lives of all IPERS member. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

	Deferred Outflows (Inflows) of Resources
Years ending June 30:	
2026	\$ (16,406,355)
2027	24,395,008
2028	130,064
2029	(3,815,552)
2030	(14,499)
	\$ 4,288,666

There were no non-employer contributing entities to IPERS.

Note 9. Retirement Systems (Continued)

Actuarial assumptions: The total pension liability in the June 30, 2024 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.60%
Salary increases	3.25% to 16.25%, average, including inflation; rates vary by membership group
Long-term rate of return	7.00%, net of investment expense, including inflation

Mortality rates used in the 2024 valuation were based on the PubG-2010 Employee and Healthy Annuitant Tables, using MP-2021 generational adjustments.

The demographic actuarial assumptions used in the June 30, 2024 valuation were based on the results of an actuarial experience study covering the four-year period ended June 30, 2021 (report date June 16, 2022).

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Core-plus fixed income	25.5%	3.04%
Domestic equity	21.0	3.52%
International equity	13.0	5.18%
Private equity	17.0	8.89%
Public credit	3.0	4.53%
Private credit	5.5	6.62%
Private real assets	9.0	4.25%
Global smart beta equity	5.0	4.12%
Cash	1.0	1.69%
	100.00%	

Discount rate: The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Note 9. Retirement Systems (Continued)

Sensitivity of the District’s proportionate share of the net pension liability to changes in the discount rate: The following presents the District’s proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the District’s proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00%) or 1-percentage-point higher (8.00%) than the current rate.

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District’s proportionate share of the net pension (asset) liability as of June 30, 2025	\$ 262,064,719	\$ 106,791,619	\$ (23,250,420)

Pension plan fiduciary net position: Detailed information about the pension plan’s fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS’ website at www.ipers.org.

Payables to the pension plan: At June 30, 2025, the District reported payables to the defined benefit pension plan of \$3,870,385 for legally required employer and employee contributions which had been withheld from employee wages but not yet remitted to IPERS. The payable is recorded in the General Fund on the Balance Sheet Governmental Funds.

Des Moines Teachers’ Retirement System:

Plan description: The DMTRS Plan and Trust (the Plan) is a single employer pension plan administered by Bankers Trust Capital Management with Principal, as custodian of the Plan. The Plan was established in 1953 to offer employees of the school district a choice in planning for their retirement and is a uniquely designed hybrid pension plan as it contains features of both a traditional defined benefit plan, which is very common in the public sector, and a defined contribution plan. The Plan is considered a hybrid plan because investment risk is borne by the participant in the form of a variable account balance, implying a defined contribution plan; however, mortality risk is maintained by the District, which is a defined benefit plan feature. Due to this hybrid feature, the benefit terms cannot be modified and is therefore accounted for as a defined benefit plan.

The District’s Board of Education is also the Plan’s board and constitutes the trustees. The Plan does not issue a stand-alone financial report.

Effective June 30, 2020, the plan was amended to only allow employees who were employed prior to July 1, 2020 to participate in the plan.

Basis of accounting: The DMTRS financial statements are prepared on the accrual basis of accounting. Member contributions are recognized in the period in which the contributions are due. The District’s contributions are recognized when due and a formal commitment to provide the contributions is made. Benefits and refunds are recognized when due and payable in accordance with the terms of the plan. All plan investments are reported at fair value. Administrative costs of DMTRS are financed through investment earnings.

Note 9. Retirement Systems (Continued)

Employees of the District who are teachers as defined under the Plan were eligible to participate in the Plan. Each teacher could choose to participate in either the Plan or in IPERS. The election was to be made within 30 days of hire. If no election was made, the default was to participate in IPERS. The membership data for DMTRS as of the most recent actuarial valuation date was:

Active members	83
Retirees and beneficiaries currently receiving benefits	755
Inactive members entitled to but not yet receiving benefits	138
	976

Plan benefits and death benefits: Upon retirement on or after age 55, the account balance is converted to one of various available forms of monthly benefits payable to the participant, and if elected, a continuing benefit to a surviving spouse.

Contributions: Participants electing to participate in the Plan will have contributions deducted on a pretax basis. The contribution will be based on the participant's age at hire and will remain constant for that participant thereafter. The older the participant, the higher the contribution. The Plan's contribution rates range from 6.31% to 9.14%, dependent on the entry age of the participant.

An "Employer Matching Contribution" ranging from 7.83% to 11.00% (120% to 124% of the employee contribution) will also be made. Both employee and employer contributions are credited to an employee's account balance. The account balance is also credited with plan investment earning allocations.

Investments: The Board of Education established an investment policy guiding the allocation of invested assets. This policy may be amended by the Board of Education. Plan assets are managed on a total return basis with a long-term objective of achieving and maintaining a fully funded status for the benefits provided through the Plan. See additional information about the DMTRS investments in Note 3.

The Plan shall diversify the investments so as to minimize the risk of large losses unless, under the circumstances, it is clearly prudent not to do so.

Asset Class	Asset Allocation	Long-Term Expected Rate of Return
Certificates of deposit	0.0%	3.8%
Money market accounts	1.9	3.5
U.S. Government securities	1.6	3.6
Corporate equities	27.1	7.0
Mortgage-backed securities	11.7	4.5
Corporate obligations	42.4	4.6
Preferred stock	0.9	4.8
Municipal bonds	14.4	4.2
	100.0%	

There are no investments in any one organization representing more than 5% of DMTRS' net position. There are no investments in, loans to, or leases with related parties.

Note 9. Retirement Systems (Continued)

Rate of return: For the year ended June 30, 2025, the annual weighted rate of return on pension plan investments, net of pension plan investment expense was 9.5%. The money weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts actually invested.

Net pension liability: The total pension liability was determined using an actuarial valuation date and measurement date of June 30, 2025 using generally accepted actuarial principles and methods.

A schedule of the District's changes in its net pension liability for DMTRS for the year ended June 30, 2025 is as follows:

Total pension liability	
Service cost	\$ 1,428,498
Interest	9,270,202
Differences between expected and actual experience	3,164,857
Changes of assumptions	(13,334,041)
Benefit payments, including refunds of member contributions	(18,771,712)
Net change in total pension liability	(18,242,196)
Total pension liability—beginning	214,676,121
Total pension liability—ending (a)	\$ 196,433,925
Plan fiduciary net position	
Contributions—employer	\$ 789,007
Contributions—members	639,491
Net investment income	15,938,417
Benefit payments, including refunds of member contributions	(18,771,712)
Administrative expense	(89,625)
Net change in plan fiduciary net position	(1,494,422)
Plan fiduciary net position—beginning	176,695,017
Plan fiduciary net position—ending (b)	\$ 175,200,595
Net pension liability—ending (a) - (b)	\$ 21,233,330

Plan fiduciary net position as a percentage of the total pension liability

89.2%

Actuarial assumptions: The total pension liability in the June 30, 2025 actuarial valuation was determined using a 5.50% investment rate of return (with 4.5% used for fiscal year 2025 expenses) with mortality rates based on the PubT-2010 Mortality Table with MP 2021 projection. The actuarial assumptions used in the June 30, 2025 valuation were based on the results of actuarial experience studies with dates corresponding to those listed above.

Discount rate: The discount rate used to measure the total pension liability was 5.41% compared to 4.50% as of June 30, 2024. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Note 9. Retirement Systems (Continued)

Sensitivity of the District's net pension asset to changes in the discount rate: The following presents the District's net pension liability calculated using the discount rate of 5.41%, as well as what the District's net pension asset would be if it were calculated using a discount rate that is 1-percentage-point lower (4.41%) or 1-percentage-point higher (6.41%) than the current rate.

	1% Decrease (4.41%)	Discount Rate (5.41%)	1% Increase (6.41%)
District's net pension liability as of June 30, 2025	\$ 40,894,946	\$ 21,233,330	\$ 4,525,931

Pension expense, deferred outflows of resources and deferred inflows of resources related to pensions: For the year ended June 30, 2025, the District recognized a negative pension expense of \$(6,064,251). At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to the DMTRS pension from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Net difference between projected and actual earnings on pension plan investments	\$ -	\$ 2,420,570
Total deferred amounts related to pensions	\$ -	\$ 2,420,570

Deferred outflows of resources and deferred inflows of resources related to the differences between expected and actual experience and changes of assumptions are being amortized over a closed period equal to the average of the expected service lives of all employees as of the beginning of the measurement period, which was less than a year as of June 30, 2025. Therefore, all deferred inflows and outflows relating to changes in assumptions and experience were fully amortized prior to June 30, 2025. The deferred inflows of resources related to the difference between expected and actual investment earnings is being amortized over a closed 5-year period as of the beginning of each measurement period.

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

	Deferred Outflows (Inflows) of Resources
Years ending June 30:	
2026	\$ 4,198,251
2027	(2,270,030)
2028	(2,672,915)
2029	(1,675,876)
	\$ (2,420,570)

Note 9. Retirement Systems (Continued)

Aggregate pension related amounts for all plans are as follows:

	IPERS	DMTRS	Total
Net pension liability	\$ 106,791,619	\$ 21,233,330	\$ 128,024,949
Deferred outflows of resources, pension related amounts	36,595,304	-	36,595,304
Deferred inflows of resources, pension related amounts	5,544,439	2,420,570	7,965,009
Pension expense	9,009,132	(6,064,251)	2,944,881

Deferred inflows and outflows of resources related to both pension plans will be recognized in pension expense as follows:

	Deferred Outflows (Inflows) of Resources
Years ended June 30:	
2026	\$ (12,208,104)
2027	22,124,978
2028	(2,542,851)
2029	(5,491,428)
2030	(14,499)
	1,868,096
Deferred outflows of resources, pension related amounts—District contributions to IPERS subsequent to the measurement date	26,762,199
	\$ 28,630,295

Note 10. Other Postemployment Benefits

Plan description: The District sponsors a single-employer health care plan that provides two self-funded medical plans which includes prescription drug benefits to all active and retired employees and their eligible dependents. Retiree coverage begins for employees who have attained age 55 prior to the beginning of the subsequent contract year and have at least 10 consecutive contract years of employment and continues until the retiree is Medicare eligible at age 65. The plan is administered by the District and the District has the authority to establish or amend the plan provisions or contribution requirements within the sections of the Code. The plan does not issue a stand-alone financial report.

Funding policy: The current funding policy of the District is to pay health claims as they occur through internal allocated funds. For employees who retired on or before June 30, 2002, the District provides a 100% subsidy to the full cost of coverage for both retiree and dependent coverage. For employees who retire on or after June 30, 2002, the District provides no subsidy.

Note 10. Other Postemployment Benefits (Continued)

The required contribution is based on projected pay-as-you-go financing. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75. For fiscal year 2025, the District contributed \$609,727 as benefit payments. Retiree and active members receiving benefits contributed through their required monthly contributions of the following:

Rate Tier	Fiscal Year 2025 Alliance Select	Fiscal Year 2025 Blue Access
Employee	\$ 796.15	\$ 754.28
Employee + One	1,518.42	1,438.56
Family	2,420.30	2,293.01

Employees covered by benefit terms: At June 30, 2025, the following employees were covered by the benefit terms:

Current retirees, beneficiaries and dependents	66
Current active members, fully eligible for benefits	908
Current active members, not yet fully eligible for benefits	3,653
	4,627

Total OPEB Liability: The District's total OPEB liability of \$40,097,415 was measured as of June 30, 2025, and was determined by an actuarial valuation as of that date.

The total OPEB liability in the June 30, 2025 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Inflation	2.60%
Salary increases	3.25%
Discount rate, end of year	5.20%
Discount rate, beginning of year	3.93%
Healthcare cost trend rates	8.5% for medical and prescription benefits, decreasing 0.39% per year to an ultimate rate of 4.00% by 2034. 4.0% for administrative fees for all years.

The discount rate was based on the Bond Buyer 20-Bond GO Index.

Mortality rates were based on the PUB-2010 headcount weighted base mortality table, projected generationally using Scale MP-2021, applied on a gender-specific and job class basis (teacher, safety, or general, as applicable). It is assumed that 40% of future retirees cover a spouse at retirement. This is based on the current retiree spouse election percentages. All current and future retirees are assumed to be eligible for Medicare at age 65. The participation percentage is the assumed rate of future eligible retirees who elect to continue health coverage at retirement. It is assumed that 60% of all employees and their dependents who are eligible for early retiree benefits will participate in the retiree medical plan.

Note 10. Other Postemployment Benefits (Continued)

Based on current retiree plan elections, future retirees are assumed to elect plan coverage at the following rates:

Alliance Select—55%

Blue Access—45%

Changes in the Total OPEB Liability:

	Total OPEB Liability
Balance as of July 1, 2024	\$ 43,705,777
Changes for the year:	
Service cost	4,127,294
Interest	1,867,859
Differences between expected and actual experience	(12,662,344)
Changes in assumptions or other inputs	3,668,556
Contributions and payments made	(609,727)
Net changes	(3,608,362)
Balance as of June 30, 2025	\$ 40,097,415

Changes of assumptions and other inputs reflect a change in the discount rate from 3.93% in 2024 to 5.20% in 2025. The current valuation incorporates several updates to actuarial assumptions to reflect recent economic and demographic trends. In addition to the change in the discount rate, the assumed marriage rate for future retirees was revised from 35% to 40% to better align with observed experience. Healthcare trend assumptions were updated to an initial rate of 8.50% grading down to an ultimate rate of 4.00%, with select trend rates adjusted to reflect higher-than-anticipated healthcare cost increases. The previous valuation assumption for healthcare costs was an initial rate of 6.50% grading down to an ultimate rate of 4.00%. In addition, the salary scale assumption was updated from 3.50% to 3.25% to reflect expected long-term wage growth.

Changes in benefit terms included increases in deductibles, office visit copays and various other changes.

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the approximate total OPEB liability of the District calculated using a discount rate of 5.20%, as well as what the District's approximate total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (4.20%) or 1-percentage-point higher (6.20%) than the current discount rate:

	1% Decrease (4.20%)	Discount Rate (5.20%)	1% Increase (6.20%)
Total OPEB liability as of June 30, 2025	\$ 43,946,000	\$ 40,097,415	\$ 36,622,000

Sensitivity of the total OPEB liability to changes in the health care cost trend rates: The following presents the approximate total OPEB liability of the District calculated using health care cost trend rates of 8.50% decreasing to 4.00%, as well as what the District's approximate total OPEB liability would be if it were calculated using health care cost trend rates that are 1-percentage-point lower (7.50% decreasing to

Note 10. Other Postemployment Benefits (Continued)

3.00%) or 1-percentage-point higher (9.50% decreasing to 5.00%) than the current health care cost trend rates:

	1% Decrease (7.50% decreasing to 3.00%)	Healthcare Cost Trend Rates (8.50% decreasing to 4.00%)	1% Increase (9.50% decreasing to 5.00%)
Total OPEB liability as of June 30, 2025	\$ 35,135,000	\$ 40,097,415	\$ 46,039,000

OPEB expense and deferred outflows of resources and deferred inflows of resources related to OPEB: For the year ended June 30, 2025, the District recognized OPEB expense of \$752,317 and reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ -	\$ 33,416,094
Changes of assumptions or other inputs	5,960,774	14,963,453
Total deferred amounts related to OPEB	\$ 5,960,774	\$ 48,379,547

Amounts reported as the deferred inflows of resources related to OPEB will be recognized in OPEB expense over the average future service to retirement of plan participants as follows:

	Deferred Outflows (Inflows) of Resources
Years ending June 30:	
2026	\$ (5,242,836)
2027	(5,242,836)
2028	(5,242,836)
2029	(5,072,929)
2030	(4,838,841)
Thereafter	(16,778,495)
	\$ (42,418,773)

Note 11. Tax Abatements

GASB Statement No. 77, *Tax Abatement Disclosures* defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are otherwise entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Note II. Tax Abatements (Continued)

Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2025 under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated	Amount of Tax Diverted
City of Des Moines, Iowa	Urban renewal and economic development projects	\$ 14,103,003	\$ 4,600,497
Urbandale, Iowa	Urban renewal and economic development projects	115,228	77,311
City of Norwalk, Iowa	Urban renewal and economic development projects	528,183	-
City of Windsor Heights, Iowa	Urban renewal and economic development projects	81,443	10,877
		\$ 14,827,857	\$ 4,688,685

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2025, the District received \$2,038,569 of State Foundation Aid Replacement from the State of Iowa to replace \$5.40/ per \$1,000 of assessed valuation lost due to tax increment financing tax abatements paid by the above listed municipalities.

Note 12. Fund Balances

GASB Statement No. 54, Fund Balance Reporting and Governmental Fund Type Definitions, establishes criteria for classifying fund balances into specifically defined classifications and clarifies definitions for governmental fund types. The details for the District's fund balance as of June 30, 2025 are as follows:

Fund Balances:	General	Management	Nonmajor Governmental	Total
Nondisposable:				
Inventories	\$ 1,460,438	\$ -	\$ -	1,460,438
Prepays	145,114	-	1,776,102	1,921,216
Total nondisposable	1,605,552	-	1,776,102	3,381,654
Restricted:				
Student activities	-	-	575,475	575,475
Management levy purposes	-	54,194,539	-	54,194,539
Physical plant and equipment	-	-	22,855,889	22,855,889
Public education and recreation	-	-	1,874,221	1,874,221
District Supported Trust	-	-	3,203,336	3,203,336
Capital projects	-	-	33,528,757	33,528,757
Categorical funding	2,114,601	-	-	2,114,601
Shared programs	358,159	-	-	358,159
Grants	973,642	-	-	973,642
Total restricted	3,446,402	54,194,539	62,037,678	119,678,619
Committed:				
Common core projects	5,000,000	-	-	5,000,000
Technology	6,500,000	-	-	6,500,000
Total committed	11,500,000	-	-	11,500,000
Assigned:				
Technology	736,617	-	-	736,617
Parent pay reserve	708,356	-	-	708,356
Total assigned	1,444,973	-	-	1,444,973
Unassigned	113,882,199	-	-	113,882,199
Total fund balances	\$ 131,879,126	\$ 54,194,539	\$ 63,813,780	\$ 249,887,445

Nondisposable:

Inventories: These dollars have been committed and spent on inventories that have yet to be consumed.

Prepaid items: These dollars have been spent on expenditures that relate to subsequent fiscal years.

Restricted: The following list of funds are restricted per Department of Education policy or explicitly stated in Iowa code. Please refer to Note 1 for a description of each funds restricted purpose:

- Student Activities
- Management Levy Purposes
- Physical Plant and Equipment (PPEL)
- Public Education and Recreation (PERL)
- District Supported Trust Fund
- Capital Projects

Note 12. Fund Balances (Continued)

- Permanent Trust

Categorical funding: These are funds that Des Moines Public Schools has received from State and Federal sources. These dollars have to be spent in accordance with the guidelines defined by each of these categories. These programs include, but are not limited to:

- 4-Year Old Preschool
- Early Childhood
- English Language Learners (Students that English is not their first language)
- Nonpublic Textbooks
- Professional Development
- Success Early Readers
- Gifted & Talented
- Teacher Leadership/Teacher Mentoring
- Medicaid Reimbursement
- Special Education Reserve to be utilized for special education related expenditures

Grants: These are funds that have been granted to the District from Federal, State or Local sources. These funds can only be spent as defined by the grant.

Shared Programs Reserve: These funds have been set aside to allow students to take classes outside of their core classes. These courses allow students to take college level courses and career courses that will help transfer these credits to a college after graduation.

Committed:

Common core projects: These funds have been set aside to help the District continue to develop Common Core Strategies across the District now and in future years. This initiative will require significant resources and manpower to help the District move forward to this goal.

Technology: These funds have been set aside for curriculum technology as the District moves toward the Common Core Strategies and continue to move the District into the future state of learning in the 21st Century.

Note 12. Fund Balances (Continued)**Assigned:**

Technology: These are funds that have been set aside to make sure that the District can maintain and improve its current technology infrastructure. This enables the students and employees to have access to the technology needs for the present and the future.

Parent pay reserve: The District has several pre-school programs serving more than 1,500 students, including multiple funding sources. In most cases, half of the school day is covered through the state-funded Universal Preschool Program. The remaining portion of the day is often covered by fees charged to parents (referred to as parent pay revenue). As a result, the District assigned the remaining funds in the parent pay account to be utilized for future pre-school needs.

Note 13. Pending and Adopted Governmental Accounting Standards Board (GASB) Pronouncements

The GASB has issued two statements which were implemented by the District in the current year. The statements adopted in the current year were as follows:

- GASB Statement No. 101, *Compensated Absences*, this Statement clarifies the recognition and measurement guidance for compensated absences. This Statement requires that liabilities for compensated absences be recognized for (1) leave that has not been used and (2) leave that has been used but not yet paid in cash or settled through noncash means. As a result of the adoption, the District recorded an increase in the compensated absences liability as of July 1, 2024 of \$38,759,480 for Governmental Activities and \$1,462,875 for Business-Type Activities. See Note 14 for the change to net position.
- GASB Statement No. 102, *Certain Risk Disclosures*, requires a government to assess whether a concentration or constraint makes the primary government reporting unit or other reporting units that report a liability for revenue debt vulnerable to the risk of a substantial impact. Additionally, this Statement requires a government to assess whether an event or events associated with a concentration or constraint that could cause the substantial impact have occurred, have begun to occur, or are more likely than not to begin to occur within 12 months of the date the financial statements are issued. If a government determines that those criteria for disclosure have been met for a concentration or constraint, it should disclose information in notes to financial statements in sufficient detail to enable users of financial statements to understand the nature of the circumstances disclosed and the government's vulnerability to the risk of a substantial impact. Management has evaluated the requirements of the Statement and determined that no concentrations or constraints exist that meet the criteria for disclosure.

The GASB has issued several statements not yet implemented by the District. The District's management has not yet determined the effect these Statements will have on the District's financial statements. The Statements which might impact the District are as follows:

- GASB Statement No. 103, *Financial Reporting Model Improvements* will improve key components of the financial reporting model to enhance its effectiveness in providing information that is essential for decision making and assessing a government's accountability. This statement also addresses certain application issues. The statement will be effective for the District with its year ending June 30, 2026.

Note 13. Pending and Adopted Governmental Accounting Standards Board (GASB) Pronouncements (Continued)

- GASB Statement No. 104, *Disclosure of Certain Capital Assets* will improve financial reporting by providing issuers of financial statements with essential information about certain types of capital assets in order to make informed decisions and assess accountability. Additionally, the disclosure requirements will improve consistency and comparability between governments. The statement will be effective for the District with its year ending June 30, 2026.

Note 14. Accounting Changes and Error Corrections

Accounting Changes: Governmental Accounting Standards Board Statement No. 101, *Compensated Absences*, was implemented as of July 1, 2024. The implementation of this standard resulted in the District restating their net position and compensated absence liability as of July 1, 2024. The implementation of this standard also resulted in certain additional disclosures.

Error Corrections: During fiscal year 2025, the District identified an error in previously issued financial statements related to the omitted allocation of the Other Postemployment Benefits (OPEB) liability as it relates to the Business-Type Activities Funds. This error affected governmental activities, business-type activities and aggregate remaining fund information (more specifically the School Nutrition Fund and the Child Care Fund). The correction has been applied retroactively by restating beginning net position. The impact of the change in net position for fiscal year 2024 is \$116,390 (specifically an increase to governmental activities, and a correlating decrease in business-type activities and the aggregate remaining fund information).

The impact of these changes are disclosed below:

	Compensated Absences	Deferred Outflows of Resources - OPEB related amounts	Total OPEB liability	Deferred Inflows of Resources - OPEB related amounts	Net Position
Governmental Activities:					
Balances June 30, 2024, as previously reported	\$ 5,158,079	\$ 2,862,854	\$ 43,705,777	\$ 41,531,960	\$ 608,132,538
Adjustment for error correction	-	(89,035)	(1,359,250)	(1,291,644)	2,561,859
Adjustment for compensated absences	38,759,480				(38,759,480)
Balances July 1, 2024, as restated	\$ 43,917,559	\$ 2,773,819	\$ 42,346,527	\$ 40,240,316	\$ 571,934,917
Business-Type Activities:					
Balances June 30, 2024, as previously reported	\$ 424,733	\$ -	\$ -	\$ -	\$ 931,637
Adjustment for error correction	-	89,035	1,359,250	1,291,644	(2,561,859)
Adjustment for compensated absences	1,462,875				(1,462,875)
Balances July 1, 2024, as restated	\$ 1,887,608	\$ 89,035	\$ 1,359,250	\$ 1,291,644	\$ (3,093,097)

Note 14. Accounting Changes and Error Corrections (continued)

	Compensated Absences	Deferred Outflows of Resources - OPEB related amounts	Total OPEB liability	Deferred Inflows of Resources - OPEB related amounts	Net Position
Aggregate Remaining Fund Information:					
<i>School Nutrition Fund, Nonmajor Enterprise Fund:</i>					
Balances June 30, 2024, as previously reported	\$ 371,610	\$ -	\$ -	\$ -	\$ 596,026
Adjustment for error correction	-	72,144	1,101,386	1,046,605	(2,075,847)
Adjustment for compensated absences	1,311,301				(1,311,301)
Balances July 1, 2024, as restated	\$ 1,682,911	\$ 72,144	\$ 1,101,386	\$ 1,046,605	\$ (2,791,122)
<i>Child Care fund, Nonmajor Enterprise Fund:</i>					
Balances June 30, 2024, as previously reported	\$ 53,123	\$ -	\$ -	\$ -	\$ 153,613
Adjustment for error correction	-	16,891	257,864	245,039	(486,012)
Adjustment for compensated absences	151,574				(151,574)
Balances July 1, 2024, as restated	\$ 204,697	\$ 16,891	\$ 257,864	\$ 245,039	\$ (483,973)
<i>Internal Service Fund:</i>					
Balances June 30, 2024, as previously reported	\$ 17,273	\$ -	\$ -	\$ -	\$ 14,645,522
Adjustment for compensated absences	30,626	-	-	-	(30,626)
Balances July 1, 2024, as restated	\$ 47,899	\$ -	\$ -	\$ -	\$ 14,614,896
<i>Print Shop Fund, Internal Service Fund:</i>					
Balances June 30, 2024, as previously reported	\$ 17,273	\$ -	\$ -	\$ -	\$ 1,010,583
Adjustment for compensated absences	30,626	-	-	-	(30,626)
Balances July 1, 2024, as restated	\$ 47,899	\$ -	\$ -	\$ -	\$ 979,957

Required Supplementary Information

Schedule of Changes in the District's Total OPEB Liability and Related Ratios

	June 30, 2025	June 30, 2024	June 30, 2023	June 30, 2022
Total OPEB Liability:				
Service cost	\$ 4,127,294	\$ 4,149,404	\$ 4,949,032	\$ 4,716,119
Interest	1,867,859	1,596,958	1,621,292	996,213
Changes in benefit terms	-	-	-	-
Difference between expected and actual experience	(12,662,344)	-	(4,548,366)	-
Changes of assumptions and other inputs	3,668,556	(1,078,753)	(2,299,807)	(5,333,660)
Contributions and payments made	(609,727)	(1,129,399)	(809,523)	(1,057,142)
Net change in total OPEB liability	(3,608,362)	3,538,210	(1,087,372)	(678,470)
Total OPEB liability, beginning	43,705,777	40,167,567	41,254,939	41,933,409
Total OPEB liability, ending	\$ 40,097,415	\$ 43,705,777	\$ 40,167,567	\$ 41,254,939
Covered - employee payroll	\$ 299,809,328	\$ 288,657,902	\$ 284,030,649	\$ 272,686,768
Total OPEB liability as a percentage of covered payroll	13.37%	15.14%	14.14%	15.13%

Notes to schedule:

Changes of benefit terms:

There were no changes as a result of changes in benefit terms.

Changes of assumptions:

Changes of assumptions and other inputs reflect the changes in the discount rate each period. The following are discount rates used in each period.

	5.20%	3.93%	3.65%	3.54%
Rate of inflation:	2.60%	3.50%	3.50%	3.00%
Salary increases:	3.25%	3.50%	3.50%	2.00%
Future retirees spouse coverage:	40.00%	35.00%	35.00%	35.00%
Plan participation percentage:	60.00%	60.00%	60.00%	60.00%

The following are health care cost trend rates used in each period.

2017: 7.00% for medical/prescription benefits and 4.50% for administrative fees, decreasing 0.50 per year to ultimate rate of 4.50% for 2018 and later years.

2018: 6.50% for medical/prescription benefits and 4.00% for administrative fees, decreasing 0.50 per year to ultimate rate of 4.00% for 2019 and later years.

2019: 6.00% for medical/prescription benefits and 4.50% for administrative fees, decreasing 0.50 per year to ultimate rate of 4.00% for 2020 and later years.

2020: 5.50% for medical/prescription benefits and 4.00% for administrative fees, decreasing 0.50 per year to ultimate rate of 4.00% for 2021 and later years.

2021: 5.00% for medical/prescription benefits and 4.00% for administrative fees, decreasing 0.50 per year to ultimate rate of 4.00% for 2022 and later years.

2022: 4.50% for medical/prescription benefits and 4.00% for administrative fees, decreasing 0.50 per year to ultimate rate of 4.00% for 2023 and later years.

2023: 6.50% for medical/prescription benefits and 4.00% for administrative fees, decreasing 0.25 per year to ultimate rate of 4.00% for 2024 and later years.

2024: 6.50% for medical/prescription benefits and 4.00% for administrative fees, decreasing 0.25 per year to ultimate rate of 4.00% for 2025 and later years.

2025: 8.50% for medical/prescription benefits and 4.00% for administrative fees, decreasing 0.39 per year to ultimate rate of 4.00% for 2026 and later years.

Note: No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75.

Note: GASB Statement No. 75 requires the presentation of 10 years of information. However, until a full 10-year trend is compiled, the District will present information for those years which information is available.

June 30, 2021	June 30, 2020	June 30, 2019	June 30, 2018	June 30, 2017
\$ 5,863,578	\$ 5,809,199	\$ 5,612,753	\$ 6,736,438	\$ 6,485,451
1,187,174	1,757,982	2,877,808	2,702,819	2,415,343
-	-	(4,273,106)	-	-
(16,561,012)	-	(16,056,500)	-	-
4,066,409	(2,729,718)	(10,863,757)	(1,604,544)	(4,247,673)
(954,848)	(1,848,426)	(1,406,697)	(2,971,963)	(2,091,035)
(6,398,699)	2,989,037	(24,109,499)	4,862,750	2,562,086
48,332,108	45,343,071	69,452,570	64,589,820	62,027,734
\$ 41,933,409	\$ 48,332,108	\$ 45,343,071	\$ 69,452,570	\$ 64,589,820
\$ 268,756,689	\$ 265,906,251	\$ 265,893,659	\$ 270,536,351	\$ 262,230,859
15.60%	18.18%	17.05%	25.67%	24.63%

2.16%	2.21%	3.50%	3.87%	3.58%
3.00%	3.00%	3.00%	3.00%	3.00%
2.00%	2.00%	2.00%	2.00%	2.00%
35.00%	35.00%	35.00%	50.00%	50.00%
60.00%	60.00%	60.00%	70.00%	70.00%

Required Supplementary Information

Schedule of the District's Proportionate Share of the Net Pension Liability

Iowa Public Employees' Retirement System

	June 30, 2025	June 30, 2024	June 30, 2023	June 30, 2022
Measurement date	6/30/2024	6/30/2023	6/30/2022	6/30/2021
District's proportion of the net pension liability	2.891884%	2.903917%	2.984863%	3.056310%
District's proportionate share of the net pension liability	\$ 106,791,619	\$ 133,993,473	\$ 118,472,049	\$ 4,284,675
District's covered payroll	\$ 272,469,047	\$ 259,797,172	\$ 253,286,282	\$ 248,176,597
District's proportionate share of the net pension liability as a percentage of its covered payroll	39.19%	51.58%	46.77%	1.73%
Plan fiduciary net position as a percentage of the total pension liability	92.30%	90.13%	91.40%	100.81%

See note to required supplementary information.

June 30, 2021	June 30, 2020	June 30, 2019	June 30, 2018	June 30, 2017	June 30, 2016
6/30/2020	6/30/2019	6/30/2018	6/30/2017	6/30/2016	6/30/2015
3.110417%	3.176775%	3.267692%	3.171386%	3.180910%	3.109113%
\$ 216,974,929	\$ 185,191,878	\$ 206,722,536	\$ 211,254,423	\$ 200,184,731	\$ 153,605,231
\$ 244,576,229	\$ 243,397,763	\$ 245,660,552	\$ 236,726,377	\$ 228,344,150	\$ 213,014,784
88.71%	76.09%	84.15%	89.24%	87.67%	72.11%
82.90%	85.45%	83.62%	82.21%	81.82%	85.19%

Required Supplementary Information

Schedule of the District's Contributions

Iowa Public Employees' Retirement System

Fiscal Year Ended June 30,	Actuarially Determined Contribution	Actual Contribution	Contribution Deficiency (Excess)	Covered Payroll	Actual Contribution as a Percentage of Covered Payroll
2025	\$ 26,762,199	\$ 26,762,199	\$ -	\$ 283,497,871	9.44%
2024	25,721,078	25,721,078	-	272,469,047	9.44
2023	24,521,077	24,521,077	-	259,797,172	9.44
2022	23,910,225	23,910,225	-	253,286,282	9.44
2021	23,440,204	23,440,204	-	248,176,597	9.44
2020	23,087,996	23,087,996	-	244,576,229	9.44
2019	22,976,746	22,976,746	-	243,397,763	9.44
2018	21,937,488	21,937,488	-	245,660,552	8.93
2017	21,139,663	21,139,663	-	236,726,377	8.93
2016	20,391,133	20,391,133	-	228,344,150	8.93

Note to Required Supplementary Information

Iowa Public Employees' Retirement System Year Ended June 30, 2025

Changes in actuarial assumptions and methods:

June 30, 2024 Valuation:

- None

June 30, 2023 Valuation:

- None

June 30, 2022 Valuation:

- None

June 30, 2021 Valuation:

- None

June 30, 2020 Valuation:

- Changed mortality assumptions to the Pub-2010 mortality tables with mortality improvements modeled using Scale MP-2021.
- Adjusted retirement rates for Regular members.
- Lowered disability rates for Regular members.
- Adjusted the termination rates for all membership groups.

June 30, 2019 Valuation:

- None

June 30, 2018 Valuation:

- Mortality assumption was changed to the family of RP-2014 Mortality Tables for all groups, with mortality improvements modeled using Scale MP-2017.
- Retirement rates for Regular members were lowered to better reflect actual experience. For the Sheriffs and Deputies, the retirement assumption was modified to reflect lower retirement rates at the younger ages. For the Protection Occupation group, the retirement rates were modified both higher and lower across the age ranges.
- Disability rates were lowered for all groups to better reflect the actual experience.
- Termination rates for Regular members were adjusted to better reflect actual experience. Separate termination assumptions were adopted for the two Special Service groups and the assumptions were changed to be service-based rather than age-based.
- The probability of a vested member electing to receive a deferred benefit was adjusted for Regular members to better reflect actual experience.
- The merit component of the salary increase assumptions was adjusted to better reflect actual salary increases.

June 30, 2017 Valuation:

- The inflation assumption decreased from 3.00% to 2.60% per year.
- The assumed rate of interest on member accounts was decreased from 3.75% to 3.50% per year.
- The long-term rate of return assumption decreased from 7.50% to 7.00% per year.
- The wage growth and payroll growth assumption decreased from 4.00% to 3.25% per year.
- Salary increase assumption decreased by 0.75%.

June 30, 2016 Valuation:

- None

June 30, 2015 Valuation:

- None



COME HERE. BECOME HERE.

Required Supplementary Information

Schedule of Changes in Net Pension Liability (Asset)

Des Moines Teachers' Retirement System

	2025	2024	2023	2022
Total Pension Liability				
Interest	\$ 9,270,202	\$ 9,448,333	\$ 10,245,372	\$ 10,241,022
Service cost	1,428,498	1,508,072	1,623,672	1,703,282
Benefit payments	(18,771,712)	(22,776,118)	(17,698,601)	(25,148,956)
Difference between expected and actual experience	3,164,857	5,898,850	(9,285,857)	9,060,737
Changes in assumptions	(13,334,041)	-	-	555,206
Net change in total pension liability	(18,242,196)	(5,920,863)	(15,115,414)	(3,588,709)
Total pension liability—beginning of year	214,676,121	220,596,984	235,712,398	239,301,107
Total pension liability—end of year	\$ 196,433,925	\$ 214,676,121	\$ 220,596,984	\$ 235,712,398
Plan Net Position				
Contributions—employer	\$ 789,007	\$ 856,549	\$ 873,019	\$ 940,505
Contributions—members	639,491	651,523	750,653	762,777
Investment income, net of investment expenses	15,938,417	12,840,457	6,399,074	(22,041,950)
Benefit payments	(18,771,712)	(22,776,118)	(17,698,601)	(25,148,956)
Administrative expenses	(89,625)	(145,286)	(121,178)	(94,023)
Net change in plan net position	(1,494,422)	(8,572,875)	(9,797,033)	(45,581,647)
Total plan net position—beginning of year	176,695,017	185,267,892	195,064,925	240,646,572
Total plan net position—end of year	175,200,595	176,695,017	185,267,892	195,064,925
Net pension liability (asset)	\$ 21,233,330	\$ 37,981,104	\$ 35,329,092	\$ 40,647,473

See note to required supplementary information.

2021	2020	2019	2018	2017	2016
\$ 10,941,085	\$ 10,491,563	\$ 9,850,960	\$ 10,600,709	\$ 11,061,733	\$ 13,296,891
2,420,781	2,506,661	2,662,665	3,093,833	3,170,939	3,406,928
(18,676,083)	(18,641,113)	(19,246,304)	(16,736,075)	(16,737,133)	(16,089,811)
(3,945,498)	(3,155,225)	16,672,458	454,936	(659,353)	4,733,074
(2,702,051)	18,847,928	4,071,232	(205,296)	(6,051,814)	-
(11,961,766)	10,049,814	14,011,011	(2,791,893)	(9,215,628)	5,347,082
251,262,873	241,213,064	227,202,054	229,993,947	239,209,575	233,862,493
\$ 239,301,107	\$ 251,262,878	\$ 241,213,065	\$ 227,202,054	\$ 229,993,947	\$ 239,209,575
\$ 1,336,348	\$ 1,383,617	\$ 1,561,342	\$ 1,707,565	\$ 1,809,156	\$ 1,880,180
1,084,433	1,123,044	1,101,323	1,386,268	1,383,568	1,526,748
23,573,457	12,010,385	17,530,073	5,467,803	8,976,669	15,786,080
(18,676,083)	(18,641,113)	(19,246,305)	(16,736,075)	(16,737,133)	(16,089,811)
(131,181)	(93,792)	(103,014)	(89,897)	(86,307)	(92,792)
7,186,974	(4,217,859)	843,419	(8,264,336)	(4,654,047)	3,010,405
233,459,598	237,677,457	236,834,038	245,098,374	249,752,421	246,742,016
240,646,572	233,459,598	237,677,457	236,834,038	245,098,374	249,752,421
\$ (1,345,465)	\$ 17,803,280	\$ 3,535,608	\$ (9,631,984)	\$ (15,104,427)	\$ (10,542,846)

Required Supplementary Information

Schedule of Net Pension Liability (Asset) and Related Ratios

Des Moines Teachers' Retirement System

	2025	2024	2023	2022
Total pension liability—end of year	\$ 196,433,925	\$ 214,676,121	\$ 220,596,984	\$ 235,712,398
Plan net position—end of year	175,200,595	176,695,017	185,267,892	195,064,925
Net pension liability (asset)	\$ 21,233,330	\$ 37,981,104	\$ 35,329,092	\$ 40,647,473
Plan net position as a percentage of the total pension liability (asset)	89.2%	82.3%	84.0%	82.8%
Covered payroll	\$ 7,201,328	\$ 9,855,056	\$ 10,114,006	\$ 11,548,370
Net pension liability (asset) as a percentage of covered payroll	294.9%	385.4%	349.3%	342.3%

See note to required supplementary information.

2021	2020	2019	2018	2017	2016
\$ 239,301,107	\$ 251,262,878	\$ 241,213,065	\$ 227,202,054	\$ 229,993,947	\$ 239,209,575
240,646,572	233,479,598	237,677,458	236,834,038	245,098,374	249,752,421
\$ (1,345,465)	\$ 17,783,280	\$ 3,535,607	\$ (9,631,984)	\$ (15,104,427)	\$ (10,542,846)
100.6%	92.9%	98.5%	104.2%	106.6%	104.4%
\$ 12,193,164	\$ 17,693,180	\$ 18,197,426	\$ 20,381,987	\$ 19,420,566	\$ 19,971,785
(11.0%)	100.5%	19.4%	(47.3%)	(77.8%)	(52.8%)

Required Supplementary Information
Schedule of Money-Weighted Rate of Return
Des Moines Teachers' Retirement System

Plan Year Ended June 30,	Money-Weighted Rate of Return
2016	6.6
2017	3.7
2018	2.3
2019	7.7
2020	5.2
2021	10.5
2022	(9.6)
2023	3.4
2024	7.4
2025	9.5

See note to required supplementary information.

Required Supplementary Information

Schedule of Contributions From the District

Des Moines Teachers' Retirement System

Plan Year Ended June 30,	Annual Required Contribution	Actual Contribution	Contribution Deficiency (Excess)	Covered Payroll	Actual Contributions as a Percent of Covered Payroll
2016	\$ 1,880,180	\$ 1,880,180	- \$	19,971,785	9.4%
2017	1,750,905	1,750,905	-	19,420,566	9.0%
2018	1,707,565	1,707,565	-	20,381,987	8.4%
2019	1,561,342	1,561,342	-	18,197,426	8.6%
2020	1,383,617	1,383,617	-	17,693,180	7.8%
2021	1,336,348	1,336,348	-	12,193,164	11.0%
2022	940,505	940,505	-	11,548,370	8.1%
2023	873,019	873,019	-	10,114,006	8.6%
2024	856,549	856,549	-	9,855,056	8.7%
2025	789,007	789,007	-	7,201,328	11.0%

See note to required supplementary information.

Note to Required Supplementary Information

Des Moines Teachers' Retirement System Year Ended June 30, 2025

The information presented in the required supplementary schedule was determined as part of the June 30, 2025 actuarial valuation.

Changes in actuarial assumptions and methods:

June 30, 2025 Valuation:

- The discount rate was changed from 4.5% to 5.41%
- A one-time 0.9% COLA has been added for retirees to account for the allocation of excess earnings

June 30, 2024 Valuation:

- None

June 30, 2023 Valuation:

- None

June 30, 2022 Valuation:

- None

June 30, 2021 Valuation:

- The mortality improvement scale was changed to MP-2020

June 30, 2020 Valuation:

- The mortality tables used changed to Pub-2010 Mortality Tables for Teachers with projection using scale MP-2019

June 30, 2019 Valuation:

- The mortality improvement scale was changed to MP-2019

June 30, 2018 Valuation:

- None

June 30, 2017 Valuation:

- The discount rate was changed from 4.75% to 4.5%
- The mortality improvement scale was changed to MP-2017

June 30, 2016 Valuation:

- The mortality improvement scale was changed to MP-2016

June 30, 2015 Valuation:

- The discount rate was changed from 3.5-4.5% to 4.75%
- The mortality improvement scale was changed to MP-2015



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Required Supplementary Information

Budgetary Comparison Schedule

All Governmental Funds and Enterprise Funds

Year Ended June 30, 2025

	Actual		
	Governmental Fund Types	Enterprise Funds	Total
Revenues:			
Local sources	\$ 189,864,151	\$ 4,307,842	\$ 194,171,993
Intermediate sources	162,184	-	162,184
State sources	331,304,277	157,825	331,462,102
Federal sources	34,460,750	24,839,836	59,300,586
Total revenues	555,791,362	29,305,503	585,096,865
Expenditures/Expenses:			
Instruction	312,263,330	-	312,263,330
Support services	218,902,723	923,450	219,826,173
Noninstructional	3,340,002	29,773,162	33,113,164
Other	72,455,759	306,619	72,762,378
Total expenditures/expenses	606,961,814	31,003,231	637,965,045
Excess (deficiency) of revenues over expenditures/expenses	(51,170,452)	(1,697,728)	(52,868,180)
Other financing sources (uses):			
Proceeds from sale of capital assets/gain on sale	28,995	-	28,995
Insurance recoveries	3,393,796	245,762	3,639,558
Issuance of long-term SBITA and lease agreements	1,084,510	-	1,084,510
Transfers in	22,382,238	-	22,382,238
Transfers out	(22,382,238)	-	(22,382,238)
Contributed capital	-	58,674	58,674
Net change in fund balances/net position	\$ (46,663,151)	\$ (1,393,292)	\$ (48,056,443)

Note: Capital project expenditures have been classified according to function for budgetary comparison purposes.

See note to required supplementary information.

Budget		Final Budget to Actual Variance
Original	Final	
\$ 190,751,372	\$ 190,751,372	\$ 3,420,621
-	-	162,184
335,224,614	335,224,614	(3,762,512)
57,901,148	57,901,148	1,399,438
583,877,134	583,877,134	1,219,731
314,982,658	316,982,658	(4,719,328)
206,000,249	216,000,249	3,825,924
30,630,161	32,630,161	483,003
65,764,938	76,764,938	(4,002,560)
617,378,006	642,378,006	(4,412,961)
(33,500,872)	(58,500,872)	5,632,692
-	-	28,995
-	-	3,639,558
-	-	1,084,510
23,616,775	23,616,775	(1,234,537)
(24,556,000)	(24,556,000)	2,173,762
-	-	58,674
\$ (34,440,097)	\$ (59,440,097)	\$ 11,383,654

Note to Required Supplementary Information

Budgetary Comparison Schedule Year Ended June 30, 2025

Note 1. Basis of Presentation

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except Private Purpose Trust, Internal Service Funds and Custodial Funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on a GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund. These four functions are instruction, support services, non-instructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides District expenditures in the General Fund may not exceed the amount authorized by the school finance formula.

During the year, the District adopted one budget amendment, increasing budgeted expenditures by \$25,000,000.

During the year ended June 30, 2025 expenditures in the support services and noninstructional functions exceeded the amounts budgeted by \$3,825,924 and \$561,124, respectively. Overall expenditures were below the total budget.

The District is required by the Code of Iowa to budget for its share of media, educational services and special education support provided through the local area education agency. The Governor signed House File 2612 on March 27, 2024, which changed the percentage of education and media services funding generated through local property taxes by districts which flow through to each Area Education Agency (AEA) beginning July 1, 2024. For the fiscal year 2025, 40% of the educational and media services funds generated by Districts will continue to flow through to each AEA, while 60% of the funding will be retained by the district that generated the funds. The District's actual amount for this purpose totaled \$12,791,800 for the year ended June 30, 2025 compared to \$15,358,170 for the year ended June 30, 2024.



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Nonmajor Governmental Funds

Special Revenue Funds

Account for and report the proceeds of specific revenue sources that are restricted or committed to expenditures for specified purposes other than debt service or capital projects.

Student Activity Funds: This fund accounts for transactions that occur due to student-related activities from groups and organizations such as athletic and activity events, fundraising and other extracurricular or cocurricular activities.

District Supported Trust: This fund accounts for transactions that are received in trust in which both the principal and interest earned can be used to support the District.

Debt Service Fund

Accounts for and reports financial resources that are restricted, committed, or assigned to expenditure for principal and interest on long-term debt.

Capital Projects Funds

Accounts for and reports financial resources that are restricted, committed, or assigned to expenditure for capital outlays, including the acquisition or construction of capital facilities and other capital assets.

Physical Plant and Equipment Levy (PPEL): This capital projects fund is authorized by Iowa Code Section 298.2 and accounts for transactions related to the improvement of facilities and grounds, construction of schoolhouses, certain equipment expenditures and other expenditures authorized in Iowa Code Section 298.3.

Public Education and Recreation Levy (PERL): This fund is authorized by Iowa Code Section 300.2 and accounts for transactions related to schoolhouse playgrounds and recreational activities within the District. This fund also accounts for community education activity.



Statewide Sales and Services Tax Fund (SAVE): The Capital Projects Fund accounts for all revenues and expenditures generated through the collection of local option sales tax and expenditures for capital outlays, including the acquisition or construction of capital facilities and other capital assets not covered by the physical plant and equipment levy (PPEL) and public education and recreation levy (PERL) funds. The cash restricted in this fund is for the purpose of future capital outlay expenditures.

Combining Balance Sheet

All Nonmajor Governmental Funds

June 30, 2025

	Special Revenue	
	Student Activity	District Supported Trust
Assets		
Cash and investments	\$ 705,223	\$ 478,074
Restricted investments	-	2,725,975
Cash held with agent	-	-
Property taxes receivable—current year	-	-
Property taxes receivable—succeeding year	-	-
Other receivables, net	20,608	3,063
Due from other governments	-	-
Prepaid items	-	-
Total assets	\$ 725,831	\$ 3,207,112
Liabilities, Deferred Inflows of Resources and Fund Balances		
Liabilities:		
Accounts payable	\$ 148,083	\$ 3,776
Accrued payroll and related benefits	-	-
Other current liabilities	73	-
Due to other governments	2,200	-
Total liabilities	150,356	3,776
Deferred inflows of resources, succeeding year, property taxes	-	-
Total deferred inflows of resources	-	-
Fund balances:		
Nonspendable	-	-
Restricted	575,475	3,203,336
Total fund balances	575,475	3,203,336
Total liabilities, deferred inflows of resources and fund balances	\$ 725,831	\$ 3,207,112

Physical Plant and Equipment Levy	Capital Projects		Total Nonmajor Governmental Funds
	Public Education and Recreation Levy	Statewide Sales and Services Tax	
\$ 26,015,206	\$ 1,903,613	\$ 12,911,861	\$ 42,013,977
-	-	1,841,552	4,567,527
-	-	20,341,043	20,341,043
146,375	11,169	-	157,544
17,832,326	1,254,845	-	19,087,171
-	1,141	704	25,516
-	-	4,272,409	4,272,409
150,313	100,000	1,525,789	1,776,102
\$ 44,144,220	\$ 3,270,768	\$ 40,893,358	\$ 92,241,289
\$ 3,197,770	\$ 41,199	\$ 5,734,256	\$ 9,125,084
-	420	381	801
107,922	83	104,175	212,253
-	-	-	2,200
3,305,692	41,702	5,838,812	9,340,338
17,832,326	1,254,845	-	19,087,171
17,832,326	1,254,845	-	19,087,171
150,313	100,000	1,525,789	1,776,102
22,855,889	1,874,221	33,528,757	62,037,678
23,006,202	1,974,221	35,054,546	63,813,780
\$ 44,144,220	\$ 3,270,768	\$ 40,893,358	\$ 92,241,289

Combining Statement of Revenues, Expenditures and Changes in Fund Balances All Nonmajor Governmental Funds Year Ended June 30, 2025

	Special Revenue	
	Student Activity	District Supported Trust
Revenues:		
Property taxes	\$ -	\$ -
Other local sources	-	101,671
Sales tax, for capital projects	-	-
Investment earnings	-	357,942
Student activities	2,033,387	-
Total revenues	2,033,387	459,613
Expenditures:		
Current:		
Instruction	2,060,702	51,076
Student services	-	-
Instructional support services	-	21,983
Building administration	-	-
Business and central administration	591	2,337
Plant operation and maintenance	-	1,544
Student transportation	-	-
Noninstructional	-	-
Capital outlay	-	-
Debt service:		
Bond issuance costs	-	-
Principal retirement	-	-
Interest	-	-
Total expenditures	2,061,293	76,940
Excess (deficiency) of revenues over expenditures	(27,906)	382,673
Other financing sources (uses):		
Proceeds from sale of capital assets	975	-
Issuance of long-term SBITA and lease agreements	-	-
Transfers in	-	-
Transfers out	-	-
Total other financing sources (uses)	975	-
Net change in fund balances	(26,931)	382,673
Fund balances, beginning of year	602,406	2,820,663
Fund balances, end of year	\$ 575,475	\$ 3,203,336

Debt Service Fund	Capital Projects			Total Nonmajor Governmental Funds
	Physical Plant and Equipment Levy	Public Education and Recreation Levy	Statewide Sales and Service Tax	
\$ -	\$ 17,515,651	\$ 1,232,136	\$ -	\$ 18,747,787
-	2,314,750	109,891	63,554	2,589,866
-	-	-	40,741,153	40,741,153
-	246,108	-	463,687	1,067,737
-	-	40,714	-	2,074,101
-	20,076,509	1,382,741	41,268,394	65,220,644
-	1,324,345	-	-	3,436,123
-	-	174,730	-	174,730
-	852,087	-	-	874,070
-	-	-	322,837	322,837
-	133,043	93,553	6,385,416	6,614,940
-	550,248	-	161,623	713,415
-	-	-	1,408,114	1,408,114
-	-	477,414	-	477,414
-	17,117,881	879,116	19,286,412	37,283,409
-	-	-	1,800	1,800
18,310,215	-	-	-	18,310,215
4,068,535	-	-	-	4,068,535
22,378,750	19,977,604	1,624,813	27,566,202	73,685,602
(22,378,750)	98,905	(242,072)	13,702,192	(8,464,958)
-	-	-	-	975
-	-	-	1,084,510	1,084,510
22,378,750	-	-	-	22,378,750
-	(96,532)	-	(22,282,218)	(22,378,750)
22,378,750	(96,532)	-	(21,197,708)	1,085,485
-	2,373	(242,072)	(7,495,516)	(7,379,473)
-	23,003,829	2,216,293	42,550,062	71,193,253
\$ -	\$ 23,006,202	\$ 1,974,221	\$ 35,054,546	\$ 63,813,780



COME HERE. BECOME HERE.

Nonmajor Enterprise Funds

Enterprise funds are used to account for those operations that are financed and operated in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability.

School Nutrition Fund

This fund accounts for transactions related to the school lunch, breakfast and summer food programs authorized by Iowa Code Section 283A.

Child Care Fund

This fund accounts for transactions for before and after school child care and summer child care programs authorized by Iowa Code Sections 298A.12 and 279.49.

Home Construction Fund

This fund accounts for transactions for the home building activity performed by students as part of their instructional or extracurricular program. This fund also accounts for the sale of those homes.

Automotive Fund

This fund accounts for transactions for the service and repair of automobiles performed by students as part of their instructional or extracurricular program.

Farm to Market Ag Store Fund

This fund accounts for transactions from the student operated ag store as part of their instruction or extracurricular program.

Combining Statement of Net Position

All Nonmajor Enterprise Funds

June 30, 2025

	School Nutrition	Child Care	Home Construction
Assets			
Current assets:			
Cash and cash equivalents	\$ -	\$ -	\$ 116,148
Other receivables, net	131,293	2,042,523	-
Due from other governments	575,143	-	-
Due from other funds	117,287	15,377	-
Inventories	917,107	-	-
Total current assets	1,740,830	2,057,900	116,148
Noncurrent assets:			
Capital assets:			
Nondepreciable	-	-	9,499
Depreciable, net	1,359,477	53,752	-
Total noncurrent assets	1,359,477	53,752	9,499
Total assets	3,100,307	2,111,652	125,647
Deferred Outflow of Resources			
Pension related amounts	2,179,859	616,203	-
OPEB related amounts	146,040	33,380	-
Total deferred outflows of resources	2,325,899	649,583	-
Liabilities			
Current liabilities:			
Accounts payable	36,014	20,160	-
Accrued payroll and related benefits	4,126	12,866	-
Unearned revenue	140,980	28,682	-
Due to other funds	525,034	795,569	-
Compensated absences	1,798,710	206,894	-
Other current liabilities	337	175	-
Total current liabilities	2,505,201	1,064,346	-
Noncurrent liabilities:			
Compensated absences	66,001	-	-
Net pension liability	3,102,313	1,498,045	-
Other postemployment benefits (OPEB)	982,387	224,545	-
Total noncurrent liabilities	4,150,701	1,722,590	-
Total liabilities	6,655,902	2,786,936	-
Deferred Inflow of Resources			
Pension related amounts	1,401,363	546,020	-
OPEB related amounts	1,185,299	270,926	-
Total deferred inflows of resources	2,586,662	816,946	-
Net Position (deficit)			
Investment in capital assets	1,359,477	53,752	9,499
Unrestricted (deficit)	(5,175,835)	(896,399)	116,148
Total net position (deficit)	\$ (3,816,358)	\$ (842,647)	\$ 125,647

Automotive		Farm to Market Ag Store		Total
\$	44,055	\$	1,257	\$ 161,460
	-		-	2,173,816
	-		-	575,143
	-		-	132,664
	-		-	917,107
	44,055		1,257	3,960,190
	-		-	9,499
	1,738		-	1,414,967
	1,738		-	1,424,466
	45,793		1,257	5,384,656
	-		-	2,796,062
	-		-	179,420
	-		-	2,975,482
	81		-	56,255
	-		-	16,992
	-		-	169,662
	-		-	1,320,603
	-		-	2,005,604
	-		-	512
	81		-	3,569,628
	-		-	66,001
	-		-	4,600,358
	-		-	1,206,932
	-		-	5,873,291
	81		-	9,442,919
	-		-	1,947,383
	-		-	1,456,225
	-		-	3,403,608
	1,738		-	1,424,466
	43,974		1,257	(5,910,855)
\$	45,712	\$	1,257	\$ (4,486,389)

Combining Statement of Revenues, Expenses and Changes in Fund Net Position (Deficit) All Nonmajor Enterprise Funds Year Ended June 30, 2025

	School Nutrition	Child Care	Home Construction
Operating revenues:			
Student activities	\$ -	\$ -	-
Charges for services:			
Sale of food	791,014	-	-
Child care	-	3,485,970	-
Total operating revenues	791,014	3,485,970	-
Operating expenses:			
Support services	923,450	-	-
Depreciation and amortization	304,101	1,410	-
Community services	25,062,793	4,697,620	-
Total operating expenses	26,290,344	4,699,030	-
Operating income (loss)	(25,499,330)	(1,213,060)	-
Nonoperating revenues:			
Other local sources	26,383	-	-
State sources	157,439	386	-
Federal sources	23,985,836	854,000	-
Insurance recoveries	245,762	-	-
Total nonoperating revenues	24,415,420	854,386	-
Income (loss) before contributed capital	(1,083,910)	(358,674)	-
Contributed capital	58,674	-	-
Total contributed capital	58,674	-	-
Change in net position	(1,025,236)	(358,674)	-
Total net position (deficit), beginning of year, as previously stated	596,026	153,613	125,647
Adjustment for error correction	(2,075,847)	(486,012)	-
Change in accounting principle	(1,311,301)	(151,574)	-
Total net position (deficit), beginning of year, as restated	(2,791,122)	(483,973)	125,647
Total net position (deficit), end of year	\$ (3,816,358)	\$ (842,647)	\$ 125,647

Automotive		Farm to Market Ag Store		Total
\$	4,463	\$	12	\$ 4,475
	-		-	791,014
	-		-	3,485,970
	4,463		12	4,281,459
	-		-	923,450
	1,108		-	306,619
	12,421		328	29,773,162
	13,529		328	31,003,231
	(9,066)		(316)	(26,721,772)
	-		-	26,383
	-		-	157,825
	-		-	24,839,836
	-		-	245,762
	-		-	25,269,806
	(9,066)		(316)	(1,451,966)
	-		-	58,674
	-		-	58,674
	(9,066)		(316)	(1,393,292)
	54,778		1,573	931,637
				(2,561,859)
	-		-	(1,462,875)
	54,778		1,573	(3,093,097)
\$	45,712	\$	1,257	\$ (4,486,389)

Combining Statement of Cash Flows

All Nonmajor Enterprise Funds

Year Ended June 30, 2025

	School Nutrition	Child Care	Home Construction
Cash flows from operating activities:			
Cash received from user charges	\$ 756,572	\$ 2,575,885	\$ -
Cash payments to employees for services	(11,938,449)	(3,903,482)	-
Cash payments to suppliers for goods and services	(12,861,039)	(859,265)	-
Net cash provided by (used in) operating activities	(24,042,916)	(2,186,862)	-
Cash flows from noncapital financing activities:			
Payments from other funds	525,034	795,569	-
Payments to other funds	(3,695)	742	-
Grants and donations received	22,197,167	854,386	-
Net cash provided by (used in) noncapital financing activities	22,718,506	1,650,697	-
Cash flows from capital and related financing activities:			
Insurance recoveries	245,762	-	-
Acquisition of capital assets	(127,334)	(55,162)	-
Net cash provided by (used in) capital and related financing activities	118,428	(55,162)	-
Net increase (decrease) in cash and cash equivalents	(1,205,982)	(591,327)	-
Cash and cash equivalents, beginning of year	1,205,982	591,327	116,148
Cash and cash equivalents, end of year	\$ -	\$ -	\$ 116,148
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:			
Operating income (loss)	\$ (25,499,330)	\$ (1,213,060)	\$ -
Adjustments to reconcile operating (loss) to net cash used in operating activities:			
Depreciation and amortization	304,101	1,410	-
Commodities used	1,575,424	-	-
Changes in assets and liabilities:			
Receivables	(32,508)	(60,018)	-
Inventories	(24,008)	-	-
Prepaid items	36,343	-	-
Accounts payable and due to other governments	(16,900)	(25,578)	-
Unearned revenue	(1,934)	(850,068)	-
Accrued liabilities and compensated absences	185,426	13,871	-
Other postemployment benefits (OPEB)	(118,999)	(33,319)	-
Net pension liability	(783,414)	(261,137)	-
Deferred outflows of resources	960,832	470,149	-
Deferred inflows of resources	(627,949)	(229,112)	-
Net cash used in operating activities	\$ (24,042,916)	\$ (2,186,862)	\$ -
Noncash items:			
Capital and related financing, contributed capital	\$ 58,674	\$ -	\$ -
Noncapital financing activities, commodities received from U.S. Department of Agriculture	1,575,424	-	-

Automotive		Farm to Market Ag Store		Total	
\$	4,661	\$	12	\$	3,337,130
	-		-		(15,841,931)
	(12,340)		(328)		(13,732,972)
	(7,679)		(316)		(26,237,773)
	-		-		1,320,603
	-		-		(2,953)
	-		-		23,051,553
	-		-		24,369,203
	-		-		245,762
	-		-		(182,496)
	-		-		63,266
	(7,679)		(316)		(1,805,304)
	51,734		1,573		1,966,764
\$	44,055	\$	1,257	\$	161,460

\$	(9,066)	\$	(316)	\$	(26,721,772)
	1,108		-		306,619
	-		-		1,575,424
	198		-		(92,328)
	-		-		(24,008)
	-		-		36,343
	81		-		(42,397)
	-		-		(852,002)
	-		-		199,297
	-		-		(152,318)
	-		-		(1,044,551)
	-		-		1,430,981
	-		-		(857,061)
\$	(7,679)	\$	(316)	\$	(26,237,773)
\$	-	\$	-	\$	58,674
	-		-		1,575,424



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Internal Service Funds

The internal service funds are used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis.

Self-Insurance Fund

This fund accounts for transactions for self-insured health insurances including medical, dental, prescription and vision received by District employees in which the District is responsible for paying all claims and administrative costs attributable to the insurances listed in Note 1.

Risk Management Fund

This fund accounts for transactions for certain insurances including life and disability received by District employees in which the District is responsible for paying all premiums as specified attributable to the insurances listed in Note 1.

Print Shop Fund

This fund accounts for transactions for print shop and copying services.

Combining Statement of Net Position

All Internal Service Funds

June 30, 2025

	Self-Insurance	Risk Management	Print Shop	Total
Assets				
Current assets:				
Cash and cash equivalents	\$ 39,540,478	\$ 392,873	\$ 1,628,101	\$ 41,561,452
Other receivables, net	-	-	840	840
Due from other funds	-	-	4,193	4,193
Inventories	-	-	13,482	13,482
Prepaid expenses	18,270	-	-	18,270
Total current assets	39,558,748	392,873	1,646,616	41,598,237
Noncurrent assets:				
Depreciable capital assets, net	-	-	138,609	138,609
Intangible right-to-use assets, net	-	-	449,093	449,093
Total noncurrent assets	-	-	587,702	587,702
Total assets	39,558,748	392,873	2,234,318	42,185,939
Liabilities				
Current liabilities:				
Accounts payable	-	-	12,293	12,293
Claims payable	3,882,134	-	-	3,882,134
Accrued payroll and related benefits	215,377	144,646	1,456	361,479
Due to other governments	492,884	-	-	492,884
Lease liability	-	-	115,179	115,179
Unearned revenue	160,535	-	-	160,535
Compensated absences	-	-	56,750	56,750
Due to other funds	12,545,736	-	-	12,545,736
Other current liabilities	-	-	25	25
Total current liabilities	17,296,666	144,646	185,703	17,627,015
Noncurrent liabilities:				
Lease liability, net of current position	-	-	344,437	344,437
Total noncurrent liabilities	-	-	344,437	344,437
Total liabilities	17,296,666	144,646	530,140	17,971,452
Net Position				
Net investment in capital assets	-	-	128,086	128,086
Unrestricted	22,262,082	248,227	1,576,092	24,086,401
Total net position	\$ 22,262,082	\$ 248,227	\$ 1,704,178	\$ 24,214,487

Combining Statement of Revenues, Expenses and Changes in Fund Net Position

All Internal Service Funds

Year Ended June 30, 2025

	Self-Insurance	Risk Management	Print Shop	Total
Operating revenues:				
Charges for services:				
Employee benefits	\$ 89,925,884	\$ 1,030,112	\$ -	\$ 90,955,996
Miscellaneous	-	-	2,367,652	2,367,652
Total operating revenues	89,925,884	1,030,112	2,367,652	93,323,648
Operating expenses:				
Claims and related costs	81,048,904	1,031,722	-	82,080,626
Depreciation and amortization	-	-	315,653	315,653
Miscellaneous	-	-	1,423,459	1,423,459
Total operating expenses	81,048,904	1,031,722	1,739,112	83,819,738
Operating income (loss)	8,876,980	(1,610)	628,540	9,503,910
Nonoperating expenses:				
Interest expense, leases	-	-	(25,579)	(25,579)
Total nonoperating expenses	-	-	(25,579)	(25,579)
Income (loss) before contributed capital	8,876,980	(1,610)	602,961	9,478,331
Contributed capital	-	-	121,260	121,260
Total contributed capital	-	-	121,260	121,260
Change in net position	8,876,980	(1,610)	724,221	9,599,591
Total net position (deficit), beginning of year, as previously stated	13,385,102	249,837	1,010,583	14,645,522
Change in accounting principle	-	-	(30,626)	(30,626)
Total net position (deficit), beginning of year, as restated	13,385,102	249,837	979,957	14,614,896
Total net position, end of year	\$ 22,262,082	\$ 248,227	\$ 1,704,178	\$ 24,214,487

Combining Statement of Cash Flows

All Internal Service Funds

Year Ended June 30, 2025

	Self-Insurance	Risk Management	Print Shop	Total
Cash flows from operating activities:				
Cash received from user charges	\$ 90,033,243	\$ 1,030,112	\$ 2,367,652	\$ 93,431,007
Cash payments to employees for services	-	-	(633,181)	(633,181)
Cash payments to suppliers for goods and services	(81,811,881)	(1,062,251)	(764,329)	(83,638,461)
Net cash provided by (used in) operating activities	8,221,362	(32,139)	970,142	9,159,365
Cash flows from noncapital financing activities:				
Payments from other funds	748,032	-	-	748,032
Payments to other funds	-	-	(4,193)	(4,193)
Net cash provided by (used in) noncapital financing activities	748,032	-	(4,193)	743,839
Cash flows from capital and related financing activities				
Lease agreements - principal	-	-	(307,139)	(307,139)
Lease agreements - Interest	-	-	(25,579)	(25,579)
Acquisition of capital assets	-	-	(27,270)	(27,270)
Net cash provided by (used in) capital and related financing activities	-	-	(359,988)	(359,988)
Net increase (decrease) in cash and cash equivalents	8,969,394	(32,139)	605,961	9,543,216
Cash and cash equivalents, beginning of year	30,571,084	425,012	1,022,140	32,018,236
Cash and cash equivalents, end of year	\$ 39,540,478	\$ 392,873	\$ 1,628,101	\$ 41,561,452
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:				
Operating income (loss)	\$ 8,876,980	\$ (1,610)	\$ 628,540	\$ 9,503,910
Adjustments to reconcile operating income to net cash provided by (used in) operating activities:				
Depreciation and amortization	-	-	315,653	315,653
Changes in assets and liabilities:				
Other receivables and due from other governments	-	-	11,890	11,890
Inventories	-	-	1,528	1,528
Prepaid items	(18,270)	-	5,554	(12,716)
Accounts payable and due to other governments	(21,104)	-	(3,254)	(24,358)
Claims payable	(741,725)	-	-	(741,725)
Unearned revenue	107,359	-	-	107,359
Accrued liabilities and compensated absences	18,122	(30,529)	10,231	(2,176)
Net cash provided by (used in) operating activities	\$ 8,221,362	\$ (32,139)	\$ 970,142	\$ 9,159,365
Noncash items:				
Capital and related financing, contributed capital	\$ -	\$ -	\$ 121,260	\$ 121,260



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Statistical Section



STATISTICAL SECTION

The statistical section of the District's annual comprehensive financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures, and required supplementary information say about the District's overall financial health.

Financial Trends

These schedules contain trend information to help the reader understand how the District's financial performance and well-being have changed over time. 113

Revenue Capacity

These schedules contain information to help the reader assess the District's most significant local revenue sources, the property tax (or sales tax). 129

Debt Capacity

These schedules present information to help the reader assess the affordability of the District's current level of outstanding debt and the District's ability to issue additional debt in the future. 135

Demographic and Economic Information

These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place. 141

Operating Information

These schedules contain service and infrastructure data to help the reader understand how the information in the District's financial report relates to the services the District provides and the activities it performs. 147

Sources: Unless otherwise noted, the information in these schedules is derived from the Annual Comprehensive Financial Report for the relevant year.

Net Position By Component Current and Previous Nine Fiscal Years (Accrual Basis Of Accounting) (Unaudited)

	Fiscal Year			
	2016	2017	2018	2019
Governmental activities:				
Net investment in capital assets	\$ 409,270,357	\$ 424,605,987	\$ 441,037,719	\$ 459,486,214
Restricted	36,241,306	38,432,829	34,985,107	28,677,324
Unrestricted	(77,773,524)	(122,405,143)	(143,143,029)	(135,755,065)
Total governmental activities net position	\$ 367,738,139	\$ 340,633,673	\$ 332,879,797	\$ 352,408,473
Business-type activities:				
Investment in capital assets	\$ 2,411,601	\$ 2,522,174	\$ 2,370,341	\$ 2,445,207
Restricted	-	-	-	-
Unrestricted	(1,905,390)	(1,532,493)	(2,119,809)	(2,804,738)
Total business-type activities net position	\$ 506,211	\$ 989,681	\$ 250,532	\$ (359,531)
Primary government:				
Net investment in capital assets	\$ 411,681,958	\$ 427,128,161	\$ 443,408,060	\$ 461,931,421
Restricted	36,241,306	38,432,829	34,985,107	28,677,324
Unrestricted	(79,678,914)	(123,937,636)	(145,262,838)	(138,559,803)
Total primary government net position	\$ 368,244,350	\$ 341,623,354	\$ 333,130,329	\$ 352,048,942

Source: Annual Comprehensive Financial Report

Note: The District adopted GASB Statement No. 75 in fiscal year 2017. Although beginning net position on the basic financial statements was restated, this schedule has not been adjusted for years prior to 2017.

Fiscal Year											
2020		2021		2022		2023		2024		2025	
\$	424,580,383	\$	431,069,588	\$	454,935,481	\$	487,674,391	\$	523,562,681	\$	559,019,759
	77,701,519		100,034,357		112,513,490		107,067,878		105,671,080		100,863,365
	(121,062,299)		(75,317,080)		(38,233,173)		(20,898,432)		(23,663,082)		(69,633,994)
\$	381,219,603	\$	455,786,865	\$	529,215,798	\$	573,843,837	\$	605,570,679	\$	590,249,130
\$	2,183,983	\$	1,702,350	\$	1,472,250	\$	1,308,609	\$	1,489,916	\$	1,424,466
	-		-		-		-		-		-
	(4,752,782)		(8,226,508)		(3,669,845)		566,499		(558,278)		(5,910,855)
\$	(2,568,799)	\$	(6,524,158)	\$	(2,197,595)	\$	1,875,108	\$	931,638	\$	(4,486,389)
\$	426,764,366	\$	432,771,938	\$	456,407,731	\$	488,983,000	\$	525,052,597	\$	560,444,225
	77,701,519		100,034,357		112,513,490		107,067,878		105,671,080		100,863,365
	(125,815,081)		(83,543,588)		(41,903,018)		(20,331,933)		(24,221,360)		(75,544,849)
\$	378,650,804	\$	449,262,707	\$	527,018,203	\$	575,718,945	\$	606,502,317	\$	585,762,741

**Expenses, Program Revenues and Net (Expense) Revenue
Current and Previous Nine Fiscal Years
(accrual basis of accounting)
(Unaudited)**

	Fiscal Year			
	2016	2017	2018	2019
Expenses:				
Governmental activities:				
Instructional	\$ 285,545,061	\$ 299,588,285	\$ 314,831,138	\$ 305,170,678
Student services	23,906,378	25,416,663	29,403,392	31,051,113
Instructional support services	23,602,238	26,269,291	26,859,782	26,819,051
General administration	8,571,037	8,078,756	10,643,955	8,113,785
Building administration	23,089,264	24,415,186	23,840,018	22,469,805
Business and central administration	17,624,834	18,899,917	17,079,473	19,943,140
Plant operation and maintenance	39,189,530	38,016,319	41,362,030	43,506,348
Student transportation	12,982,765	14,155,962	15,199,931	14,242,627
Noninstructional	7,497,669	3,414,227	4,982,212	936,462
AEA support	13,974,996	14,162,548	14,751,903	14,914,998
Interest and issuance costs on long-term debt	6,758,235	5,564,932	5,676,396	6,350,435
Total governmental activities expenses	\$ 462,742,007	\$ 477,982,086	\$ 504,630,230	\$ 493,518,442
Business-type activities:				
School nutrition	\$ 19,257,934	\$ 20,596,296	\$ 20,594,344	\$ 20,098,310
Child care	3,911,144	4,829,288	5,843,523	5,589,519
Other	32,125	25,452	39,050	47,036
Total business-type activities expenses	\$ 23,201,203	\$ 25,451,036	\$ 26,476,917	\$ 25,734,865
Total primary government expenses	\$ 485,943,210	\$ 503,433,122	\$ 531,107,147	\$ 519,253,307
Program revenues:				
Governmental activities:				
Charges for services:				
Instruction	\$ 10,242,839	\$ 10,662,079	\$ 10,680,233	\$ 20,189,225
Support services	14,870,394	15,240,574	15,631,811	15,713,866
Operating grants and contributions	89,892,845	93,119,480	95,083,902	86,167,139
Capital grants and contributions	101,867	-	-	-
Total governmental activities program revenues	\$ 115,107,945	\$ 119,022,133	\$ 121,395,946	\$ 122,070,230

(Continued)

Fiscal Year					
2020	2021	2022	2023	2024	2025
\$ 304,894,704	\$ 303,488,319	\$ 251,459,003	\$ 311,830,019	\$ 305,788,702	\$ 307,917,048
29,597,270	41,542,610	37,694,571	36,637,193	37,496,079	39,747,585
22,014,167	25,444,494	28,781,319	31,864,109	33,298,871	33,162,138
9,937,242	8,825,277	8,235,575	8,978,616	8,445,509	9,228,663
26,198,838	28,064,669	29,735,063	31,009,282	31,942,070	34,323,085
18,523,911	28,889,181	22,072,137	25,563,735	26,449,485	26,140,616
44,204,184	42,911,867	51,145,290	48,676,893	50,941,926	55,133,727
14,517,845	11,519,467	14,153,956	12,257,332	14,334,091	16,229,588
2,567,160	2,064,361	4,122,574	3,980,869	4,723,690	3,458,545
15,108,730	15,424,026	15,405,608	15,350,173	15,358,170	12,791,800
5,837,889	4,616,535	8,247,093	2,510,498	2,060,813	1,700,475
\$ 493,401,940	\$ 512,790,806	\$ 471,052,189	\$ 528,658,719	\$ 530,839,406	\$ 539,833,270
\$ 20,630,266	\$ 17,560,332	\$ 19,784,668	\$ 20,573,066	\$ 24,003,606	\$ 26,290,344
4,774,139	3,132,635	3,066,812	2,684,807	3,691,552	4,699,030
36,608	206,529	42,636	18,079	19,839	13,857
\$ 25,441,013	\$ 20,899,496	\$ 22,894,116	\$ 23,275,952	\$ 27,714,997	\$ 31,003,231
\$ 518,842,953	\$ 533,690,302	\$ 493,946,305	\$ 551,934,671	\$ 558,554,403	\$ 570,836,501
\$ 20,176,931	\$ 17,999,849	\$ 20,492,892	\$ 10,929,966	\$ 11,249,372	\$ 10,732,705
15,424,425	15,572,754	15,766,752	15,920,843	16,124,390	13,833,452
90,407,871	146,867,423	115,933,911	135,860,723	116,456,152	106,911,475
-	-	-	4,803,739	3,308,647	2,357,355
\$ 126,009,227	\$ 180,440,026	\$ 152,193,555	\$ 167,515,271	\$ 147,138,561	\$ 133,834,987

Expenses, Program Revenues and Net (Expense) Revenue (Continued)

Current and Previous Nine Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2016	2017	2018	2019
Business-type activities:				
Charges for services:				
School nutrition	\$ 1,926,629	\$ 1,810,790	\$ 1,809,975	\$ 1,514,195
Child care	4,369,310	4,858,437	5,699,860	5,386,885
Other	32,029	43,523	37,593	38,904
Operating grants and contributions	18,243,464	19,222,218	19,333,214	19,297,198
Capital grants and contributions	-	-	-	-
Total business-type program revenues	\$ 24,571,432	\$ 25,934,968	\$ 26,880,642	\$ 26,237,182
Total primary government program revenues	\$ 139,679,377	\$ 144,957,101	\$ 148,276,588	\$ 148,307,412
Net (expense) revenue:				
Governmental activities	\$ (347,634,062)	\$ (358,959,953)	\$ (383,234,284)	\$ (371,448,212)
Business-type activities	1,370,229	483,932	403,725	502,317
Total primary government net expense	\$ (346,263,833)	\$ (358,476,021)	\$ (382,830,559)	\$ (370,945,895)

Source: Annual Comprehensive Financial Report

Note: The District adopted GASB Statement Nos. 75 in fiscal year 2017. Although beginning net position on the basic financial statements was restated, this schedule has not been adjusted for years prior to 2017.

Fiscal Year					
2020	2021	2022	2023	2024	2025
\$ 915,037	\$ 255,769	\$ 492,581	\$ 375,626	\$ 457,713	\$ 791,014
3,204,779	1,499,313	2,875,880	2,631,316	3,661,229	3,485,970
22,092	41,181	12,620	12,538	11,244	4,475
19,461,524	16,287,095	23,346,985	25,512,719	23,814,953	25,024,044
-	-	-	-	-	58,674
\$ 23,603,432	\$ 18,083,358	\$ 26,728,066	\$ 28,532,199	\$ 27,945,139	\$ 29,364,177
\$ 149,612,659	\$ 198,523,384	\$ 178,921,621	\$ 196,047,470	\$ 175,083,700	\$ 163,199,164
\$ (367,392,713)	\$ (332,350,780)	\$ (318,858,634)	\$ (361,143,448)	\$ (383,700,845)	\$ (405,998,283)
(1,837,581)	(2,816,138)	3,833,950	5,256,247	230,142	(1,639,054)
\$ (369,230,294)	\$ (335,166,918)	\$ (315,024,684)	\$ (355,887,201)	\$ (383,470,703)	\$ (407,637,337)

General Revenues and Total Change in Net Position Current and Previous Nine Fiscal Years (Accrual Basis of Accounting) (Unaudited)

	Fiscal Year			
	2016	2017	2018	2019
Net (expense) revenue:				
Governmental activities	\$ (347,634,062)	\$ (358,959,953)	\$ (383,234,284)	\$ (371,448,212)
Business-type activities	1,370,229	483,932	403,725	502,317
Total primary government net expense	(346,263,833)	(358,476,021)	(382,830,559)	(370,945,895)
General revenues and other changes in net position:				
Governmental activities:				
Property taxes:				
Levied for general purposes	110,669,219	115,462,200	117,223,840	124,085,031
Levied for management	8,500,956	8,832,673	9,330,713	12,333,977
Levied for property, plant, and equipment	7,203,640	7,463,306	7,641,516	8,250,108
Levied for playground	921,927	953,982	972,429	1,040,696
Sales tax, for capital projects	30,991,151	31,115,408	30,737,734	31,911,353
State foundation aid	195,304,005	199,399,080	204,551,888	203,948,433
Investment earnings	1,517,487	1,163,645	2,471,733	6,185,178
Other local sources, including gain on sale of capital assets and insurance recoveries	1,794,570	2,260,799	1,407,681	2,109,732
Transfers	-	462	1,142,874	1,112,380
Total governmental activities	356,902,955	366,651,555	375,480,408	390,976,888
Business-type activities:				
Other local sources, including gain on sale of capital assets	-	-	-	-
Transfers	-	(462)	(1,142,874)	(1,112,380)
Capital contributions	-	-	-	-
Total business-type activities	-	(462)	(1,142,874)	(1,112,380)
Total primary government	356,902,955	366,651,093	374,337,534	389,864,508
Change in net position:				
Governmental activities	9,268,893	7,691,602	(7,753,876)	19,528,676
Business-type activities	1,370,229	483,470	(739,149)	(610,063)
Total primary government	\$ 10,639,122	\$ 8,175,072	\$ (8,493,025)	\$ 18,918,613

Source: Annual Comprehensive Financial Report

Fiscal Year					
2020	2021	2022	2023	2024	2025
\$ (367,392,713)	\$ (332,350,780)	\$ (318,858,634)	\$ (361,143,448)	\$ (383,700,845)	\$ (405,998,283)
(1,837,581)	(2,816,138)	3,833,950	5,256,247	230,142	(1,639,054)
(369,230,294)	(335,166,918)	(315,024,684)	(355,887,201)	(383,470,703)	(407,637,337)

125,443,707	125,822,333	105,721,486	99,668,557	98,720,203	99,344,847
14,210,347	28,198,098	20,660,671	20,668,064	20,821,562	20,363,372
8,404,254	9,320,286	16,270,408	16,582,699	16,660,017	17,515,651
1,065,792	1,174,812	1,182,355	1,182,563	1,191,005	1,232,136
32,997,111	31,561,628	38,218,634	37,256,288	40,540,358	40,741,153
206,654,943	207,395,814	205,760,431	211,142,958	218,526,362	227,460,476
4,313,176	(252,637)	(181,252)	15,562,159	12,509,723	16,133,059
2,535,516	2,558,487	4,181,651	2,122,517	5,080,092	4,083,660
578,997	1,139,221	(492,613)	1,184,500	1,378,365	-
396,203,843	406,918,042	391,321,771	405,370,305	415,427,687	426,874,354

207,310	-	-	956	204,752	245,762
(578,997)	(1,139,221)	492,613	(1,184,500)	(1,378,365)	-
-	-	-	-	-	-
(371,687)	(1,139,221)	492,613	(1,183,544)	(1,173,613)	245,762

395,832,156	405,778,821	391,814,384	404,186,761	414,254,074	427,120,116
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28,811,130	74,567,262	72,463,137	44,226,857	31,726,842	20,876,071
(2,209,268)	(3,955,359)	4,326,563	4,072,703	(943,471)	(1,393,292)
\$ 26,601,862	\$ 70,611,903	\$ 76,789,700	\$ 48,299,560	\$ 30,783,371	\$ 19,482,779

Fund Balances, Governmental Funds Current and Previous Nine Fiscal Years (modified accrual basis of accounting) (Unaudited)

	Fiscal Year			
	2016	2017	2018	2019
General Fund:				
Nonspendable	\$ 2,022,946	\$ 2,678,098	\$ 2,545,106	\$ 3,968,453
Restricted	19,449,024	20,113,274	16,977,566	15,816,459
Committed	11,500,000	11,500,000	11,500,000	11,500,000
Assigned	2,270,271	2,747,894	2,722,083	2,887,205
Unassigned	45,777,595	45,264,493	50,372,420	62,613,523
Total General Fund	\$ 81,019,836	\$ 82,303,759	\$ 84,117,175	\$ 96,785,640
All other governmental funds:				
Nonspendable	\$ 13,350	\$ 97,759	\$ 95,216	\$ 84,370
Restricted	94,019,857	78,834,902	131,096,251	117,205,931
Total all other governmental funds	\$ 94,033,207	\$ 78,932,661	\$ 131,191,467	\$ 117,290,301

Source: Annual Comprehensive Financial Report

Fiscal Year											
2020		2021		2022		2023		2024		2025	
\$	2,187,264	\$	1,817,518	\$	1,947,525	\$	1,730,593	\$	1,895,396	\$	1,605,552
	17,588,320		16,614,372		9,694,399		7,806,432		5,041,240		3,446,402
	11,500,000		11,500,000		11,500,000		11,500,000		11,500,000		11,500,000
	2,374,122		2,374,122		2,331,042		2,703,026		2,801,634		1,444,973
	91,410,321		151,959,117		154,372,935		160,586,811		154,171,735		113,882,199
\$	125,060,027	\$	184,265,129	\$	179,845,901	\$	184,326,862	\$	175,410,005	\$	131,879,126
\$	1,185,434	\$	1,013,572	\$	424,546	\$	109,711	\$	1,370,953	\$	1,776,102
	105,355,583		103,366,587		123,144,454		119,492,778		119,769,636		116,232,217
\$	106,541,017	\$	104,380,159	\$	123,569,000	\$	119,602,489	\$	121,140,589	\$	118,008,319

Governmental Funds Revenues
Current and Previous Nine Fiscal Years
(Modified Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year			
	2016	2017	2018	2019
Federal sources, federal grants, and other outside sources	\$ 31,271,845	\$ 33,821,414	\$ 37,575,065	\$ 35,854,833
State sources, state foundation aid, and other sources	283,148,964	288,229,705	293,820,917	297,456,647
Intermediate sources	807,026	906,897	816,427	839,737
Local sources and other sources	155,787,365	161,068,816	163,398,729	177,432,673
Total revenues	\$ 471,015,200	\$ 484,026,832	\$ 495,611,138	\$ 511,583,890

Source: Annual Comprehensive Financial Report

Fiscal Year					
2020	2021	2022	2023	2024	2025
\$ 38,615,413	\$ 90,859,853	\$ 57,514,582	\$ 67,576,510	\$ 55,531,268	\$ 34,460,750
299,868,060	302,480,397	304,494,999	316,298,013	321,811,973	331,304,277
749,892	771,045	814,975	9,000	16,000	162,184
181,775,366	188,218,138	177,464,949	193,879,974	187,683,229	189,864,151
\$ 521,008,731	\$ 582,329,433	\$ 540,289,505	\$ 577,763,497	\$ 565,042,470	\$ 555,791,362

Governmental Funds Expenditures and Debt Service Ratio

Current and Previous Nine Fiscal Years

(Modified Accrual Basis of Accounting)

(Unaudited)

	Fiscal Year			
	2016	2017	2018	2019
Instruction	\$ 269,163,315	\$ 277,942,567	\$ 283,694,521	\$ 284,763,964
Student services	23,649,011	25,386,339	29,100,096	31,555,455
Instructional support services	23,319,060	25,988,683	26,717,537	26,977,947
General administration	8,604,467	8,031,356	9,096,670	9,548,868
Building administration	22,990,624	24,004,917	23,469,984	22,842,478
Business and central administration	16,864,453	17,653,942	15,894,969	18,222,763
Plant operation & maintenance	37,564,110	36,891,726	40,785,171	42,996,180
Student transportation	12,589,191	13,630,046	14,355,654	13,407,432
Non-instructional	2,840,290	2,530,080	2,692,121	2,524,745
AEA support	13,974,996	14,162,548	14,751,903	14,914,998
Miscellaneous	-	-	-	-
Capital outlay	40,928,413	27,804,984	25,096,331	23,495,644
Capital outlay not capitalized	5,308,585	(546,245)	(741,152)	829,066
Debt service:				
Principal retirement	10,355,000	12,495,000	12,655,000	15,405,000
Interest	8,143,820	5,878,708	5,594,571	7,690,026
Payment to escrow agent	-	5,507,264	-	-
Bond issuance costs	-	502,725	469,512	-
Total expenditures	\$ 496,295,335	\$ 497,864,640	\$ 503,632,888	\$ 515,174,566
Debt service as a percentage of non-capital expenditures	4.23%	5.36%	3.81%	4.70%

Source: Annual Comprehensive Financial Report

Note: Debt service as a percentage of non-capital expenditures is calculated by dividing total debt service expenditures (principal and interest) by total non-capital expenditures (the difference between total expenditures and capitalized capital outlay expenditures).

Fiscal Year					
2020	2021	2022	2023	2024	2025
\$ 273,859,957	\$ 276,213,680	\$ 273,427,727	\$ 293,677,059	\$ 291,240,841	\$ 312,263,330
29,448,320	40,955,896	38,189,443	38,524,301	39,632,506	42,044,178
21,990,298	25,291,710	29,012,407	33,268,386	34,881,329	34,669,696
9,917,278	8,776,417	8,554,715	9,724,083	8,672,139	9,968,145
25,922,890	27,821,772	29,968,215	32,618,410	33,675,941	36,253,091
16,423,845	26,759,102	19,457,191	22,203,310	23,437,360	24,907,310
42,413,921	40,809,304	40,809,225	50,302,662	49,212,365	55,174,969
12,893,527	10,371,400	13,866,743	12,915,330	13,699,420	15,885,334
2,014,478	1,354,339	3,437,405	4,588,197	4,477,380	3,340,002
15,108,730	15,424,026	15,405,608	15,350,173	15,358,170	12,791,800
-	-	-	51,461	100,896	-
27,414,818	23,342,271	25,667,337	37,999,692	33,238,169	34,944,818
3,769,044	7,274,070	4,699,770	1,356,257	5,293,555	2,338,591
16,015,000	16,655,000	20,088,927	20,165,109	19,069,680	18,310,215
6,980,050	6,341,380	6,450,140	5,842,398	4,887,402	4,068,535
-	-	-	-	-	-
-	-	215,513	5,300	4,300	1,800
\$ 504,172,156	\$ 527,390,367	\$ 529,250,366	\$ 578,592,128	\$ 576,881,453	\$ 606,961,814
4.82%	4.56%	5.27%	4.81%	4.41%	3.91%

Other Financing Sources and Uses and Net Change in Fund Balances

Governmental Funds

Current and Previous Nine Fiscal Years

(Modified Accrual Basis of Accounting)

(Unaudited)

	Fiscal Year			
	2016	2017	2018	2019
Excess of revenues over (under) expenditures	\$ (25,280,135)	\$ (13,837,808)	\$ (8,021,750)	\$ (3,590,676)
Other financing sources (uses):				
Issuance of debt	\$ -	\$ -	\$ 56,235,000	\$ -
Issuance of refunding debt	-	53,655,000	-	-
Payments to escrow agent	-	(53,655,000)	-	-
Proceeds from sale of capital assets	92,730	94,586	239,930	1,245,595
Issuance of long-term SBITA and lease agreements	-	-	-	-
Insurance recoveries	-	-	-	-
Premiums	-	-	4,476,168	-
Transfers in	18,498,820	23,910,864	19,412,445	24,216,939
Transfers out	(18,498,820)	(23,984,265)	(18,269,571)	(23,104,559)
Total other financing sources (uses)	\$ 92,730	\$ 21,185	\$ 62,093,972	\$ 2,357,975
Net change in fund balances	\$ (25,187,405)	\$ (13,816,623)	\$ 54,072,222	\$ (1,232,701)

Source: Annual Comprehensive Financial Report

Fiscal Year					
2020	2021	2022	2023	2024	2025
\$ 16,836,575	\$ 54,939,066	\$ 11,039,139	\$ (828,631)	\$ (11,838,983)	\$ (51,170,452)
\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
-	-	66,335,000	-	-	-
-	-	(75,710,000)	-	-	-
109,531	965,957	4,006,568	158,581	117,096	28,995
-	-	-	-	174,430	1,084,510
-	-	-	-	2,790,337	3,393,796
-	-	9,591,519	-	-	-
24,268,720	24,185,601	105,938,105	42,698,674	25,399,717	22,382,238
(23,689,723)	(23,046,380)	(106,430,718)	(41,514,174)	(24,021,352)	(22,382,238)
\$ 688,528	\$ 2,105,178	\$ 3,730,474	\$ 1,343,081	\$ 4,460,228	\$ 4,507,301
\$ 17,525,103	\$ 57,044,244	\$ 14,769,613	\$ 514,450	\$ (7,378,755)	\$ (46,663,151)

Taxable Value and Actual Value of Taxable Property Current and Previous Nine Fiscal Years (Unaudited)

Levy Year	Collection Year	Real Property		Personal Property	
		Taxable Value	Estimated Actual Value	Taxable Value	Estimated Actual Value
2014	2015-16	\$ 6,894,664,897	\$ 10,431,160,954	\$ -	\$ -
2015	2016-17	7,215,082,273	10,924,647,220	-	-
2016	2017-18	7,407,396,041	11,060,020,747	-	-
2017	2018-19	8,057,537,240	12,192,415,869	-	-
2018	2019-20	8,341,227,272	12,437,382,676	-	-
2019	2020-21	9,056,877,909	13,816,511,624	-	-
2020	2021-22	9,256,198,087	13,944,486,108	-	-
2021	2022-23	9,822,380,056	15,273,922,175	-	-
2022	2023-24	9,694,311,533	15,339,155,679	-	-
2023	2024-25	\$ 10,332,433,844	\$ 18,397,910,280	\$ -	\$ -

(Continued)

Source: Polk County Auditor, Warren County Auditor, and Iowa Department of Management

Railroad and Utilities Without Gas & Electric		Gas & Electric		Total		Total Direct Rate
Taxable Value	Estimated Actual Value	Taxable Value	Estimated Actual Value	Taxable Value	Estimated Actual Value	
\$ 46,373,454	\$ 48,073,610	\$ 234,441,061	\$ 351,197,379	\$ 7,175,479,412	\$ 10,830,431,943	\$ 18.42809
44,423,941	46,304,465	227,640,443	376,010,748	7,487,146,657	11,346,962,433	18.50586
44,330,131	46,401,518	209,778,221	382,451,027	7,661,504,393	11,488,873,292	18.56349
44,562,378	46,559,797	205,819,434	380,207,922	8,307,919,052	12,619,183,588	18.60074
46,499,711	48,656,364	201,590,684	393,759,064	8,589,317,667	12,879,798,104	18.60686
46,205,378	48,586,731	192,761,064	414,850,274	9,295,844,351	14,279,948,629	18.61192
41,761,132	44,556,164	180,704,431	421,399,821	9,478,663,650	14,410,442,093	16.05937
37,806,680	40,466,625	194,813,148	452,345,438	10,054,999,884	15,766,734,238	15.34447
26,076,811	29,005,971	193,045,725	579,002,082	9,913,434,069	15,947,163,732	15.15446
\$ 26,724,812	\$ 29,753,999	\$ 199,054,327	\$ 672,371,267	\$ 10,558,212,983	\$ 19,100,035,546	\$ 14.67446

Direct and Overlapping Property Tax Rates

Current and Previous Nine Fiscal Years

(rate per \$1,000 of assessed value)

(Unaudited)

		District Direct Rates										
Levy Year	Collection Year	General Fund		Mgt. Fund	PPEL Fund		PERL Fund	Schoolhouse	Debt Service	Total		
2014	2015-16	\$	16.08309	\$	1.25000	\$	0.96000	\$	0.13500	\$ -	\$ -	\$ 18.42809
2015	2016-17		16.16086		1.25000		0.96000		0.13500	-	-	18.50586
2016	2017-18		16.16849		1.30000		0.96000		0.13500	-	-	18.56349
2017	2018-19		15.90574		1.60000		0.96000		0.13500	-	-	18.60074
2018	2019-20		15.71186		1.80000		0.96000		0.13500	-	-	18.60686
2019	2020-21		14.27664		3.24028		0.96000		0.13500	-	-	18.61192
2020	2021-22		11.89536		2.35901		1.67000		0.13500	-	-	16.05937
2021	2022-23		11.18003		2.35944		1.67000		0.13500	-	-	15.34447
2022	2023-24		10.99000		2.35944		1.67000		0.13500	-	-	15.15444
2023	2024-25	\$	10.65643	\$	2.21303	\$	1.67000	\$	0.13500	\$ -	\$ -	14.67446

(Continued)

Source: Polk County Auditor, Iowa Department of Management

Overlapping Rates							
City of Des Moines	City of Norwalk	City of Pleasant Hill	City of Urbandale	City of West Des Moines	City of Windsor Hts	Bloomfield Township	Webster Township
\$ 16.92000	\$ 15.69376	\$ 11.65000	\$ 9.82000	\$ 12.00000	\$ 15.07588	\$ 0.87750	\$ 0.87748
16.92000	15.69499	11.65000	9.92000	12.00000	15.66110	0.87750	-
17.04000	15.42340	11.65000	10.02000	12.00000	16.96522	0.87744	-
17.24000	15.40640	11.65000	10.02000	11.79000	16.58088	0.87721	0.75197
16.64000	15.40604	11.50000	10.52000	10.99000	16.52430	0.87739	0.16712
16.61156	15.20141	11.50000	10.16000	10.99000	14.47611	0.87727	0.07044
16.61000	15.14192	11.50000	10.11000	10.95000	14.47612	0.87744	0.00434
16.61000	15.11102	11.50000	10.01000	10.95000	13.76541	0.87746	0.00637
16.61000	14.88104	11.50000	10.01000	10.95000	13.76541	0.87750	0.00643
\$ 16.61000	\$ 14.88107	\$ 11.50000	\$ 10.08000	\$ 10.85000	\$ 14.23846	\$ 0.87750	\$ 0.00604

Direct and Overlapping Property Tax Rates
Current and Previous Nine Fiscal Years (Continued)
(rate per \$1,000 of assessed value)
(Unaudited)

Levy Year	Collection Year	Overlapping Rates (Continued)						
		Des Moines RTA	Polk County	County Hospital	Area XI Comm College	Assessor	Ag Extension	State
2014	2015-16	\$ 0.80400	\$ 7.30880	\$ 3.21296	\$ 0.67574	\$ 0.27920	\$ 0.04102	\$ 0.00330
2015	2016-17	0.82400	7.30880	2.77545	0.72334	0.27220	0.03985	0.00330
2016	2017-18	0.82400	7.30880	2.77545	0.67458	0.27177	0.03939	0.00310
2017	2018-19	0.91475	7.30880	2.77513	0.69468	0.25471	0.03690	0.00290
2018	2019-20	0.93975	7.30880	2.77513	0.65249	0.25455	0.03689	0.00280
2019	2020-21	0.94475	7.30880	2.67405	0.63533	0.24836	0.03502	0.00270
2020	2021-22	0.95000	7.13382	2.57740	0.67789	0.19192	0.03486	0.00260
2021	2022-23	0.95000	6.77099	2.57722	0.69448	0.22542	0.03328	0.00240
2022	2023-24	0.95000	6.77099	2.63945	0.74410	0.22070	0.03346	0.00180
2023	2024-25	\$ 0.95000	\$ 6.77099	\$ 2.39364	\$ 0.75916	\$ 0.25772	\$ 0.03175	\$ 0.00180

Source: Polk County Auditor, Iowa Department of Management

Overlapping Rates (Continued)								
Beaverdale SSMID	Downtown SSMID	Highland Park SSMID	Ingersoll Grand SSMID	Roosevelt SSMID	Sherman Hill SSMID	SW9th Corridor SSMID	Urbandale Wind Hts SS	
\$ 1.75007	\$ 1.30000	\$ 1.75010	\$ 2.25000	\$ -	\$ -	\$ -	\$ 0.29126	
1.74996	1.30000	1.75001	2.25000	-	-	-	0.30810	
1.75008	1.30000	1.75014	2.25000	1.75010	-	2.25000	0.38597	
1.75006	1.30000	1.75011	2.25000	1.75003	1.50000	2.25000	0.40186	
1.75002	1.30000	1.75006	2.25000	1.75003	1.50001	2.25001	0.42000	
1.74998	1.30000	1.74998	2.25000	1.75008	1.50001	2.25000	0.39000	
1.74993	1.30000	1.75000	2.25001	1.75003	1.50001	2.25001	0.38720	
1.75006	1.30000	2.25003	2.25000	1.75008	1.50001	2.25001	0.37846	
1.74998	1.30000	2.25003	2.25000	1.74991	1.50000	2.25001	0.38936	
\$ 1.75005	\$ 1.30000	\$ 2.24995	\$ 2.25001	\$ 1.74991	\$ 1.49999	\$ 2.25001	\$ -	

Principal Property Taxpayers Current Year and Nine Years Ago (Unaudited)

Taxpayer	2025			2016		
	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
Mid American Energy	\$ 194,575,503	1	1.84%	\$ 230,445,787	1	3.21%
Principal Mutual Life Insurance Company	135,873,870	2	1.29%	91,253,430	4	1.27%
Wells Fargo Properties Inc	110,918,364	3	1.05%			
Wellmark Inc	95,692,028	4	0.91%	97,183,800	3	1.35%
Eighth & Grand Owner LLC	78,763,029	5	0.75%			
Employers Mutual Casualty Company	77,170,223	6	0.73%	46,441,413	7	0.65%
Principal Life Insurance Company	74,418,924	7	0.00%	78,144,291	6	1.09%
Nationwide Mutual Insurance Company	74,119,028	8	0.70%	142,773,282	2	1.99%
Linden Street Investments LLC	73,644,514	9	0.70%			
Federal Home Loan Bank of Des Moines	34,318,632	10	0.33%			
Wells Fargo Financial Inc.				86,013,630	5	1.20%
Hoxies Addition				26,314,020	8	0.37%
Macerich Southridge				25,525,350	9	0.36%
Lexington TNI Des Moines				24,717,300	10	0.34%
Total	\$ 949,494,115		8.29%	\$ 848,812,303		11.83%

Source: Polk County Auditor (current year), ACFR (comparison year)

Property Tax Levies and Collections Current and Previous Nine Fiscal Years (Unaudited)

Fiscal Year	Collected Within the Fiscal Year of the Levy			Collections In Subsequent Years	Total Collections to Date	
	Taxes Levied for the Fiscal Year	Amount*	Percentage of Levy		Amount	Percentage of Levy
2016	\$ 121,390,508	\$ 120,894,205	99.59%	\$ 1,122,654	\$ 122,016,859	100.52%
2017	127,369,855	126,191,778	99.08%	1,296,903	127,488,681	100.09%
2018	130,095,935	130,225,910	100.10%	-	130,225,910	100.10%
2019	140,189,825	140,534,664	100.25%	-	140,534,664	100.25%
2020	145,831,772	143,900,910	98.68%	-	143,900,910	98.68%
2021	156,895,694	159,129,812	101.42%	-	159,129,812	101.42%
2022	139,389,057	137,649,917	98.75%	-	137,649,917	98.75%
2023	139,118,397	139,218,146	100.07%	-	139,218,146	100.07%
2024	135,913,308	135,144,556	99.43%	-	135,144,556	99.43%
2025	\$ 137,329,270	\$ 136,088,604	99.10%	\$ 125,948	\$ 136,214,552	99.19%
Total	\$ 1,373,523,621				\$ 1,371,524,007	99.85%

Source: Iowa Department of Management and District Records

* Due to timing of collections, there are instances where the property tax is collected before the official due date.



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Outstanding Debt by Type Current and Previous Nine Fiscal Years (Unaudited)

Fiscal Year	Governmental Activities					Total Primary Government	Percentage of Personal Income***	Per Capita****
	General Obligation Bonds	SAVE Revenue Bonds	Unamortized Premium / Discount	Lease Obligations*	Subscription Obligations**			
2016	\$ -	\$ 175,785,000	\$ 9,296,539	\$ -	\$ -	\$ 185,081,539	1.80%	\$ 884.63
2017	-	162,510,000	5,690,611	-	-	168,200,611	1.58%	\$ 780.61
2018	-	206,090,000	9,313,683	-	-	215,403,683	2.00%	\$ 990.27
2019	-	190,685,000	9,514,448	-	-	200,199,448	1.77%	\$ 923.20
2020	-	174,670,000	6,426,358	-	-	181,096,358	1.67%	\$ 842.79
2021	-	158,015,000	5,177,323	10,508,349	-	173,700,672	1.53%	\$ 818.14
2022	-	132,600,000	11,353,292	5,984,721	-	149,938,013	1.24%	\$ 707.15
2023	-	116,155,000	8,412,325	2,445,010	86,186	127,098,521	1.00%	\$ 602.27
2024	-	98,880,000	5,891,988	884,798	174,430	105,831,216	0.79%	\$ 503.05
2025	\$ -	\$ 80,825,000	\$ 3,793,322	\$ 483,616	\$ 1,097,768	\$ 105,831,216	0.76%	\$ 496.64

Source: District Records

* Implementation of GASB Statement No. 87 as of 7/1/2021, 6/30/2021 financials were not restated

** Implementation of GASB Statement No. 96 as of 6/30/2023

***Calculated as Total Primary Government debt divided by Personal Income for Des Moines (per Demographic and Economic Statistics)

**** Calculated as Total Primary Government debt divided by Des Moines Population (per Demographic and Economic Statistics)

Legal Debt Margin Information Current and Previous Nine Fiscal Years (Unaudited)

	2016	2017	2018	2019
Debt limit	\$ 541,521,597	\$ 567,348,122	\$ 630,959,179	\$ 643,989,905
Total net debt applicable to limit	175,785,000	162,510,000	206,090,000	190,685,000
Legal debt margin	\$ 391,563,122	\$ 404,838,122	\$ 424,869,179	\$ 453,304,905
Total net debt applicable to the limit as a percentage of debt limit	30.98%	28.64%	32.66%	29.61%

(Continued)

Source: Polk County Auditor and District Records

Legal Debt Margin Calculation for Fiscal Year 2025						
Assessed value						\$ 19,100,035,546
Debt limit (5% of assessed value)						\$ 955,001,777
Debt applicable to limit						106,314,832
Legal debt margin						\$ 848,686,945
2020	2021	2022	2023	2024	2025	
\$ 643,989,905	\$ 713,997,431	\$ 720,522,105	\$ 788,336,712	\$ 797,358,187	\$	955,001,777
174,670,000	168,523,349	138,584,721	118,686,196	99,939,228		106,314,832
\$ 469,319,905	\$ 545,474,082	\$ 581,937,384	\$ 669,650,516	\$ 697,418,959	\$	848,686,945
27.12%	22.13%	19.23%	15.06%	12.53%		11.13%

Direct and Overlapping Governmental Activities Debt As of June 30, 2025 (Unaudited)

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable	Estimated Share of Direct and Overlapping Debt
Overlapping:			
City of Des Moines	\$ 793,541,384	96.40%	\$ 764,973,894
City of Pleasant Hill	23,620,000	24.10%	5,692,420
City of Urbandale	62,428,000	10.00%	6,242,800
City of West Des Moines	315,528,437	0.90%	2,839,756
City of Windsor Heights	17,715,000	0.10%	17,715
Des Moines Area Community College	75,280,000	30.10%	22,659,280
Polk County	307,887,000	35.30%	108,684,111
Warren County	35,808,000	5.40%	1,933,632
Subtotal, overlapping debt	\$ 1,631,807,821		\$ 913,043,608
Direct, Des Moines Independent Community School District:			
Sales tax revenue bonds and lease obligations	\$ 105,831,216	100.00%	\$ 105,831,216
Subtotal direct debt	\$ 105,831,216		\$ 105,831,216
Total direct and overlapping debt	\$ 1,737,639,037		\$ 1,018,874,824

Source: State Treasurer of Iowa, Outstanding Obligation Report; District records.

Note: The percentage applicable to the District is determined by the portion of the District geographical boundary included in the total boundary of the respective governmental entity.

Pledged-Revenue Coverage Current and Previous Nine Fiscal Years (Unaudited)

Local Option Sales and Services Tax							
Fiscal Year	Reconciliation			Debt Service		Coverage	
	Revenue	Payment	Total*	Principal	Interest		
2016	\$ 29,329,789	\$ 1,218,216	\$ 30,548,005	\$ 10,355,000	\$ 8,143,820	1.65	
2017	29,968,822	649,276	30,618,098	12,495,000	5,878,708	1.67	
2018	30,057,621	1,984,666	32,042,286	12,655,000	5,594,571	1.76	
2019	31,911,353	988,068	32,899,420	15,405,000	7,690,026	1.42	
2020	32,997,111	997,965	33,995,076	16,015,000	6,980,050	1.48	
2021	31,561,628	4,683,625	36,245,252	16,655,000	6,341,380	1.58	
2022	33,535,010	5,315,317	38,850,327	16,040,000	6,157,799	1.76	
2023	37,256,288	-	37,256,288	16,445,000	5,646,575	1.69	
2024	40,540,358	-	40,540,358	17,275,000	4,824,325	1.83	
2025	\$ 40,741,153	\$ -	\$ 40,741,153	\$ 18,055,000	\$ 4,046,775	1.84	

Source: Iowa Department of Revenue; District Records

Note: The Secure an Advanced Vision for Education (SAVE) tax was implemented in the District on July 1, 2010. The State estimated the District's annual SAVE tax revenue by multiplying the District's certified enrollment by the statewide average tax revenue per student. The statewide average is calculated by dividing the total estimated SAVE tax revenue by the statewide enrollment.

*Table updated in FY 2022 to show the additional Reconciliation Payment, which is received after June 30. The Reconciliation Payment is a final true-up payment of actual sales tax collected during the fiscal year. Beginning in FY 2023, the State began distributing sales tax payments based on actual collections; therefore, a Reconciliation Payment is no longer received after June 30.

Ratios of General Bonded Debt Outstanding Current and Previous Nine Fiscal Years (Unaudited)

Fiscal Year	Population	Assessed Value Property	Legal Debt Limit (5%)	General Bonded Debt Outstanding				Debt to Assessed Value	Per Capita
				General Obligation Bonds	General Obligation Capital Loan Notes	Qualified Zone Academy Bonds	Total		
2016	210,330	\$ 10,720,531,380	\$ 536,026,569	\$ -	\$ -	\$ -	\$ -	0.00%	\$ -
2017	215,472	11,346,962,433	567,348,122	-	-	-	-	0.00%	-
2018	217,521	11,488,873,292	574,443,665	-	-	-	-	0.00%	-
2019	216,853	12,796,130,290	639,806,515	-	-	-	-	0.00%	-
2020	214,237	12,879,798,104	643,989,905	-	-	-	-	0.00%	-
2021	212,312	14,279,948,629	713,997,431	-	-	-	-	0.00%	-
2022	212,031	14,410,442,093	720,522,105	-	-	-	-	0.00%	-
2023	211,034	15,766,734,238	788,336,712	-	-	-	-	0.00%	-
2024	210,381	15,947,163,732	797,358,187	-	-	-	-	0.00%	-
2025	213,096	\$ 19,100,035,546	\$ 955,001,777	\$ -	\$ -	\$ -	\$ -	0.00%	\$ -

Source: Polk County Auditor, Warren County Auditor, Iowa Department of Management, U.S. Census Bureau, and District Records

Demographic and Economic Statistics

Last Ten Calendar Years

(Unaudited)

Calendar Year	Des Moines Population*	Iowa Per Capita Personal Income**	Personal Income for Des Moines***	Des Moines Unemployment Rate****
2015	210,330	\$ 46,232	\$ 10,263,473,010	4.4%
2016	215,472	46,437	10,647,548,880	4.1%
2017	217,521	47,490	10,764,026,685	3.8%
2018	216,853	50,243	11,341,411,900	3.2%
2019	214,877	50,533	10,858,379,441	2.7%
2020	212,312	53,469	11,352,110,328	5.5%
2021	212,031	57,054	12,097,216,674	4.2%
2022	211,034	60,210	12,706,357,140	2.6%
2023	210,381	63,549	13,369,449,574	2.8%
2024	213,096	\$ 65,243	\$ 13,903,022,328	3.0%

* Source: US Census, QuickFacts, Des, Moines, IA, Population Estimates, July 1, 2024, (V2024)

** Source: Iowa Data, Quarterly Personal Income for State of Iowa, Average of quarters

*** Estimated using the population of Des Moines and the Per Capita Income for Iowa

**** Source: U.S. Bureau of Labor Statistics, 12 month average

Principal Employers in Greater Des Moines Region Current Year and Nine Years Ago (Unaudited)

Employer	2025			2016****		
	Employees *	Rank	Percentage of Total Employment	Employees	Rank	Percentage of Total Employment
Hy-Vee Inc.	11,868	1	2.92%	6,400	4	1.80%
Casey's General Stores, Inc.	11,000	2	2.71%			
Wells Fargo	11,000	3	2.71%	14,500	1	4.10%
MercyOne (Mercy Medical Center)	5,641	4	1.39%	7,055	2	2.00%
Principal Financial Group, Inc.	5,575	5	1.37%	6,066	5	1.70%
UnityPoint Health	5,512	6	1.36%	6,435	3	1.80%
Des Moines Independent CSD**	4,810	7	1.18%	5,003	6	1.70%
Amazon	4,100	8	1.01%			
John Deere	3,374	9	0.83%			
Care Initiatives	3,300	10	0.81%			
Nationwide Insurance (Nationwide/Allied)				4,269	7	1.40%
Dupont Pioneer				2,800	8	0.80%
Vermeer				2,500	9	0.70%
JBS USA, LLC				2,300	10	0.70%
Total employment ***	406,361			350,000		

* Source: Major Employers in the Greater Des Moines Region, Greater Des Moines Partnership, May 2025

** Source: District records June 2025

*** Source: Bureau of Labor Statistics, US Dept. of Labor, June 2025

**** Source: District ACFR FY 2016



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Full-Time Equivalent District Employees By Type Current and Previous Nine Fiscal Years (Unaudited)

	Full-Time Equivalent Employees as of June 30				
	2016	2017	2018	2019	2020
Administrators					
Central Office	39.0	36.0	41.0	42.0	41.0
Elementary Schools	38.0	38.0	38.0	38.0	38.0
Middle Schools	20.0	20.0	20.0	19.0	10.0
High Schools	24.0	23.0	23.0	20.0	13.0
Special Schools	5.0	5.0	5.0	4.0	5.0
Total Administrators	126.0	122.0	127.0	123.0	104.0
Certified Staff					
Academic Support	36.5	31.6	29.1	22.6	14.1
Behavior Coach	26.8	26.0	35.0	36.4	35.9
Non-classroom (other)	6.3	12.0	10.7	13.3	3.5
Classroom teachers	1,578.3	1,562.1	1,556.3	1,532.4	1,532.4
Counselors	67.4	80.5	82.0	82.0	85.0
Dean of Students	3.6	3.3	1.0	1.0	-
ELL	106.5	111.0	119.0	117.4	118.4
Gifted and Talented	18.0	18.0	21.0	21.0	21.0
Head Start	14.0	14.0	14.0	13.0	14.0
Home Instruction	5.0	5.0	5.0	11.0	8.0
Instructional Coach	109.9	92.6	95.1	111.6	100.6
International Baccalaureate Coordinator	6.5	5.0	4.0	1.3	-
Library/Media specialists	2.0	2.0	1.0	1.0	1.0
Mentor Teachers	17.5	-	-	-	-
Nurses	60.2	60.0	59.5	59.9	61.0
Preschool	34.0	34.0	34.0	34.0	35.0
Special Ed teachers	494.0	483.5	483.0	488.0	487.0
Special Ed consultants	33.0	32.0	32.0	29.0	30.0
Special Ed Support	125.9	130.8	136.3	135.3	132.4
Title I	178.0	183.8	183.3	169.1	150.8
Float	6.0	8.0	7.2	1.0	3.0
Total Certified Staff	2,929.4	2,895.2	2,908.5	2,880.3	2,833.1
Associates					
Central Office	26.8	17.0	12.8	50.0	46.0
Elementary Schools	189.8	188.0	195.0	214.0	239.0
Middle Schools	61.0	59.5	58.3	57.0	57.5
High Schools	54.0	52.0	46.0	62.0	61.0
Special Schools	183.8	193.8	197.8	152.0	156.0
Total Associates	515.4	510.3	509.9	535.0	559.5

(Continued)

Full-Time Equivalent Employees as of June 30					Percentage Change
2021	2022	2023	2024	2025	2016 - 2025
40.0	40.0	39.0	37.0	41.0	5.1%
38.0	38.0	38.0	38.0	39.0	2.6%
10.0	10.0	11.0	14.0	14.0	-30.0%
14.0	14.0	13.0	10.0	10.0	-58.3%
3.0	3.0	2.0	2.0	7.0	40.0%
105.0	105.0	103.0	101.0	111.0	-11.9%
14.1	16.1	15.5	14.0	14.5	-60.3%
35.9	45.7	43.6	40.2	39.5	47.4%
12.7	12.5	12.5	11.5	12.5	98.4%
1,505.2	1,492.5	1,452.6	1,414.7	1,402.6	-11.1%
96.0	95.5	98.0	97.8	102.0	51.3%
-	-	-	-	-	-100.0%
117.9	118.4	124.0	130.3	139.0	30.5%
23.0	23.0	24.0	27.0	27.8	54.4%
13.0	13.0	11.5	13.0	13.0	-7.1%
9.0	9.0	9.0	9.0	9.0	80.0%
112.3	106.6	113.8	103.0	106.0	-3.5%
-	-	-	-	-	-100.0%
1.0	1.0	1.0	1.0	1.0	-50.0%
-	-	-	-	-	-100.0%
61.0	61.0	64.0	63.0	62.0	3.0%
35.0	35.0	32.5	36.5	51.0	50.0%
479.0	473.0	427.7	412.6	404.0	-18.2%
30.0	30.0	27.0	27.0	29.0	-12.1%
137.5	121.5	114.5	117.0	116.0	-7.9%
168.4	169.8	174.4	189.6	166.6	-6.4%
21.0	5.0	26.6	11.9	13.0	116.7%
2,872.0	2,828.6	2,772.2	2,719.1	2,708.5	-7.5%
51.5	49.0	38.7	30.8	30.0	11.9%
244.0	241.0	283.8	339.3	329.0	73.3%
60.0	58.0	55.0	63.0	60.0	-1.6%
66.5	64.0	63.7	65.7	71.8	33.0%
158.5	158.0	157.5	148.5	162.0	-11.9%
580.7	570.0	598.7	647.3	652.8	26.7%

Full-Time Equivalent District Employees By Type (Continued)

Current and Previous Nine Fiscal Years

(Unaudited)

	Full-Time Equivalent Employees as of June 30				
	2016	2017	2018	2019	2020
Specialist, Clerical, and Paraprofessionals					
Central Office	243.8	237.2	266.4	255.2	256.9
Elementary Schools	106.0	107.0	111.0	117.0	111.0
Middle Schools	62.4	60.4	58.0	65.0	71.5
High Schools	131.6	118.6	103.8	101.0	113.5
Special Schools	20.0	23.0	20.0	15.0	16.0
Total Specialists, Clerical, and Paraprofessionals	563.8	546.2	559.2	553.2	568.9
Food Service, Operations, Transportation and Child Care					
Central Office	342.0	310.2	334.5	293.8	294.7
Elementary Schools	247.5	285.6	288.5	292.3	283.9
Middle Schools	103.6	104.6	103.1	106.6	105.3
High Schools	118.5	117.5	113.1	117.5	112.2
Special Schools	16.0	18.4	16.3	18.6	19.3
Total Food Svc, Oper, Transportation, and Child care	827.5	836.3	855.5	828.8	815.4
Total	4,962.1	4,910.0	4,960.0	4,920.3	4,883.9

Source: District records

Full-Time Equivalent Employees as of June 30					Percentage Change
2021	2022	2023	2024	2025	2016 - 2025
257.3	253.3	245.0	250.5	247.0	1.3%
112.9	113.9	113.0	156.0	145.9	37.6%
72.9	74.9	73.6	105.0	103.0	65.1%
118.4	131.4	129.5	139.8	139.0	5.6%
19.9	20.9	18.0	19.2	17.0	-15.0%
581.6	594.4	579.1	670.5	651.9	15.6%
295.3	293.3	271.8	270.9	267.0	-21.9%
285.0	285.0	286.2	210.3	212.5	-14.1%
106.3	106.3	103.3	90.2	91.7	-11.5%
113.3	110.3	110.5	93.3	100.4	-15.3%
20.4	20.4	18.6	15.7	14.6	-8.8%
820.4	815.3	790.4	680.4	686.2	-17.1%
4,959.7	4,913.3	4,843.4	4,818.3	4,810.4	-3.1%

Operating Statistics Current and Previous Nine Fiscal Years (Unaudited)

Fiscal Year	Enrollment	Certified Staff	Percentage of Students Receiving Free or Reduced-Priced Meals	Governmental Activities		
				Operating Expenses	Cost Per Pupil	Percentage Change
2016	32,581.9	2,929.40	73%	455,983,772	\$13,375	0.09
2017	32,979.2	2,895.20	67	472,417,154	13,633	0.12
2018	33,057.4	2,908.50	74	498,953,834	15,094	0.24
2019	32,788.8	2,880.30	76	487,168,007	15,477	0.26
2020	32,606.7	2,833.10	77	487,564,051	14,953	0.23
2021	31,621.5	2,872.00	76	508,174,271	16,303	0.34
2022	31,023.8	2,828.60	76	462,805,096	14,918	0.24
2023	30,773.9	2,772.20	76	526,148,221	17,097	0.34
2024	30,801.8	2,719.10	76	528,778,593	17,167	0.29
2025	30,836.3	2,708.50	75%	538,132,795	17,451	0.30

Source: District Records

Note: Operating expenses represent governmental activity expenses, less interest on long-term debt

Note: Revised in 2022 to better match District schedules. Teaching Staff was changed to Certified Staff.

Business-Type Activities		
Business-Type Expenses	Cost Per Pupil	Percentage Change
\$23,201,203	\$712	0.30
25,451,036	772	0.39
26,476,917	801	0.44
25,734,865	785	0.44
25,441,013	780	0.41
20,899,496	661	0.19
22,894,116	738	0.21
23,275,952	756	0.18
27,714,997	900	0.33
\$31,003,231	\$1,005	0.41

School Building Information Current and Previous Nine Fiscal Years (Unaudited)

School	Fiscal Year			
	2016	2017	2018	2019
Elementary Schools:				
Brubaker				
Square feet	78,224	78,224	78,224	78,224
Capacity	816	816	816	816
Enrollment	697	727	709	665
Capital View				
Square feet	75,740	75,740	75,740	75,740
Capacity	720	720	720	720
Enrollment	568	556	551	539
Carver				
Square feet	91,500	81,885	81,885	81,885
Capacity	720	720	720	720
Enrollment	555	573	549	484
Cattell				
Square feet	47,821	48,188	55,125	55,125
Capacity	408	408	408	408
Enrollment	388	392	410	397
Cowles				
Square feet	42,800	45,130	45,130	53,060
Capacity	517	432	432	432
Enrollment	374	375	363	362
Downtown				
Square feet	38,125	38,125	38,125	38,125
Capacity	312	312	312	312
Enrollment	268	268	271	265
Edmunds				
Square feet	76,385	76,385	76,385	76,385
Capacity	576	576	576	576
Enrollment	346	329	312	316
Findley				
Square feet	43,548	43,628	43,628	43,628
Capacity	384	384	384	384
Enrollment	344	338	343	333
Garton				
Square feet	65,648	65,648	65,648	65,648
Capacity	720	720	720	720
Enrollment	612	649	650	558
Greenwood				
Square feet	61,744	62,227	62,227	62,227
Capacity	456	456	456	456
Enrollment	325	299	283	256

(Continued)

Fiscal Year					
2020	2021	2022	2023	2024	2025
78,224	78,224	78,224	78,224	78,224	78,224
960	960	960	960	960	960
673	643	652	622	618	622
75,740	75,740	75,740	75,740	75,740	75,740
913	912	912	912	912	912
523	498	510	505	545	533
81,885	91,500	91,500	91,500	91,500	91,500
720	720	720	720	720	720
461	462	437	422	418	435
55,125	55,125	55,125	55,125	55,125	55,125
504	504	504	504	504	504
402	393	367	322	308	314
53,060	53,060	53,060	53,060	53,060	53,060
431	431	431	432	432	432
379	358	342	342	362	350
38,125	38,125	38,125	38,125	38,125	38,125
168	168	168	168	168	168
264	241	240	243	235	197
76,385	76,385	76,385	76,385	76,385	76,385
696	696	696	696	696	696
314	297	260	268	286	259
43,628	43,628	43,628	43,628	43,628	43,628
384	384	384	384	384	384
324	306	311	304	284	324
65,648	65,648	65,648	65,648	65,648	65,648
720	720	720	720	720	720
502	497	474	455	429	535
62,227	62,227	62,227	62,227	62,227	62,227
528	528	528	528	528	528
249	212	220	272	307	293

School Building Information (Continued)

Current and Previous Nine Fiscal Years

(Unaudited)

School	Fiscal Year			
	2016	2017	2018	2019
Elementary Schools:				
Hanawalt				
Square feet	43,246	43,246	43,246	44,708
Capacity	408	408	408	408
Enrollment	362	358	343	359
Hillis				
Square feet	57,720	57,720	57,720	57,720
Capacity	600	600	600	600
Enrollment	447	381	370	364
Howe				
Square feet	38,505	34,320	33,220	33,220
Capacity	312	312	312	312
Enrollment	312	310	307	286
Hubbell				
Square feet	53,327	53,327	49,440	50,505
Capacity	456	456	456	480
Enrollment	423	415	433	414
Jackson				
Square feet	45,585	45,585	45,585	57,969
Capacity	456	456	456	552
Enrollment	429	467	427	444
Jefferson				
Square feet	45,830	45,830	45,830	45,830
Capacity	456	456	456	456
Enrollment	439	408	392	393
King				
Square feet	54,171	54,171	54,171	54,171
Capacity	456	456	456	456
Enrollment	358	336	329	300
Lovejoy				
Square feet	39,154	39,154	39,154	39,154
Capacity	456	456	456	456
Enrollment	389	383	394	391
Madison				
Square feet	42,049	42,049	42,049	49,558
Capacity	408	408	408	408
Enrollment	317	267	279	264
McKinley				
Square feet	49,994	49,994	49,994	49,994
Capacity	360	360	360	360
Enrollment	293	264	267	266

(Continued)

Fiscal Year					
2020	2021	2022	2023	2024	2025
44,708	44,708	44,708	44,708	44,708	44,708
480	480	480	480	480	480
343	340	354	333	317	312
57,720	57,720	57,720	57,720	57,720	57,720
576	576	576	576	576	576
318	313	292	305	291	279
42,891	42,891	42,891	42,891	42,891	42,891
336	336	336	336	336	336
279	270	305	296	303	297
50,505	50,505	50,505	50,505	50,505	50,505
480	480	480	480	480	480
444	420	415	407	382	362
57,969	57,969	57,969	57,969	57,969	57,969
552	552	552	552	552	552
413	387	386	406	495	490
45,830	55,730	55,730	55,730	55,730	55,730
456	456	456	456	456	456
389	371	338	338	306	312
54,171	54,171	54,171	54,171	54,171	54,171
504	504	504	504	504	504
295	265	264	267	273	315
50,534	50,534	50,534	50,534	50,534	50,534
480	480	480	480	480	480
392	378	403	365	412	394
49,558	49,558	49,558	49,558	49,558	49,558
456	456	456	456	456	456
282	255	239	243	274	285
49,994	49,994	49,994	49,994	49,994	49,994
432	432	432	432	432	432
272	264	269	285	269	275

School Building Information (Continued)

Current and Previous Nine Fiscal Years

(Unaudited)

School	Fiscal Year			
	2016	2017	2018	2019
Elementary Schools:				
Monroe				
Square feet	73,997	73,997	73,997	73,997
Capacity	600	600	600	600
Enrollment	535	547	513	472
Moore				
Square feet	51,848	51,848	51,848	51,848
Capacity	432	432	432	432
Enrollment	188	260	297	325
Morris				
Square feet	70,656	70,656	70,656	70,656
Capacity	744	744	744	744
Enrollment	579	601	600	567
Moulton				
Square feet	121,650	121,650	121,650	121,650
Capacity	744	744	744	744
Enrollment	471	469	488	531
Oak Park				
Square feet	59,497	59,497	59,497	59,497
Capacity	408	408	408	408
Enrollment	424	418	369	376
Park Avenue				
Square feet	64,925	64,925	64,925	64,925
Capacity	600	600	600	600
Enrollment	451	430	431	410
Perkins				
Square feet	65,064	65,064	65,064	65,064
Capacity	528	528	528	528
Enrollment	482	457	451	461
Phillips				
Square feet	41,936	41,936	46,207	46,207
Capacity	336	336	336	336
Enrollment	373	359	339	329
Pleasant Hill				
Square feet	41,270	41,270	41,270	41,270
Capacity	408	408	408	408
Enrollment	315	255	269	261
River Woods				
Square feet	64,773	64,773	64,773	64,773
Capacity	600	600	600	600
Enrollment	541	594	570	544

(Continued)

Fiscal Year					
2020	2021	2022	2023	2024	2025
73,997	73,997	73,997	73,997	73,997	73,997
600	600	600	600	600	600
464	445	433	423	377	341
51,848	51,848	51,848	51,848	51,848	51,848
408	408	408	408	408	408
339	334	308	296	298	285
71,114	71,114	71,114	71,114	71,114	71,114
744	744	744	744	744	744
527	472	448	444	498	519
121,650	121,650	121,650	121,650	121,650	121,650
768	768	768	768	768	768
536	481	441	420	450	465
59,497	59,497	59,497	59,497	59,497	59,497
336	336	336	336	336	336
339	325	309	313	309	288
64,925	64,925	64,925	64,925	64,925	64,925
552	552	552	552	552	552
418	382	390	378	408	380
65,064	65,064	65,064	65,064	65,064	65,064
456	456	456	456	456	456
446	395	386	438	444	438
46,207	46,207	46,207	46,207	46,207	46,207
552	552	552	552	552	552
325	293	263	258	254	263
41,270	47,870	47,870	47,870	47,870	47,870
288	288	288	288	288	288
233	205	215	213	211	241
64,773	64,773	64,773	64,773	64,773	64,773
672	672	672	672	672	672
527	498	518	496	505	493

School Building Information (Continued)

Current and Previous Nine Fiscal Years

(Unaudited)

School	Fiscal Year			
	2016	2017	2018	2019
Elementary Schools:				
Samuelson				
Square feet	58,678	58,678	58,678	58,678
Capacity	528	528	528	528
Enrollment	470	452	449	467
South Union				
Square feet	68,508	68,508	68,508	68,508
Capacity	696	696	696	696
Enrollment	504	513	494	488
Stowe				
Square feet	56,967	56,967	56,967	56,967
Capacity	408	408	408	408
Enrollment	374	399	367	371
Studebaker				
Square feet	45,400	45,400	45,400	45,400
Capacity	504	504	504	504
Enrollment	454	500	495	492
Walnut Street				
Square feet	97,020	97,020	97,020	97,020
Capacity	630	630	630	630
Enrollment	292	291	269	297
Willard				
Square feet	59,301	59,301	59,301	59,301
Capacity	600	600	600	600
Enrollment	410	355	362	348
Windsor				
Square feet	60,475	60,475	60,475	60,475
Capacity	408	408	408	408
Enrollment	338	358	375	345
Wright				
Square feet	30,300	30,300	39,139	39,139
Capacity	288	288	288	288
Enrollment	284	265	280	270

(Continued)

Fiscal Year					
2020	2021	2022	2023	2024	2025
58,678	58,678	58,678	58,678	58,678	58,678
528	528	528	528	528	528
461	433	418	411	384	386
68,508	68,508	68,508	68,508	68,508	68,508
696	696	696	696	696	696
500	439	445	442	424	422
56,967	56,967	56,967	56,967	56,967	56,967
456	456	456	456	456	456
359	298	307	313	311	297
64,455	64,455	64,455	64,455	64,455	64,455
600	600	600	600	600	600
556	522	522	523	553	561
97,020	97,020	97,020	97,020	116,434	116,434
816	816	816	816	816	816
297	245	268	269	244	257
59,301	59,301	59,301	59,301	59,301	59,301
624	624	624	624	624	624
324	294	262	286	282	247
60,475	60,475	60,475	60,475	60,475	60,475
432	432	432	432	432	432
307	284	285	296	267	254
39,139	39,139	39,139	39,139	39,139	39,139
312	312	312	312	312	312
284	256	261	273	244	265

School Building Information (Continued)

Current and Previous Nine Fiscal Years

(Unaudited)

School	Fiscal Year			
	2016	2017	2018	2019
Middle Schools:				
Brody				
Square feet	98,082	99,182	99,182	99,182
Capacity	871	871	871	871
Enrollment	749	745	770	770
Callanan				
Square feet	116,037	116,037	116,037	116,037
Capacity	828	828	828	828
Enrollment	561	592	603	615
Goodrell				
Square feet	110,495	110,495	110,495	110,495
Capacity	893	893	893	893
Enrollment	632	628	571	558
Harding				
Square feet	125,339	125,339	125,339	125,339
Capacity	850	850	850	850
Enrollment	773	743	788	781
Hiatt				
Square feet	109,879	109,879	109,879	109,879
Capacity	850	850	850	850
Enrollment	589	592	656	649
Hoyt				
Square feet	100,691	100,691	100,691	100,691
Capacity	893	893	893	893
Enrollment	510	522	598	648
McCombs				
Square feet	88,258	88,258	88,258	96,703
Capacity	829	829	829	914
Enrollment	691	722	733	732
Meredith				
Square feet	107,316	107,316	107,316	107,316
Capacity	891	891	891	891
Enrollment	737	734	805	829
Merrill				
Square feet	94,162	94,162	94,162	94,162
Capacity	701	701	701	701
Enrollment	730	741	743	760
Weeks				
Square feet	112,390	112,390	112,390	112,390
Capacity	1,063	1,063	1,063	1,063
Enrollment	717	742	766	774

(Continued)

Fiscal Year					
2020	2021	2022	2023	2024	2025
99,182	99,182	99,182	99,182	99,182	99,182
904	904	904	904	904	904
729	686	603	603	598	641
116,037	116,037	116,037	116,037	116,037	116,037
857	857	857	857	857	857
609	598	531	507	543	553
110,495	110,495	110,495	110,495	110,495	110,495
928	928	928	928	928	928
552	564	512	523	493	511
125,339	125,339	125,339	125,339	125,339	125,339
952	952	952	952	952	952
815	810	677	655	633	603
109,879	109,879	109,879	109,879	109,879	109,879
928	928	928	928	928	928
615	607	558	528	466	488
100,691	100,691	100,691	100,691	100,691	100,691
1023	1023	1023	1023	1023	1023
685	618	508	486	486	455
99,673	99,673	99,673	99,673	99,673	99,673
952	952	952	952	952	952
744	747	684	654	644	670
107,316	107,316	107,316	107,316	107,316	107,316
857	857	857	857	857	857
806	739	675	664	652	662
94,162	94,162	94,162	94,162	94,162	94,162
881	881	881	881	881	881
782	750	669	634	651	657
112,390	112,390	112,390	112,390	112,390	112,390
1,142	1,142	1,142	1,142	1,142	1,142
772	743	685	684	668	688

School Building Information (Continued)

Current and Previous Nine Fiscal Years

(Unaudited)

School	Fiscal Year			
	2016	2017	2018	2019
High Schools:				
East				
Square feet	344,376	344,376	344,376	344,376
Capacity	2,337	2,337	2,337	2,337
Enrollment	2,303	2,329	2,236	2,197
Hoover				
Square feet	191,700	191,700	191,700	191,700
Capacity	1,105	1,105	1,105	1,105
Enrollment	1070	1,062	1,106	1,068
Lincoln				
Square feet	312,628	312,628	312,628	312,628
Capacity	1,848	1,848	1,848	1,848
Enrollment	2,245	2,355	2,350	2,404
Kurtz*				
Square feet	106,264	106,498	106,498	106,498
Capacity	637	637	637	637
Enrollment	*	*	*	*
North				
Square feet	249,639	249,639	249,639	249,639
Capacity	1,253	1,253	1,253	1,253
Enrollment	1,253	1,274	1,319	1,452
Roosevelt				
Square feet	240,317	240,317	306,722	306,722
Capacity	1,785	1,785	1,785	1,785
Enrollment	1,790	1,925	1,943	2,008

(Continued)

* Kurtz was used to house the Lincoln 9th graders through FY 2019. The enrollment was rolled into the Lincoln High School total. Beginning in FY 2020, the building was used for district-wide programming.

% Building no longer used for enrolled students.

Fiscal Year					
2020	2021	2022	2023	2024	2025
344,376	344,376	344,376	344,376	344,376	344,376
2,570	2,570	2,570	2,570	2,570	2,570
2,095	2,201	2,076	2,040	2,013	1,951
191,700	191,700	191,700	191,700	191,700	191,700
1,428	1,428	1,428	1,428	1,428	1,428
1,024	1,059	956	989	920	895
312,628	312,628	312,628	312,628	312,628	312,628
2,047	2,047	2,047	2,047	2,047	2,047
2,379	2,423	2,359	2,400	2,439	2,360
%	%	%	%	%	%
%	%	%	%	%	%
%	%	%	%	%	%
249,639	249,639	249,639	249,639	249,639	249,639
1,333	1,333	1,333	1,333	1,333	1,333
1,393	1,495	1,427	1,452	1,551	1,422
306,722	306,722	306,722	306,722	306,722	306,722
1,714	1,714	1,714	1,714	1,714	1,714
2,116	2,085	2,060	1,981	2,033	2,046

School Building Information (Continued)

Current and Previous Nine Fiscal Years

(Unaudited)

School	Fiscal Year			
	2016	2017	2018	2019
Special Schools:				
Central Academy				
Square feet	86,426	86,426	86,426	86,426
Capacity	658	658	658	658
Enrollment	\$	\$	\$	\$
Central Campus				
Square feet	456,660	456,660	456,660	456,660
Capacity	1,848	1,848	1,848	1,848
Enrollment	\$	\$	\$	\$
Central Campus: Ag Lab **				
Square feet	12,500	19,292	15,342	15,342
Central Campus: Horticultural Lab **				
Square feet	-	-	-	-
Central Campus: Aviation Lab				
Square feet	-	24,900	24,900	24,900
Scavo #				
Square feet	see Central Campus	see Central Campus	see Central Campus	see Central Campus
Capacity	see Central Campus	see Central Campus	see Central Campus	see Central Campus
Enrollment	459	390	459	316
Virtual Campus ¥				
Square feet	-	-	-	-
Capacity	-	-	-	-
Enrollment	-	-	-	-
Smouse				
Square feet	53,809	53,809	53,809	%
Capacity	384	384	384	%
Enrollment	83	71	72	%
Van Meter				
Square feet	56,460	58,636	58,636	58,636
Capacity	553	553	553	553
Enrollment	158	138	126	158

(Continued)

\$ Magnet schools; students who attend classes at these schools are included with enrollment totals at home middle or high schools.

** Ag Lab was demolished and replaced with the Horticulture Lab in FY 2020.

Scavo Alternative School was housed in Central Campus 2015-2020. The program ended in FY 2021.

¥ Virtual Campus began in FY2021 as a stand alone, 100% online school.

% Building no longer used for enrolled students.

NOTE: Capacity represents Occupant Capacity.

Fiscal Year					
2020	2021	2022	2023	2024	2025
86,426	86,426	86,426	86,426	86,426	86,426
738	738	738	738	738	738
\$	\$	\$	\$	\$	\$
456,660	456,660	456,660	456,660	456,660	456,660
2,213	2,213	2,213	2,213	2,213	2,213
\$	\$	\$	\$	\$	\$
-	-	-	-	-	-
10,373	10,373	10,373	10,373	10,373	10,373
31,250	31,250	31,250	31,250	31,250	31,250
see Central Campus	%	%	%	%	%
see Central Campus	%	%	%	%	%
282	%	%	%	%	%
-	¥	¥	¥	¥	¥
-	¥	¥	¥	¥	¥
-	258	934	667	386	379
%	%	%	%	%	%
%	%	%	%	%	%
%	%	%	%	%	%
58,636	58,636	58,636	58,636	58,636	58,636
553	553	553	553	553	553
141	141	116	113	112	109

School Building Information (Continued)

Current and Previous Nine Fiscal Years

(Unaudited)

School	Fiscal Year			
	2016	2017	2018	2019
Other (Early Learning Centers):				
McKee				
Square feet	43,400	43,400	43,400	43,400
Mitchell				
Square feet	31,682	31,682	31,682	31,682
Taylor				
Square feet	45,297	45,297	45,297	45,297
Woodlawn				
Square feet	46,548	46,548	46,548	46,548
Other (Education Facility):				
Mann				
Square feet	32,490	30,866	30,866	30,866
Other:				
1915 Prospect				
Square feet	52,573	52,573	52,573	52,573
2323 Grand				
Square feet	49,734	49,734	49,734	49,734
2100 Fleur				
Square feet	36,673	36,673	36,673	36,673
Central Nutrition Center				
Square feet	56,186	56,186	56,186	56,186
Kurtz Opportunity Center				
Square feet	-	-	-	-
Operations Center-Dean				
Square feet	97,404	97,404	97,404	97,404
Smouse Center				
Square feet	-	-	-	53,809
Walker Street				
Square feet	33,481	32,300	32,300	32,300
Walnut Street ~				
Square feet	19,404	19,404	19,404	19,404
Welcome Center / CNC Annex §				
Square feet	6,200	6,200	6,200	6,200

Source: District records.

+ Building sold

~ Floors 5 & 6 of the building were used for district Admin through FY 2017. Since FY 2018, the 6th floor is used for community partnerships.

§ Building used for the district enrollment Welcome Center through FY 2019. Since FY 2020, building is used as Central Nutrition Center Annex.

Fiscal Year					
2020	2021	2022	2023	2024	2025
43,400	43,400	43,400	43,400	43,400	43,400
31,682	31,682	31,682	31,682	31,682	31,682
45,297	45,297	45,297	45,297	45,297	45,297
46,548	46,548	46,548	46,548	46,548	46,548
30,866	30,866	+	-	-	-
52,573	52,573	52,573	52,573	52,573	52,573
49,734	49,734	49,734	+	-	-
36,673	36,673	36,673	36,673	36,673	36,673
56,186	56,186	56,186	56,186	56,186	56,186
106,498	106,498	106,498	106,498	106,498	106,498
97,404	97,404	97,404	97,404	97,404	97,404
53,809	53,809	53,809	53,809	53,809	53,809
32,300	32,300	32,300	32,300	32,300	32,300
19,404	19,404	19,404	19,404	19,404	19,404
6,200	6,200	6,200	6,200	6,200	6,200

Capital Asset Information

Current and Previous Nine Fiscal Years

(Unaudited)

Schools:	Fiscal Year			
	2016	2017	2018	2019
Elementary:				
Buildings	38	38	38	38
Square feet	2,223,381	2,212,841	2,227,901	2,258,251
Capacity	19,459	19,374	19,374	19,494
Enrollment	15,731	15,618	15,400	15,010
Middle:				
Buildings	10	10	10	10
Square feet	1,062,649	1,063,749	1,063,749	1,072,194
Capacity	8,669	8,669	8,669	8,754
Enrollment	6,689	6,761	7,033	7,116
High:				
Buildings	6	6	6	6
Square feet	1,445,158	1,445,158	1,511,563	1,511,563
Capacity	8,965	8,965	8,965	8,965
Enrollment	8,661	8,945	8,954	9,129
Special Schools:				
Buildings	4	4	4	3
Square feet	653,355	655,531	655,531	601,722
Capacity	3,443	3,443	3,443	3,059
Enrollment	700	599	657	474
Other:				
Buildings	14	15	15	16
Square feet	563,572	592,459	588,509	642,318
Total District Sq Ft (less modulares)	5,928,711	5,950,334	6,027,849	6,066,644
Transportation:				
Garages	1	1	1	1
Buses	135	137	137	136
Athletics:				
Football stadiums / fields				
Football fields (turf)*	4	4	4	4
Football fields (non-turf)*				
Running tracks	5	5	5	5
Baseball/softball	10	10	10	10
Swimming pools	7	7	7	6
Playgrounds	42	42	42	43

Source: District records.

* Distinction between field types was added in FY 2025. Prior to FY 2025, this was listed as Stadiums only.

Fiscal Year					
2020	2021	2022	2023	2024	2025
38	38	38	38	38	38
2,298,815	2,324,930	2,324,930	2,324,930	2,344,344	2,344,344
20,521	20,615	20,616	20,616	20,616	20,616
14,760	13,771	13,492	13,492	13,577	13,585
10	10	10	10	10	10
1,075,164	1,075,164	1,075,164	1,075,164	1,075,164	1,075,164
9,424	9,424	9,424	9,424	9,424	9,424
7,109	6,862	6,102	5,938	5,834	5,928
5	5	5	5	5	5
1,405,065	1,405,065	1,405,065	1,405,065	1,405,065	1,405,065
9,092	9,092	9,092	9,092	9,092	9,092
9,007	9,263	8,878	8,862	8,956	8,674
3	3	3	3	3	5
601,722	601,722	601,722	601,722	601,722	643,345
3,504	3,504	3,504	3,504	3,504	3,504
423	399	1050	780	498	488
17	17	15	15	15	13
750,197	750,197	659,224	659,224	669,597	627,974
6,111,559	6,157,078	6,066,105	6,066,105	6,095,892	6,095,892
1	1	1	1	1	1
120	126	143	136	136	136
4	4	4	5	5	6
5	5	5	5	5	1
10	10	10	10	10	5
6	6	6	6	6	10
43	43	42	42	43	6
					43



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**Des Moines Independent Community
School District, Des Moines, Iowa**

Compliance Report
Year Ended June 30, 2025

Contents

Report on internal control over financial reporting and on compliance and other matters based on an audit of financial statements performed in accordance with <i>Government Auditing Standards</i>	1-2
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Report on compliance for each major federal program; report on internal control over compliance; and report on schedule of expenditures of federal awards required by the Uniform Guidance	3-5
--	-----

Schedule of expenditures of federal awards	6-7
Notes to schedule of expenditures of federal awards	8
Summary schedule of prior audit findings	9
Schedule of findings and questioned costs	10-14
Corrective action plan	15

**Report on Internal Control Over Financial Reporting
and on Compliance and Other Matters Based on an
Audit of Financial Statements Performed in
Accordance with *Government Auditing Standards***

RSM US LLP

Independent Auditor's Report

Board of Education
Des Moines Independent Community School District

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*), the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Des Moines Independent Community School District (the District), as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated March 4, 2026. Our auditor's report includes an emphasis of matter paragraph for the implementation of GASB Statement No. 101, *Compensated Absences*, as well as the restatement of beginning net position of the governmental activities, business-type activities and the aggregate remaining fund information to correct an error related to the allocation of the total OPEB liability and OPEB-related amounts. Our opinions were not modified with respect to these matters.

Report on Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. We identified a certain deficiency in internal control, described in the accompanying schedule of findings and questioned costs as item 2025-001 that we consider to be a material weakness.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Comments involving statutory or other legal matters about the District's operations for the year ended June 30, 2025 are based exclusively on knowledge obtained from procedures during our audit of the basic financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory or other legal matters are not intended to constitute legal interpretations of those statutes.

The District's Response to Findings

Government Auditing Standards requires the auditor to perform limited procedures on the District's response to the findings identified in our audit and described in the accompanying schedule of findings and questioned costs. The District's response was not subjected to the other auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the response

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

RSM US LLP

Des Moines, Iowa
March 4, 2026

**Report on Compliance for Each Major Federal Program;
Report on Internal Control Over Compliance; and Report on Schedule of
Expenditures of Federal Awards Required by the Uniform Guidance**

RSM US LLP

Independent Auditor's Report

Board of Education
Des Moines Independent Community School District

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Des Moines Independent Community School District's (the District) compliance with the types of compliance requirements identified as subject to audit in the OMB *Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2025. The District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, the District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2025.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control Over Compliance

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Report on Schedule of Expenditures of Federal Awards Required by the Uniform Guidance

We have audited the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the District as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's basic financial statements. We issued our report thereon, dated March 4, 2026, which contained unmodified opinions on those financial statements. Our auditor's report includes an emphasis of matter paragraph for the implementation of GASB Statement No. 101, *Compensated Absences*, as well as the restatement of beginning net position of the governmental activities, business-type activities and the aggregate remaining fund information to correct an error related to the allocation of the total OPEB liability and OPEB-related amounts. Our opinions were not modified with respect to these matters. Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the basic financial statements. The accompanying schedule of expenditures of federal awards is presented for purposes of additional analysis as required by the Uniform Guidance and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedule of expenditures of federal awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

RSM US LLP

Des Moines, Iowa
March 4, 2026

Des Moines Independent Community School District

Schedule of Expenditures of Federal Awards Year Ended June 30, 2025

Federal Grantor/Pass-Through Grantor/Program Title or Cluster	Federal Assistance Listing Number	Pass-Through Entity Identifying Number	Federal Expenditures	Provided To Subrecipients
U.S. Department of Agriculture:				
(Passed through Iowa Department of Education):				
Child Nutrition Cluster:				
School Breakfast Program	10.553	42-6004552	\$ 6,274,320	\$ -
National School Lunch Program (NSLP)	10.555	42-6004553	15,152,991	-
NSLP - USDA Commodities (Non-Cash)	10.555	42-6004951	1,575,424	-
Total ALN 10.555			16,728,415	-
Summer Food Service Program for Children	10.559	42-6004556	316,593	-
Summer Food Service Program for Children - Summer Meal Expansion Program for Children	10.559	42-6004073	2,867	-
Total ALN 10.559			319,460	-
NSLP—Fresh Fruit and Vegetable Pilot Program	10.582	42-6004557	638,689	-
Subtotal Child Nutrition Cluster			23,960,884	-
Child Nutrition Discretionary Grants—Limited Availability, School Lunch Equipment Grant Stabilization	10.579	42-6004011	24,952	-
(Passed through Iowa Department of Public Health), SNAP Cluster, State Administrative Matching Grants for Supplemental Nutrition Assistance Program				
	10.561	42-6004671	129,906	-
Total U.S. Department of Agriculture			24,115,742	-
U.S. Department of Education:				
(Passed through Iowa Department of Education):				
Title I Grants to Local Educational Agencies—Carryover:				
Title I Education, Consolidation and Improvement Act	84.010A	42-6004501-431	13,865,216	-
Title I Education, Consolidation and Improvement Carryover	84.010A	42-6004508-431	2,410,758	-
Title I School Improvement funds	84.010A	42-6004501-432	184,764	-
Title I School Improvement funds Carryover	84.010A	42-6004508-432	1,041,224	-
Title I Migrant funds	84.010A	42-6004503	90,147	-
Total Title I			17,592,109	-
Career and Technical Education—Basic Grants to States	84.048	42-6004531	507,996	-
Supporting Effective Instruction State Grants—Class Size Reduction Program, Title II	84.367	42-6004643	664,704	-
Education for Homeless Children and Youth	84.196	42-6004565	25,000	-
Student Support and Academic Enrichment Program, Title IV	84.424	42-6004669	916,491	-
Student Support and Academic Enrichment Program	84.424F	42-6004668	373,104	-
Total ALN 84.424			1,289,595	-
English Language Acquisition State Grants, Title III ELL/LEP	84.365	42-6004644	974,243	-
Twenty-First Century Community Learning Center Grant	84.287	42-6004646	1,265,684	-
Gaining Early Awareness and Readiness for Undergraduate Programs	84.334S	42-6004674	254,283	-
Education Stabilization Fund:				
COVID-19 - Learning Beyond the Bell	84.425	42-6004076	740,691	-
COVID-19 - Rethink K-12 Education Models Discretionary Grant	84.425B	42-6004053	423,405	-
COVID-19 - Rethink K-12 Education Models Discretionary Grant	84.425B	42-6004026	115,572	-
COVID-19 - Homeless Children and Youth	84.425W	42-6004044	9,752	-
Total Education Stabilization Fund			1,289,420	-
Total U.S. Department of Education, Passed Through Iowa Department of Education			23,863,034	-

Continued on next page

Des Moines Independent Community School District

Schedule of Expenditures of Federal Awards (Continued) Year Ended June 30, 2025

Federal Grantor/Pass-Through Grantor/Program Title or Cluster	Federal Assistance Listing Number	Pass-Through Entity Identifying Number	Federal Expenditures	Provided To Subrecipients
U.S. Department of Education (continued):				
Passed through Heartland Area Education Agency 11, Special Education Cluster, Special Education Grants to States (IDEA Part B)	84.027	42-6604521	1,612,182	-
Passed through State of Iowa Vocational Rehabilitation, Rehabilitation Services Vocational Rehabilitation Grants to States	84.126	42-6004598	98,545	20,852
Total U.S. Department of Education			<u>25,573,761</u>	<u>20,852</u>
U.S. Department of the Treasury:				
Passed through Iowa College Student Aid Commission, COVID-19—Coronavirus State and Local Fiscal Recovery Funds, Gaining Early Awareness and Readiness (GEAR UP)	21.027	42-6004039-100	597,693	-
Passed through Iowa Homeland Security and Emergency Management COVID-19—Coronavirus State and Local Fiscal Recovery Funds, School Safety Improvement	21.027	42-6004034	2,489,473	-
Passed through City of Des Moines, COVID-19—Coronavirus State and Local Fiscal Recovery Funds, ARP fund for Preschool classroom	21.027	42-6004039-860	1,167,565	-
Total U.S. Department of Treasury			<u>4,254,731</u>	<u>-</u>
U.S. Department of Health and Human Services				
Passed through Drake University, Head Start Cluster - Head Start	93.600	42-6004321	2,486,897	-
Passed through State of Iowa Department of Human Services, Child Care and Development Block Grant (CCDF Cluster) COVID-19 - ARP Child Care Stabilization Grant	93.575	42-6004626	854,000	-
Passed Through Iowa Department of Education, Foster Care Title IV-E Transportation reimbursement	93.658	42-6004623	7,808	-
Total U.S. Department of Health and Human Services			<u>3,348,705</u>	<u>-</u>
United States Environmental Protection Agency				
Passed Through Iowa Department of Education, Voluntary School and Child Care Lead Testing and Reduction Grant Program	66.444	42-6004018	2,106	-
Total expenditures of federal awards			<u>\$ 57,295,045</u>	<u>\$ 20,852</u>

See notes to schedule of expenditures of federal awards.

Des Moines Independent Community School District

Notes to Schedule of Expenditures of Federal Awards Year Ended June 30, 2025

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the Schedule) includes the federal award activity of Des Moines Independent Community School District (the District) under programs of the federal government for the year ended June 30, 2025. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the District, it is not intended to and does not present the financial position, changes in net position, or cash flows of the District.

Note 2. Summary of Significant Accounting Policies

Expenditures reported on the Schedule are reported on the accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

Note 3. Indirect Cost Rate

The District has elected not to use the 10% de minimis indirect cost rate allowed under the Uniform Guidance. The District instead uses a negotiated rate published by the State of Iowa.

Note 4. Noncash Assistance

The schedule includes federal awards in the form of noncash assistance (commodities) received during the year in the amount of \$1,575,424 related to USDA Commodities grants provided by the U.S. Department of Agriculture and passed through the Iowa Department of Education.

**Des Moines Independent Community School District
Summary Schedule of Prior Audit Findings
June 30, 2025**

Finding 2024-001 – Significant Deficiency over financial reporting

Finding: The District did not properly record certain expenditure transactions in the correct period relating to open enrollment payments to other school districts made after year-end.

Corrective Action: Corrective action has been completed to properly accrue for open enrollment billings due to other school districts.

Des Moines Independent Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2025

I. Summary of Auditor's Results

Financial Statements

Type of report the auditor issued on whether the financial statements audited were prepared in accordance with GAAP: Unmodified

Internal control over financial reporting:

- | | | |
|---|-------------------|----------------------------|
| ▪ Material weakness(es) identified? | <u> x </u> Yes | <u> </u> No |
| ▪ Significant deficiencies identified? | <u> </u> Yes | <u> x </u> None Reported |
| Noncompliance material to financial statements noted? | <u> </u> Yes | <u> x </u> No |

Federal Awards

Internal control over major federal programs:

- | | | |
|--|-------------------|----------------------------|
| ▪ Material weakness(es) identified? | <u> </u> Yes | <u> x </u> No |
| ▪ Significant deficiencies identified? | <u> </u> Yes | <u> x </u> None Reported |

Type of auditor's report issued on compliance for major federal programs: Unmodified

- | | | |
|--|-------------------|-----------------|
| ▪ Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)? | <u> </u> Yes | <u> x </u> No |
|--|-------------------|-----------------|

Identification of Major Federal Programs:

Federal Assistance Listing Number	Name of Federal Program or Cluster
84.010	Title I Grants to Local Educational Agencies
84.287	Twenty-First Century Community Learning Center Grant

Dollar threshold used to distinguish between type A and type B programs: \$1,718,851

Auditee qualified as low-risk auditee?	<u> x </u> Yes	<u> </u> No
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(Continued)

Des Moines Independent Community School District

Schedule of Findings and Questioned Costs (Continued) Year Ended June 30, 2025

II. Financial Statement Findings

A. Internal Control

2025-001 – *Restatement of beginning net position in the governmental activities, business-type activities and aggregate remaining fund information (nonmajor enterprise funds) to correct the allocation of the OPEB liability and other OPEB-related amounts – material weakness*

Criteria: Management is responsible for establishing and maintaining effective internal controls over financial reporting which should be designed to prevent, or detect and correct, misstatements on a timely basis. GASB Codification Section 1500 *Reporting Liabilities* states long-term liabilities directly related to and expected to be paid from proprietary funds should be reported in the proprietary fund statement of net position and in the government-wide statement of net position.

Condition: The District has recorded the entirety of the District's Other Postemployment Benefits (OPEB) liability and other OPEB-related amounts within the governmental activities' opinion unit in the government-wide statement of net position since the implementation of GASB Statement No. 75 *Accounting and Financial Reporting for Postemployment Benefits Other than Pensions*. However, a portion of these costs relate to employees of the nonmajor enterprise funds, and business-type activities, and therefore the District should have recognized allocated amounts for the OPEB liability and OPEB-related amounts on the statements of net position of the nonmajor enterprise funds and business-type activities.

Cause: The District did not properly allocate the OPEB liability and OPEB-related amounts between governmental and business-type activities (nonmajor enterprise funds) during the year-end financial reporting process. The District appears to have reported the entirety of the amounts in the governmental activities opinion unit since the implementation of GASB Statement No. 75, and did not have procedures or controls in place to evaluate this presentation on an annual basis to verify it continued to be materially accurate to the financial statements.

Effect or Potential Effect: Beginning net position of the aggregate remaining fund information and business-type activities was decreased by approximately \$2.6 million to correct this error, while governmental activities beginning net position was increased by the same amount.

In addition, after this correction was made, an additional adjustment was required to correct the fiscal year 2025 amounts recorded. This included an approximate \$300,000 adjustment in the allocation between business-type activities and governmental activities.

Recommendations: We recommend the District refine controls in place around the year-end financial statement close process to ensure the accounting and financial reporting of OPEB and all long-term liabilities are accurate and in accordance with generally accepted accounting principles.

View of Responsible Officials: Management agrees with this finding.

B. Compliance Findings

No matters reported.

Des Moines Independent Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2025

III. Findings and Questioned Costs for Federal Awards

A. Internal Control

No matters reported.

B. Compliance Findings

No matters reported.

IV. Other Findings Related to Required Statutory Requirements

IV-A-25—Certified Budget and General Fund Spending Authority—

Finding: Expenditures for the year ended June 30, 2025 exceeded the amended certified budget in the support services and noninstructional functions.

Recommendation: The certified budget should have been amended in accordance with Chapter 24.9 of the Code of Iowa before expenditures were allowed to exceed the budget.

Response and Corrective Action Plan: Future budgets will be amended in sufficient amounts to ensure the certified budget is not exceeded.

Conclusion: Response accepted.

IV-B-25—Questionable Expenditures—No expenditures that may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979 were noted.

IV-C-25—Travel Expense—No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-25—Business Transactions—No business transactions between the District and District officials or employees were noted.

IV-E-25—Restricted Donor Activity – No transactions were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

IV-F-25- Bond Coverage—Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to ensure the coverage is adequate for current operations.

IV-G-25—Board Minutes—Board minutes were properly published, signed off on and each member's vote was properly recorded.

IV-H-25—Certified Enrollment—No material variances in the basic enrollment data certified to the Iowa Department of Education was noted.

IV-I-25—Supplementary Weighting—No significant variances regarding the supplementary weighting certified to the Iowa Department of Education were noted.

Des Moines Independent Community School District

Schedule of Findings and Questioned Costs (Continued) Year Ended June 30, 2025

IV-J-25—Deposits and Investments—No instances of noncompliance with the deposit and investment provisions of Chapter 12B and 12C of the Code of Iowa and the District's investment policy were noted.

IV-K-25—Certified Annual Report—The Certified Annual Report was certified timely to the Iowa Department of Education.

IV-L-25—Categorical Funding—No instances of categorical funding being used to supplant rather than supplement other funds were noted.

IV-M-25—Statewide Sales, Services and Use Tax—No instances of non-compliance with the use of the statewide sales, services and use tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales, services and use tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2025, the District reported the following information regarding the statewide sales, services and use tax revenue in the District's CAR:

Beginning balance		\$ 42,550,062
Other local sources		63,554
Local option sales tax		40,741,153
Earnings on investments		463,687
Other financing sources		1,084,510
		<u>42,352,904</u>
Expenditures/transfers out:		
School infrastructure:		
Buildings	\$ 19,286,412	
Administration	8,277,990	
Debt service:		
Bond issuance costs	1,800	
Transfers for debt service for school infrastructure:		
Revenue debt	22,282,218	49,848,420
Ending balance		<u>\$ 35,054,546</u>

For the year ended June 30, 2025, the District did not reduce any levies as a result of the monies received under Chapter 423E or 423F of the Code of Iowa.

IV-N-25—Deficit Balances—The School Nutrition Fund and the Child Care Fund had deficit balances as of June 30, 2025 of \$3,816,358 and \$842,647, respectively.

Finding: As of June 30, 2025 the School Nutrition Fund and the Child Care Fund had reported a deficit balance.

Recommendation: The District should continue to investigate alternatives to eliminate the deficit in order to return funds to a sound financial condition.

Des Moines Independent Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2025

Response and Corrective Action Plan: The primary cause of the deficit balance is due to accounting for the School Nutrition and Child Care Funds' share of the District's proportionate share of deferred outflows of resources, deferred inflows of resources, and net pension liability related to IPERS, as well as the District's OPEB plan. Additionally, implementation of GASB Statement No. 101 *Compensated Absences* increased current year expenses and liability for compensated absences. The District continues to analyze the funds' activities to take steps to reduce the deficit fund balance.

Conclusion: Response accepted.

IV-O-25—Revenue Bonds—The District has established the reserve account required by all revenue bond resolutions as of June 30, 2025. The required monthly transfers from the revenue account to the sinking account were made by the District.

IV-P-25—Student Activity Fund—No instances of noncompliance with the use of student activity funds provisions of Chapter 298A.8 of the Code of Iowa and Iowa Administrative Rule 281-12.6(1) were noted.

IV-Q-25—Early Childhood Iowa Area Board—The District is not the fiscal agent for the Early Childhood Iowa Area Board.

**Des Moines Independent Community School District
Corrective Action Plan
June 30, 2025**

Finding 2025-001 – Material weakness over financial reporting

Finding: The District recorded Other Postemployment Benefits (OPEB) liability and other OPEB-related amounts within the governmental activities' opinion unit in the government-wide statement of net position since the implementation of GASB Statement No. 75 *Accounting and Financial Reporting for Postemployment Benefits Other than Pensions*. However, a portion of these costs relate to employees of the nonmajor enterprise funds, and business-type activities, and therefore the District should have recognized allocated amounts for the OPEB liability and OPEB-related amounts on the statements of net position of the nonmajor enterprise funds and business-type activities.

Corrective Action: The District restated the beginning net position in the governmental activities and business type activities to correct the allocation for balances as of July 1, 2024 as well as updated the balances for changes related to June 30, 2025 allocations. The District will ensure that the OPEB liability and related-amounts are properly recorded in subsequent years.

Contact Person: Erica Armstrong, Controller

Anticipated Completion Date: June 30, 2026